Unit 3 | strategy, calculation and A* judgement

Pearson Edexcel IAL Business • WBS13 • Detailed learning cards, worked examples and wide-ranging evaluation

Every quantitative chapter: formula → full working → interpretation → downside/sensitivity → practical decision conditions.

3.3.1 Business objectives and strategy

Purpose, strategic options and external pressure

3.3.2 Business growth

Growth routes, scale and financial/organisational risk

3.3.3 Decision-making techniques

Forecasting, appraisal, decisions, projects and contribution

3.3.4 Influences on business decisions

Culture, stakeholders, rewards and ethics

3.3.5 Assessing competitiveness

Statements, ratios, workforce performance and responses

3.3.6 Managing change

Implementation, resistance, leadership and contingencies

NEW: annotated visual atlas + productivity, gearing and ROCE teaching lessons — use the bookmarks

Colour: blue = knowledge/data • green = benefits • pink = risks • purple = judgement and connections.

Examples are illustrative and independently written. Use the actual extract and mark scheme when answering exam questions.

What stronger Unit 3 reasoning looks like

A* preparation requires depth and breadth of applied reasoning, not a fixed number of arrows or a guarantee from one formula.

Calculate accurately, then explain

Calculate: formula, substitution, units, sign and sensible rounding.

Interpret: say what this value means for this option, not just whether it is higher.

Investigate: which assumptions, costs, timing or definitions could change it?

Decide: can the firm fund, implement and benefit from the option?

Develop distinct lines of argument

Use strategy and market fit; operations and capacity; finance and working capital; people and culture; stakeholders and ethics; time, risk and reversibility.

Select the most relevant mechanisms from the case.

“Quantitative versus qualitative” does not identify what the actual trade-off is.

Connect to the earlier units

Unit 3 can draw on Units 1 and 2. Use demand, the marketing mix, staffing, finance, costs, cash and operations when they explain the decision.

Do not confuse revenue, contribution, accounting profit and cash.

Worked numerical extensions are labelled where they go beyond a named Unit 3 technique.

Build a conditional judgement

What option is best, relative to the alternative?

Why is one effect more important in this business?

When do costs and benefits arise?

What evidence or threshold would change the recommendation?

Use the PDF bookmarks to jump to sections, cards and audit pages.

3.3.1 | Business objectives and strategy

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Purpose and objectives

Mission → aims → objectives

Strategic direction

Ansoff • Porter • portfolio

Resource fit

People • physical assets • finance

SWOT

Internal capability meets external opportunity

PESTLE

All six external influences

Industry structure

Rivalry • entry • substitutes • buyer/supplier power

The A* connection: identify the decisive mechanism

Choose a direction that fits the objective, capabilities and competitive conditions. Use a model to identify the mechanism, then test cost, durability, timing and implementation rather than reciting a category.

3.3.1 | Business objectives and strategy

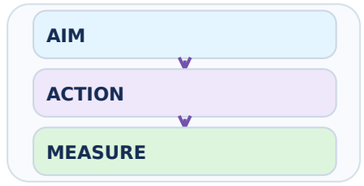
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

001 Mission, aims and corporate objectives

DEFINITION
A mission expresses the organisation’s purpose. Aims give broad ambitions; corporate objectives translate them into targets for the whole business.

ILLUSTRATIVE EXAMPLE

A sustainable transport mission becomes an objective to increase low-emission fleet capacity by 20% within two years.



BENEFITS / USES

1. Shared direction helps coordinate functions and prioritise scarce resources.

2. Measurable objectives allow progress to be reviewed and managers held accountable.

LIMITATIONS / RISKS

1. A mission may be too vague to guide an operational trade-off.

2. An ambitious target may lack finance, staff or capacity and encourage distorted reporting.

DEVELOP THIS CHAIN — explain why each arrow follows

Clarify the corporate purpose → **Translate it into a measurable target** → **Align departmental decisions** → **Review outcomes against the aim**

JUDGEMENT / WHEN DOES IT WORK?
Judge consistency, feasibility and trade-offs: a purpose statement is not evidence that the business actually behaves accordingly.

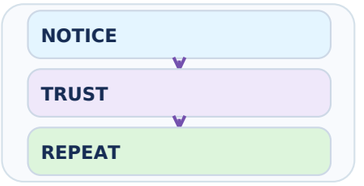
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

002 Critical appraisal of mission statements

DEFINITION
Critical appraisal assesses whether a mission is meaningful, credible, distinctive and useful for decisions rather than accepting its claims.

ILLUSTRATIVE EXAMPLE

A firm promising excellent employee treatment is evaluated against turnover, pay and its response to restructuring.



BENEFITS / USES

1. A clear mission can build staff identification and communicate purpose to stakeholders.

2. It can provide a stable reference point when choosing between conflicting opportunities.

LIMITATIONS / RISKS

1. Generic language may be a marketing message with little influence on behaviour.

2. Actual incentives or short-term shareholder pressure may contradict the stated purpose.

DEVELOP THIS CHAIN — explain why each arrow follows

Compare mission with behaviour → **Identify a credible commitment** → **Build stakeholder confidence** → **Support employee/customer loyalty**

JUDGEMENT / WHEN DOES IT WORK?
Look for resource commitments, consistent decisions and outcomes; failure to meet an aspiration does not prove every part of the mission is worthless.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

003 Strategy, tactics and resource commitments

DEFINITION
Strategy sets a long-term direction and major resource choices. Tactics are shorter-term actions used to implement it.

ILLUSTRATIVE EXAMPLE

Entering a new market is strategic; choosing the launch promotion and staff rota is tactical.



BENEFITS / USES

1. A clear direction aligns investment, recruitment and operational decisions.

2. Flexible tactics allow response to feedback without abandoning the overall objective.

LIMITATIONS / RISKS

1. Strategic commitments can be expensive and difficult to reverse.

2. Tactical targets can conflict with long-term positioning, such as repeated discounting of a premium offer.

DEVELOP THIS CHAIN — explain why each arrow follows

Select a new market → **Commit capital and specialist staff** → **Coordinate launch tactics** → **Build a coherent market position**

JUDGEMENT / WHEN DOES IT WORK?
Consider human skills, physical capacity and finance together; approval of a strategy does not establish implementation capability.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

004 Ansoff: market penetration

DEFINITION
Market penetration seeks growth from existing products in existing markets.

ILLUSTRATIVE EXAMPLE

A gym increases memberships in its current city through referrals and better retention.



BENEFITS / USES

1. Existing market and product knowledge reduce some unfamiliarity.

2. Higher volume may use spare capacity and spread fixed costs without a new product platform.

LIMITATIONS / RISKS

1. A saturated market may require costly switching incentives or price cuts.

2. Rivals can retaliate; more customers may overcrowd facilities or weaken service.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve referrals and retention → **Win more existing-market buyers** → **Use spare facilities** → **Potentially improve contribution**

JUDGEMENT / WHEN DOES IT WORK?
Ansoff classifies product/market direction, not the method of growth; penetration can be pursued organically or through acquisition.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

005 Ansoff: market development

DEFINITION
Market development sells existing products to new markets, such as new regions or customer segments.

ILLUSTRATIVE EXAMPLE

A producer sells its established workwear to a newly targeted customer group.



BENEFITS / USES

1. Existing product capability reduces the need for a completely new design.

2. A wider customer base can create growth and reduce dependence on the original segment.

LIMITATIONS / RISKS

1. New buyers may have different needs, awareness or distribution requirements.

2. Adaptation, promotion and channel costs can exceed the expected additional contribution.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify a suitable new segment → **Adapt access and communication** → **Attract buyers for the existing offer** → **Expand the revenue base**

JUDGEMENT / WHEN DOES IT WORK?
Assess fit with the new buyer and available channels; an unchanged product may still require a very different supporting mix.

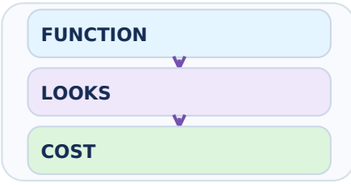
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

006 Ansoff: product development

DEFINITION
Product development introduces new products into existing markets.

ILLUSTRATIVE EXAMPLE

A trusted sports brand launches a new training accessory for current customers.



BENEFITS / USES

1. Customer insight and brand recognition may lower the barrier to trial.

2. New products can improve the range, increase repeat spending and defend against rivals.

LIMITATIONS / RISKS

1. Development, testing and launch spending occur before success is known.

2. The new product may cannibalise existing sales or damage trust if quality is weak.

DEVELOP THIS CHAIN — explain why each arrow follows

Use existing customer knowledge → **Design a valued new feature** → **Encourage trial under a trusted brand** → **Increase relevant customer spending**

JUDGEMENT / WHEN DOES IT WORK?
Compare incremental sales with displaced sales and development cost; familiarity with customers does not remove technical risk.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

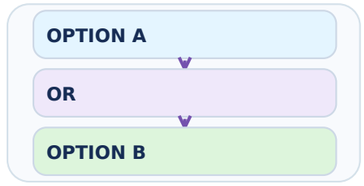
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

007 Ansoff: diversification

DEFINITION
Diversification introduces new products into new markets. It may be related to current capabilities or largely unrelated.

ILLUSTRATIVE EXAMPLE

A clothing retailer enters a new digital-service market with an unfamiliar product.



BENEFITS / USES

1. A genuinely different revenue source may reduce exposure to one market.

2. Related capabilities can sometimes be transferred to a new opportunity.

LIMITATIONS / RISKS

1. Product and customer unfamiliarity increase information, capability and execution risks.

2. Management attention and finance may be diverted from the successful core business.

DEVELOP THIS CHAIN — explain why each arrow follows

Enter a different opportunity → **Build or acquire missing skills** → **Create another revenue source** → **Reduce reliance on the original market**

JUDGEMENT / WHEN DOES IT WORK?
Risk depends on relatedness, entry cost and transferability of skills; the matrix is a starting point, not a quantified probability of success.

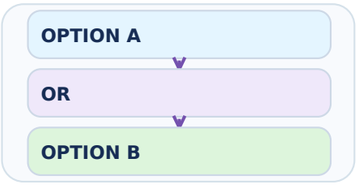
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

008 Ansoff as a decision model

DEFINITION
Ansoff’s Matrix compares growth directions using existing/new products and markets.

ILLUSTRATIVE EXAMPLE

A café compares selling more coffee locally, new drinks locally, existing drinks elsewhere and a new service elsewhere.



BENEFITS / USES

1. Clarifies distinct options and the sources of unfamiliarity in each.

2. Supports discussion of research, resources and capability gaps before expansion.

LIMITATIONS / RISKS

1. It does not measure expected cash flows, competitor response or implementation quality.

2. Its four categories can oversimplify mixed strategies and do not rank actual projects reliably.

DEVELOP THIS CHAIN — explain why each arrow follows

Classify the growth option → **Identify what is unfamiliar** → **Assess required capabilities** → **Select a defensible route**

JUDGEMENT / WHEN DOES IT WORK?
Do not simply conclude diversification is always too risky. Weigh relatedness, timing, returns, resources and alternatives in the case.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

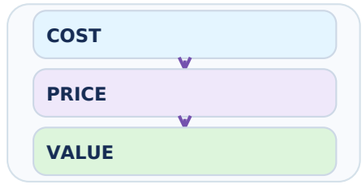
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

009 Porter: cost leadership

DEFINITION
Cost leadership seeks a sustained low-cost position across a broad market, allowing competitive prices and/or stronger margins.

ILLUSTRATIVE EXAMPLE

An efficient retailer uses purchasing scale, standard processes and high stock turnover.



BENEFITS / USES

1. Lower unit costs create room to compete on price or retain more margin.

2. Cost advantage can help withstand rivalry and weaker demand.

LIMITATIONS / RISKS

1. Scale, technology and efficiency require investment and consistent execution.

2. Excessive cost reduction can undermine quality, employees or the value buyers expect.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve process efficiency → **Reduce unit operating cost** → **Offer credible competitive value** → **Protect volume and margins**

JUDGEMENT / WHEN DOES IT WORK?
Low price alone is not cost leadership: a high-cost firm cannot sustain low prices indefinitely without a defensible cost base.

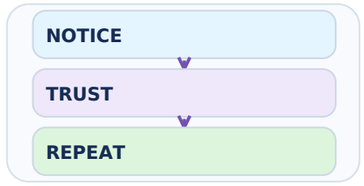
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

010 Porter: differentiation

DEFINITION
Differentiation creates a valued distinct offer for a broad market rather than competing only on cost.

ILLUSTRATIVE EXAMPLE

A technology brand combines useful design, service and a trusted customer experience.



BENEFITS / USES

1. A valued distinction can reduce direct price comparison and support premium pricing.

2. Loyalty may stabilise demand and protect against some rival offers.

LIMITATIONS / RISKS

1. Research, quality, brand and service commitments increase costs.

2. Imitation or changing preferences can remove the perceived advantage.

DEVELOP THIS CHAIN — explain why each arrow follows

Deliver a valued difference → **Reduce perceived substitutes** → **Improve willingness to pay** → **Potentially sustain a premium**

JUDGEMENT / WHEN DOES IT WORK?
The premium and loyalty gains must exceed the extra cost; an unusual feature is not automatically valuable to buyers.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

011 Porter: focus strategies

DEFINITION
A focus strategy targets a narrow segment, pursuing cost focus or differentiation focus within it.

ILLUSTRATIVE EXAMPLE

A specialist equipment supplier tailors technical service to one demanding customer group.



BENEFITS / USES

1. Deep knowledge can improve fit and credibility within a clearly defined segment.

2. Specialisation can avoid direct competition with broad-market rivals.

LIMITATIONS / RISKS

1. A small segment limits scale and increases dependence on its demand.

2. Broad competitors may target the niche or customers may no longer value its distinct needs.

DEVELOP THIS CHAIN — explain why each arrow follows

Choose a defensible niche → **Tailor product and service** → **Meet needs better than generalists** → **Support loyalty and suitable margins**

JUDGEMENT / WHEN DOES IT WORK?
Define both competitive scope and basis of advantage; “focus” alone does not say whether the firm competes through cost or differentiation.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

012 Porter’s Strategic Matrix: evaluation

DEFINITION
Porter links competitive scope and advantage: broad cost leadership/differentiation and narrow cost/differentiation focus.

ILLUSTRATIVE EXAMPLE

A firm checks whether its activities support the claimed position or create an incoherent middle ground.



BENEFITS / USES

1. Encourages a consistent value proposition and aligned operational choices.

2. Draws attention to trade-offs and the need for a defensible source of advantage.

LIMITATIONS / RISKS

1. Markets evolve and some firms combine good value with distinct features successfully.

2. The model does not calculate investment feasibility or capture all sources of temporary advantage.

DEVELOP THIS CHAIN — explain why each arrow follows

Define scope and advantage → **Align activities and spending** → **Avoid contradictory promises** → **Strengthen a coherent position**

JUDGEMENT / WHEN DOES IT WORK?
Do not use “stuck in the middle” as a label without showing why the actual mix fails to create value or control cost.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

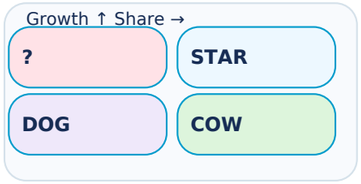
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

013 Portfolio analysis and allocation

DEFINITION
Portfolio analysis evaluates the mix of business units or products to guide investment, maintenance, harvesting or withdrawal decisions.

ILLUSTRATIVE EXAMPLE

An established cash-generating line may help fund a promising growth product.



BENEFITS / USES

1. Balances current earnings, future opportunities and dependence on individual products.

2. Makes opportunity cost explicit when management time and capital are limited.

LIMITATIONS / RISKS

1. Simple categories can ignore margins, customer links and strategic capabilities.

2. Funding every growth opportunity can drain cash; withdrawing a weak line may harm complementary sales.

DEVELOP THIS CHAIN — explain why each arrow follows

Review portfolio performance → **Identify credible funding priorities** → **Reallocate scarce resources** → **Balance current and future returns**

JUDGEMENT / WHEN DOES IT WORK?
Use growth/share models alongside cash flows, strategic fit, risk and resource constraints; classification is not a decision by itself.

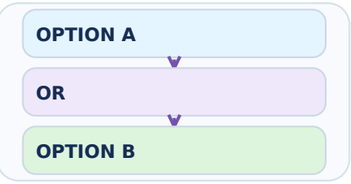
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

014 SWOT: evidence before prescription

DEFINITION
SWOT separates internal strengths/weaknesses from external opportunities/threats to assess strategic fit.

ILLUSTRATIVE EXAMPLE

An experienced service team is a strength; new demand is an opportunity; a rival's new platform is a threat.



BENEFITS / USES

1. Combines internal capability and external conditions in one strategic discussion.

2. Can identify how a strength exploits an opportunity or a weakness amplifies a threat.

LIMITATIONS / RISKS

1. Unprioritised lists do not establish relative importance or suggest feasible action.

2. Subjective or outdated judgements can become confirmation of a preferred strategy.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify a relevant strength → **Match it to a real opportunity** → **Choose an achievable action** → **Improve strategic fit**

JUDGEMENT / WHEN DOES IT WORK?
Support each entry with evidence, rank significance and translate it into a decision; a growing market is external, not an internal strength.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

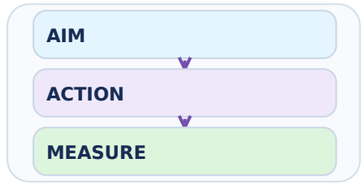
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

015 PESTLE: political, economic and legal

DEFINITION
PESTLE examines political, economic, social, technological, legal and environmental influences outside the firm.

ILLUSTRATIVE EXAMPLE

A change in spending policy affects demand; higher interest rates affect finance; a product rule changes compliance needs.



BENEFITS / USES

1. Scanning can reveal threats and opportunities before major commitments are made.

2. Separating mechanisms clarifies whether an influence affects buyers, cost, funding or the ability to operate.

LIMITATIONS / RISKS

1. The future direction and interaction of influences can be uncertain.

2. A long list of macro issues may distract from the few that actually affect the business.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify an interest-rate rise → **Debt servicing becomes dearer** → **Less cash available for investment** → **Reassess an expansion commitment**

JUDGEMENT / WHEN DOES IT WORK?
Political choices and legal requirements can overlap; prioritise the business mechanism rather than debating labels.

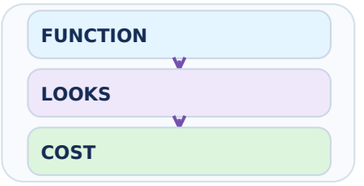
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016 PESTLE: social, technological and environmental

DEFINITION
Social changes affect preferences and demographics; technological changes alter products/processes; environmental pressures affect resources, disruption and expectations.

ILLUSTRATIVE EXAMPLE

A shift to convenient digital services changes demand while new systems change how the firm serves it.



BENEFITS / USES

1. Early adaptation can capture new demand or improve productive efficiency.

2. Understanding resource and environmental exposure supports more resilient design and sourcing.

LIMITATIONS / RISKS

1. Adoption and adaptation require skills and investment and may disrupt service.

2. Trends may be temporary; expensive technology can become obsolete or fail to fit customers.

DEVELOP THIS CHAIN — explain why each arrow follows

Detect changing service expectations → **Develop a suitable digital process** → **Reduce customer effort** → **Protect relevance and conversion**

JUDGEMENT / WHEN DOES IT WORK?
Explain why this trend matters to the specific product and customers; environmental responsibility and cost efficiency may support or conflict with each other.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

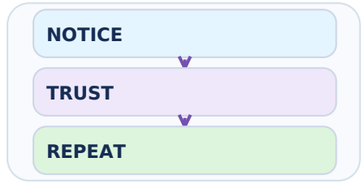
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

017 Changing competition and industry rivalry

DEFINITION
Competitive conditions change through entry, innovation, consolidation, substitution and shifts in buyers' behaviour. Rivalry concerns the intensity of competition among existing firms.

ILLUSTRATIVE EXAMPLE

Several similar providers compete for slow-growing demand with frequent discounts.



BENEFITS / USES

1. Reviewing rival strengths can reveal a viable gap or the need to adapt.

2. Understanding rivalry helps anticipate price pressure and the spending required to defend customers.

LIMITATIONS / RISKS

1. Rival intentions and reactions are hard to predict.

2. Copying rivals can erode differentiation and create a costly race that benefits buyers more than firms.

DEVELOP THIS CHAIN — explain why each arrow follows

Rivals discount similar offers → **Buyers switch more readily** → **Pressure on prices and promotion** → **Profit margins may weaken**

JUDGEMENT / WHEN DOES IT WORK?
Rivalry is often stronger with similar products and weak growth, but market size alone does not determine profitability.

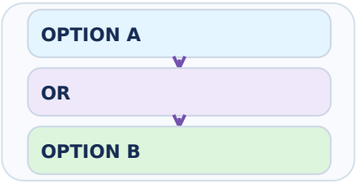
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

018 Five forces: threat of new entry

DEFINITION
The threat of entry is the risk that new competitors can enter an industry and weaken incumbent returns.

ILLUSTRATIVE EXAMPLE

Low start-up costs and easy digital access may make some services easier to enter than large-scale manufacturing.



BENEFITS / USES

1. Identifying barriers clarifies the durability of a firm's current advantage.

2. It supports choices about brand, customer relationships, scale and differentiation.

LIMITATIONS / RISKS

1. Barriers change as technology or regulation evolves.

2. Defensive investment can be expensive and does not guarantee entrants stay out.

DEVELOP THIS CHAIN — explain why each arrow follows

Lower entry barriers → **More suppliers enter** → **Buyers gain alternatives** → **Existing returns face pressure**

JUDGEMENT / WHEN DOES IT WORK?
Assess capital, scale, expertise, brand loyalty and access to channels, rather than assuming a new entrant must immediately succeed.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

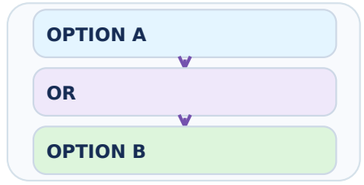
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

019 Five forces: substitutes

DEFINITION
A substitute meets a similar need through a different product or solution; substitution can limit an industry’s pricing power.

ILLUSTRATIVE EXAMPLE

Home exercise apps may substitute for some customers’ gym visits.



BENEFITS / USES

1. Recognising the underlying need widens analysis beyond direct industry rivals.

2. A firm can adapt its offer before an alternative removes demand.

LIMITATIONS / RISKS

1. Customers differ in whether they regard the alternative as acceptable.

2. Overreacting to a weak substitute can divert resources from valued core services.

DEVELOP THIS CHAIN — explain why each arrow follows

Alternative becomes more attractive → **Some customers change solution** → **Industry demand weakens** → **Price or service adaptation is needed**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish a substitute from another supplier of the same product and assess switching cost, relative value and buyer preference.

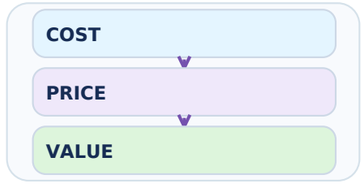
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

020 Five forces: buyer power

DEFINITION
Buyer power is customers’ ability to influence price, quality or terms to their advantage.

ILLUSTRATIVE EXAMPLE

A large retailer purchasing from a small supplier negotiates lower prices and longer payment periods.



BENEFITS / USES

1. Assessing concentration and switching helps predict margin and cash-pressure exposure.

2. Differentiation or a broader customer base may reduce dependence on one powerful buyer.

LIMITATIONS / RISKS

1. Contracts and the buyer’s own needs can limit its apparent bargaining strength.

2. Replacing a large buyer may take time and significant marketing or channel investment.

DEVELOP THIS CHAIN — explain why each arrow follows

A dominant buyer demands terms → **Supplier accepts a lower price** → **Contribution per sale falls** → **Profit and cash generation weaken**

JUDGEMENT / WHEN DOES IT WORK?
Judge the buyer’s alternatives and the seller’s importance, not merely which business is larger.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.1 | Business objectives and strategy

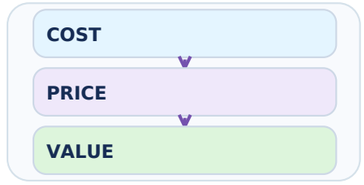
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

021 Five forces: supplier power

DEFINITION
Supplier power is providers’ ability to influence input price, availability or terms.

ILLUSTRATIVE EXAMPLE

A specialist component has few approved sources and is costly for the manufacturer to replace.



BENEFITS / USES

1. The model highlights dependency and supports alternative sourcing or appropriate integration decisions.

2. It connects input-market structure to unit cost and continuity risk.

LIMITATIONS / RISKS

1. Alternatives may be unsuitable or damage quality.

2. Developing another supplier or integrating production can increase cost and complexity.

DEVELOP THIS CHAIN — explain why each arrow follows

A specialist supplier raises price → **Input cost rises** → **Contribution per unit falls** → **Margins or selling prices come under pressure**

JUDGEMENT / WHEN DOES IT WORK?
Check scarcity, switching cost, buyer importance and contractual terms; supplier power is not measured solely by its size.

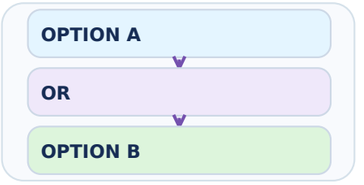
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

022 Using Porter’s five forces

DEFINITION
Five forces assess rivalry, entry, substitutes, buyer power and supplier power to examine industry attractiveness and pressure on returns.

ILLUSTRATIVE EXAMPLE

A firm compares market opportunity with likely pricing pressure and the cost of establishing a position.



BENEFITS / USES

1. Provides a structured view of external competitive pressure rather than focusing only on rivals.

2. Highlights strategic responses such as differentiation, relationship development or reduced dependency.

LIMITATIONS / RISKS

1. A static assessment can miss innovation, changing boundaries and cooperation.

2. It does not determine an individual firm’s capability, cash position or execution quality.

DEVELOP THIS CHAIN — explain why each arrow follows

Assess the important forces → **Identify pressure on returns** → **Match a feasible response** → **Choose a better-supported strategy**

JUDGEMENT / WHEN DOES IT WORK?
Weight the dominant force in the actual case. Do not spend an answer describing all five if only one explains the decision.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Strategy model atlas | classify, connect, challenge

Labels identify an option or issue. They do not calculate its attractiveness or prove the firm can implement it.

Ansoff’s Matrix

Rows: existing/new markets • Columns: existing/new products

Market penetration	**Product development**
Market development	**Diversification**

Penetration: existing/existing.
Product development: new product/current market.
Market development: current product/new market.
Diversification: both new.

Assess capability and relatedness, not a fixed risk ranking.

Use the position to explain a strategic choice, then test the assumptions.

Porter’s Strategic Matrix

Rows: broad/narrow scope • Columns: cost/differentiation

Cost leadership	**Differentiation**
Cost focus	**Differentiation focus**

Define target scope and a defensible source of advantage.

Align activities and resources.

Cheap prices without low costs, or novelty without buyer value, do not establish a successful strategy.

Use the position to explain a strategic choice, then test the assumptions.

SWOT

Top: internal • Bottom: external

Strengths	**Weaknesses**
Opportunities	**Threats**

A strength or weakness belongs to the firm.

An opportunity or threat arises outside it.

Rank material issues, support entries with evidence and turn a relevant match into action.

Use the position to explain a strategic choice, then test the assumptions.

Portfolio analysis

Use evidence on value, cash, growth, position and strategic links

Invest selectively	**Maintain value**
Harvest cash	**Divest if justified**

Do not use a quadrant as an automatic instruction.

Check profitability, resources, future demand, complementarity and the best alternative use of capital.

Use the position to explain a strategic choice, then test the assumptions.

Porter’s five forces | pressure on industry returns

Judge the strongest force in context; distinguish industry attractiveness from the capability of this particular business.



Strategic response: defend a valued difference, reduce dependency, choose a suitable niche or avoid an unattractive commitment.

3.3.2 | Business growth

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Purpose of growth

Scale • power • share • recognition • profit

Economies

Internal versus industry/cluster benefits

Organic route

Develop the existing operation

Inorganic route

Merger/takeover • horizontal/vertical/conglomerate

Financial consequence

Premium • debt • synergies • working capital

Growth problems

Diseconomies • communication • overtrading

The A* connection: identify the decisive mechanism

Growth is not success by definition. Trace scale or access into achievable margins and returns, then examine financing, integration, cash timing, customer retention and management capacity.

3.3.2 | Business growth

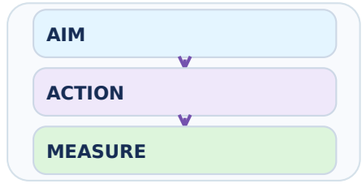
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

023 Growth objectives and success measures

DEFINITION
Growth increases the scale of business activity. Objectives can include economies, market power, share, recognition and profit.

ILLUSTRATIVE EXAMPLE

A retailer expands its network to increase access and purchasing power, then checks profit and cash outcomes.



BENEFITS / USES

1. Greater scale can spread some fixed costs and strengthen negotiation with suppliers.

2. A wider customer base and brand presence may raise revenue and market power.

LIMITATIONS / RISKS

1. More sales or assets do not automatically produce greater profit or stronger returns.

2. Growth can absorb cash and management attention before benefits arrive.

DEVELOP THIS CHAIN — explain why each arrow follows

Expand where demand exists → **Increase relevant sales volume** → **Spread suitable fixed costs** → **Potentially improve profitability**

JUDGEMENT / WHEN DOES IT WORK?
Judge growth against the stated objective and capital committed: a larger but less efficient business may not be more competitive.

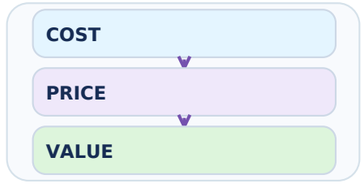
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

024 Internal economies of scale

DEFINITION
Internal economies arise when a firm’s own expansion reduces its long-run average cost.

ILLUSTRATIVE EXAMPLE

A larger producer negotiates bulk inputs, uses specialist equipment and spreads a national campaign over more units.



BENEFITS / USES

1. Purchasing, technical and managerial specialisation may reduce cost or improve capability.

2. Marketing and financing scale can spread expenditure or improve access to expertise and funds.

LIMITATIONS / RISKS

1. Benefits require appropriate demand and utilisation rather than unused capacity.

2. Coordination and bureaucracy can eventually produce diseconomies that outweigh savings.

DEVELOP THIS CHAIN — explain why each arrow follows

Increase suitable production scale → **Specialise and spread fixed costs** → **Reduce average cost** → **Gain margin or pricing flexibility**

JUDGEMENT / WHEN DOES IT WORK?
Specify the economy and its mechanism; buying more inputs is not a saving unless the price or resource cost per unit actually falls.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

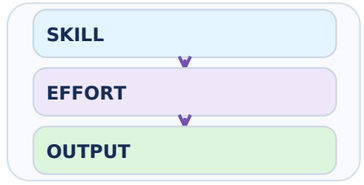
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

025 External economies of scale

DEFINITION
External economies are cost or capability benefits from the growth of an industry or local cluster rather than one firm’s size alone.

ILLUSTRATIVE EXAMPLE

A growing engineering cluster attracts trained workers and specialist suppliers used by several firms.



BENEFITS / USES

1. Shared access to specialist labour, suppliers and infrastructure can lower costs.

2. Knowledge networks can accelerate problem solving and innovation.

LIMITATIONS / RISKS

1. Competing firms can access the same benefits, limiting uniqueness.

2. Congestion, wage competition or higher site costs can produce external diseconomies.

DEVELOP THIS CHAIN — explain why each arrow follows

Industry cluster develops → **Specialist supply and skills expand** → **Individual firms access expertise** → **Lower search or operating cost**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish the source from an internal economy: a small firm can benefit from a large cluster.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

026 Organic growth

DEFINITION
Organic growth develops a firm’s own operations rather than combining with or acquiring another business.

ILLUSTRATIVE EXAMPLE

Open new branches, increase capacity, improve retention, launch products or develop distribution internally.



BENEFITS / USES

1. Expansion can be paced to demand and preserves greater control of routines and culture.

2. The business avoids an acquisition premium and the integration of an unfamiliar organisation.

LIMITATIONS / RISKS

1. Building capability and customer access can be slow while rivals move faster.

2. Investment, recruitment and promotion still require finance and can fail.

DEVELOP THIS CHAIN — explain why each arrow follows

Expand a proven operation → **Train staff in known systems** → **Preserve service consistency** → **Build sustainable additional sales**

JUDGEMENT / WHEN DOES IT WORK?
Compare speed with control and execution capacity; organic growth can use external finance and is not automatically low risk.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

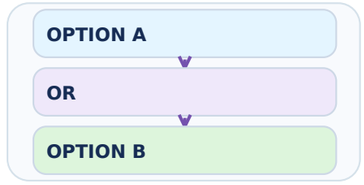
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

027 Mergers and takeovers

DEFINITION
A merger combines businesses by agreement; a takeover involves one business acquiring control of another. Both are inorganic growth.

ILLUSTRATIVE EXAMPLE

A retailer acquires a competitor to gain its outlets, customers and systems.



BENEFITS / USES

1. Provides immediate access to established capacity, customers, brands or expertise.

2. Combination may create scale efficiencies or remove duplicated activity.

LIMITATIONS / RISKS

1. Purchase premiums and financing can reduce returns even if operating benefits arise.

2. Integration, cultural conflict and systems disruption can destroy anticipated synergies.

DEVELOP THIS CHAIN — explain why each arrow follows

Acquire complementary capability → **Combine resources successfully** → **Improve reach or efficiency** → **Seek returns above total acquisition cost**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish acquisition from successful integration: ownership changes quickly, but the expected value may take years to realise.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

028 Horizontal integration

DEFINITION
Horizontal integration combines businesses at the same stage of production in the same industry.

ILLUSTRATIVE EXAMPLE

One supermarket acquires another supermarket chain.



BENEFITS / USES

1. Can increase share, customer access and purchasing scale rapidly.

2. Duplicated functions may be removed and combined capacity used more efficiently.

LIMITATIONS / RISKS

1. Reduced rivalry can attract competition scrutiny or require disposals.

2. Overlapping outlets, incompatible systems or cultural conflict add integration costs.

DEVELOP THIS CHAIN — explain why each arrow follows

Combine competing networks → **Increase market coverage and scale** → **Remove genuine duplication** → **Potential margin and market-power gains**

JUDGEMENT / WHEN DOES IT WORK?
Assess overlap, regulatory constraints and integration cost; adding the two market shares does not guarantee all customers remain.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

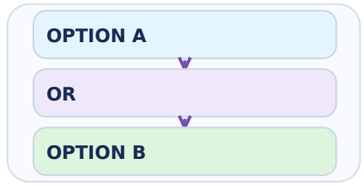
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

029 Backward vertical integration

DEFINITION
Backward integration acquires or combines with an upstream supplier in the supply chain.

ILLUSTRATIVE EXAMPLE

A food manufacturer acquires a key ingredient producer.



BENEFITS / USES

1. May improve continuity, quality control and access to a scarce input.

2. Some supplier margin or coordination cost may be retained within the combined business.

LIMITATIONS / RISKS

1. Capital becomes tied to an activity that may be outside management's expertise.

2. Owned supply can reduce flexibility if other suppliers become cheaper or better.

DEVELOP THIS CHAIN — explain why each arrow follows

Acquire a critical supplier → **Improve input coordination** → **Reduce production disruption** → **Protect reliable output**

JUDGEMENT / WHEN DOES IT WORK?
Compare ownership with a good supply contract or alternative sourcing; control does not automatically make the input cheaper.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

030 Forward vertical integration

DEFINITION
Forward integration acquires or combines with a downstream distributor or customer-facing activity.

ILLUSTRATIVE EXAMPLE

A producer acquires retail outlets to sell its products directly.



BENEFITS / USES

1. More control of presentation, service and customer data can support the brand.

2. The business may retain intermediary margin and improve direct market access.

LIMITATIONS / RISKS

1. Retailing or distribution requires different skills and adds operating commitments.

2. Existing distributors may react negatively and the firm may lose channel flexibility.

DEVELOP THIS CHAIN — explain why each arrow follows

Own the customer-facing route → **Control the buying experience** → **Gather useful buyer information** → **Improve suitable repeat offers**

JUDGEMENT / WHEN DOES IT WORK?
Evaluate the functions and costs the intermediary performed; removing its margin does not remove delivery and selling costs.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

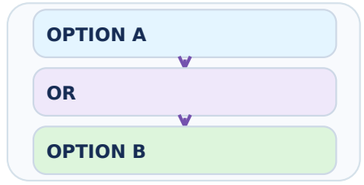
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

031 Conglomerate integration

DEFINITION
A conglomerate combines businesses in unrelated industries or activities.

ILLUSTRATIVE EXAMPLE

A group adds a different business with a demand pattern unrelated to its original market.



BENEFITS / USES

1. Different income sources can reduce exposure to one industry's downturn.

2. A capable parent may supply finance or managerial expertise to an underperforming business.

LIMITATIONS / RISKS

1. Limited operational fit can make synergies weak and oversight difficult.

2. Management may overpay or divert funds from stronger opportunities in the core business.

DEVELOP THIS CHAIN — explain why each arrow follows

Acquire a different activity → **Reduce dependence on one cycle** → **Stabilise part of group earnings** → **Support resilience if managed well**

JUDGEMENT / WHEN DOES IT WORK?
Diversification reduces dependence only if risks are genuinely different; correlated downturns or poor acquisition prices can erase the benefit.

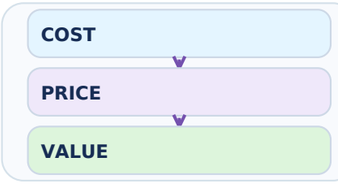
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

032 Financial risks and rewards of acquisition

DEFINITION
Acquisition value depends on the purchase cost, funding structure, integration spending and realised future returns.

ILLUSTRATIVE EXAMPLE

A takeover promising annual savings may also require debt, redundancy payments and systems replacement.



BENEFITS / USES

1. Synergies can increase cash generation through scale, reach or complementary capability.

2. A successful acquisition may accelerate returns that internal development could not achieve as quickly.

LIMITATIONS / RISKS

1. Debt raises interest obligations and a premium increases the return needed to justify the deal.

2. Savings may be delayed while disruption, customer loss or key-staff departures reduce benefits.

DEVELOP THIS CHAIN — explain why each arrow follows

Pay for the target and integration → **Realise credible recurring synergies** → **Generate additional operating cash** → **Recover total committed capital**

JUDGEMENT / WHEN DOES IT WORK?
Test downside liquidity, integration timing and opportunity cost; compare the deal with organic growth or no expansion.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

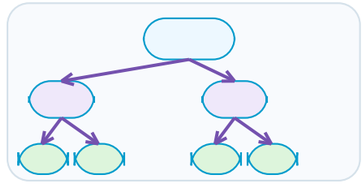
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

033 Diseconomies of scale

DEFINITION
Diseconomies occur when growing organisational scale increases average cost or reduces effectiveness.

ILLUSTRATIVE EXAMPLE

A larger chain adds approval layers, duplicates work and experiences weaker local accountability.



BENEFITS / USES

1. Recognising the problem supports decentralisation, clearer systems or limits to expansion.

2. Targeted restructuring may preserve useful scale economies while reducing coordination costs.

LIMITATIONS / RISKS

1. Bureaucracy and managerial distance can slow decisions and reduce initiative.

2. Motivation, quality and communication problems can offset purchasing or technical savings.

DEVELOP THIS CHAIN — explain why each arrow follows

Add excessive layers during growth → **Information travels more slowly** → **Decisions and service deteriorate** → **Average cost may rise**

JUDGEMENT / WHEN DOES IT WORK?
Explain the actual source, not simply that “large firms are inefficient”; scale benefits and diseconomies can coexist.

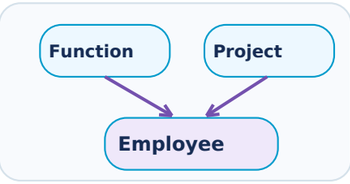
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

034 Growth and internal communication

DEFINITION
Expansion increases the number of people, locations and interfaces that must exchange accurate information.

ILLUSTRATIVE EXAMPLE

A multi-site firm introduces consistent systems and local accountability as it adds branches.



BENEFITS / USES

1. Effective communication coordinates resources and preserves standards across locations.

2. Decentralised decisions can use local knowledge when boundaries and reporting are clear.

LIMITATIONS / RISKS

1. Long chains can distort or delay messages and create inconsistent priorities.

2. New systems, meetings and monitoring cost money and may add complexity.

DEVELOP THIS CHAIN — explain why each arrow follows

Grow across more locations → **Require more coordination** → **Invest in clear communication** → **Protect service consistency**

JUDGEMENT / WHEN DOES IT WORK?
Match systems to the organisation’s complexity; simply sending more messages does not ensure shared understanding.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.2 | Business growth

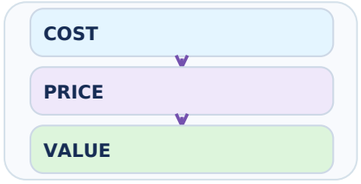
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

035 Overtrading

DEFINITION
Overtrading occurs when activity expands beyond the working capital available to support it. A profitable growing firm can still face a cash shortage.

ILLUSTRATIVE EXAMPLE

Orders rise, but materials and wages must be paid before customers settle their invoices.



BENEFITS / USES

1. Careful cash forecasting and staged expansion reveal funding needs early.

2. Deposits, sensible credit terms and appropriate funding can support viable growth.

LIMITATIONS / RISKS

1. Inventory and receivables absorb cash before receipts arrive.

2. Missed payments can damage suppliers, output and reputation even when reported profit rises.

DEVELOP THIS CHAIN — explain why each arrow follows

Accept rapid extra orders → **Pay inputs before customer receipts** → **Working-capital gap widens** → **Risk of failing payment obligations**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish sales, profit and cash. A profitable order is not finance for the costs needed to deliver it.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Connect the section

Growth is not success by definition. Trace scale or access into achievable margins and returns, then examine financing, integration, cash timing, customer retention and management capacity.

Test your reasoning

What does the model or measure establish?

What does it leave unresolved?

Which business constraint matters most?

Which plausible change would reverse the decision?

Can you explain a different mechanism rather than relabel the first point?

Integration | locate the direction before evaluating it

Same industry and stage = horizontal • Upstream = backward • Downstream = forward • Unrelated activity = conglomerate

INPUT SUPPLIER → **PRODUCER** → **RETAIL / DISTRIBUTION**

Backward integration

Producer acquires upstream supply.

Potential continuity/control benefit; possible loss of sourcing flexibility and unfamiliar activity.

Horizontal integration

Producer combines with another producer at the same stage.

Potential scale/share benefit; possible overlap, rivalry scrutiny and integration disruption.

Forward integration

Producer acquires downstream access.

Potential control/customer-data benefit; delivery and selling functions still have costs.

Conglomerate: combines unrelated activities. Test whether diversification actually reduces correlated risk and whether management can add value.

3.3.3 | Decision-making techniques

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Forecast

Moving averages • centring • scatter/extrapolation

Appraise

Payback • ARR • NPV

Decide under uncertainty

Trees • EV • probabilities • downside

Schedule

CPA • EST/LFT • float • critical routes

Contribution

Incremental value • capacity • opportunity cost

Evaluate

Funding • reliability • implementation • alternatives

The A* connection: identify the decisive mechanism

Do the calculation, explain the business meaning, test a plausible downside and compare a credible alternative. A precise number does not remove uncertain inputs or a binding operational/financial constraint.

3.3.3 | Decision-making techniques

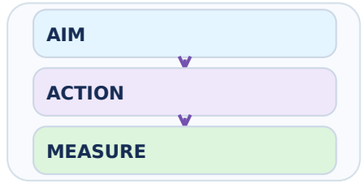
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

036 Moving averages and time-series trends

DEFINITION
A moving average smooths fluctuations by averaging successive groups of observations to reveal a trend.

ILLUSTRATIVE EXAMPLE

Use a three-period average for an odd number of periods; a four-quarter average needs centring for quarterly alignment.



BENEFITS / USES

1. Smoothing helps identify underlying direction for stock, staffing and capacity plans.

2. The method is transparent and reproducible from consistent historical data.

LIMITATIONS / RISKS

1. It lags rapid changes and can conceal turning points or exceptional events.

2. Past patterns do not establish future demand; smoothing is not itself a causal explanation.

DEVELOP THIS CHAIN — explain why each arrow follows

Smooth past observations → **Identify the underlying direction** → **Estimate suitable future demand** → **Plan commitments more carefully**

JUDGEMENT / WHEN DOES IT WORK?
Use sufficient relevant data and consider the cause of change; an accurate calculation does not validate the forecasting assumption.

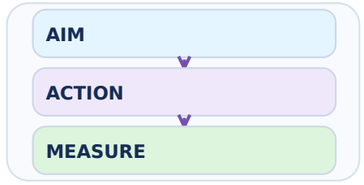
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

037 Scatter graphs, correlation and extrapolation

DEFINITION
A scatter graph plots paired observations. A line of best fit summarises an association; extrapolation extends the observed relationship beyond the data range.

ILLUSTRATIVE EXAMPLE

Past advertising and sales observations suggest a positive relationship, but seasonal demand may affect both.



BENEFITS / USES

1. The graph reveals direction, outliers and the apparent strength of an association.

2. A plausible trend can support an initial forecast and scenario planning.

LIMITATIONS / RISKS

1. Correlation does not prove causation and an extrapolation can extend beyond credible conditions.

2. Outliers, a small sample or changing market structure can make the fitted line misleading.

DEVELOP THIS CHAIN — explain why each arrow follows

Plot relevant paired data → **Assess the observed relationship** → **Use a cautious forecast** → **Check against causal and market evidence**

JUDGEMENT / WHEN DOES IT WORK?
Inspect the scale and range; a rising line alone does not prove the independent variable caused the sales increase.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.3 | Decision-making techniques

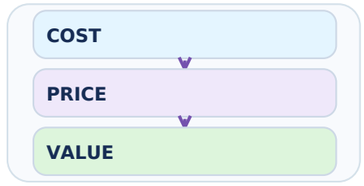
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

038 Simple payback

DEFINITION
Payback measures the time taken for forecast net cash inflows to recover the initial investment.

ILLUSTRATIVE EXAMPLE

An initial £120,000 is recovered after two full years and part of year three in the worked example.



BENEFITS / USES

1. Highlights the period of exposure and can help a cash-constrained firm screen projects.

2. Simple communication makes comparison with a required recovery period straightforward.

LIMITATIONS / RISKS

1. Ignores cash flows after recovery and the time value of money.

2. A quick recovery may favour small or short-lived projects over greater long-run value.

DEVELOP THIS CHAIN — explain why each arrow follows

Estimate annual net cash inflows → **Accumulate them against the outlay** → **Find the recovery time** → **Assess exposure and funding fit**

JUDGEMENT / WHEN DOES IT WORK?
Recovery time is not profit or NPV; judge the firm’s cash constraints and the reliability of early cash flows.

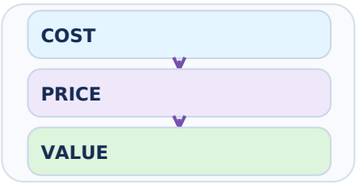
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

039 Average accounting rate of return: ARR

DEFINITION
ARR compares average annual accounting profit with the initial investment, expressed as a percentage in this resource.

ILLUSTRATIVE EXAMPLE

Total net cash inflows £170,000 less initial outlay £120,000 gives total profit £50,000 over four years.



BENEFITS / USES

1. A percentage return can be compared with a target or alternative investment using the same basis.

2. Uses expected profitability across the project rather than only recovery timing.

LIMITATIONS / RISKS

1. An average hides when profits or cash arrive and ignores discounting.

2. Accounting estimates, project life and profit assumptions affect the result.

DEVELOP THIS CHAIN — explain why each arrow follows

Calculate expected total profit → **Divide by project life** → **Compare with initial investment** → **Judge against the required return**

JUDGEMENT / WHEN DOES IT WORK?
Use the formula/basis specified in the question; ARR is accounting profit, not simply average annual cash inflow divided by cost.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.3 | Decision-making techniques

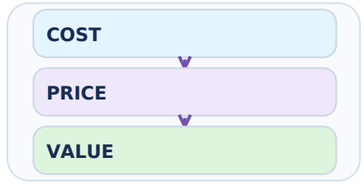
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

040 Net present value: NPV

DEFINITION
NPV is the present value of future net cash flows minus the initial investment, discounted at a chosen rate.

ILLUSTRATIVE EXAMPLE

A project with NPV +£13,895 at a 10% discount rate is forecast to add that present value on its assumptions.



BENEFITS / USES

1. Recognises timing and the opportunity cost reflected in the discount rate.

2. Uses the whole modelled cash-flow stream and expresses additional value in money terms.

LIMITATIONS / RISKS

1. Forecast cash flows, timing and the chosen discount rate may be wrong.

2. A larger absolute NPV can require more capital and carry greater downside or irreversibility.

DEVELOP THIS CHAIN — explain why each arrow follows

Discount each future cash flow → **Sum the present values** → **Subtract the initial outlay** → **Assess forecast additional value**

JUDGEMENT / WHEN DOES IT WORK?
A positive NPV supports consideration, not automatic acceptance: test strategic fit, affordability and sensitivity.

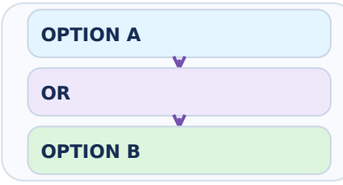
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

041 Comparing investment appraisal methods

DEFINITION
Payback, ARR and NPV answer different questions about recovery time, average profitability and discounted value.

ILLUSTRATIVE EXAMPLE

A cash-constrained firm may reject the highest-NPV project if it cannot fund the project through its weakest cash period.



BENEFITS / USES

1. Using several methods reveals differences in timing and expected return.

2. Comparison encourages an explicit link between the criterion and corporate priorities.

LIMITATIONS / RISKS

1. Conflicting rankings require judgement rather than voting between methods.

2. All three can share the same unreliable forecasts, so apparent agreement is not independent proof.

DEVELOP THIS CHAIN — explain why each arrow follows

Compare recovery and returns → **Identify the binding constraint** → **Test plausible adverse assumptions** → **Select a feasible valuable project**

JUDGEMENT / WHEN DOES IT WORK?
Integrate finance, market demand, operational capacity, people, flexibility and opportunity cost; “also consider qualitative factors” is not enough.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.3 | Decision-making techniques

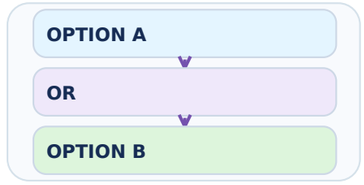
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

042 Decision trees and expected value

DEFINITION
A decision tree maps choices, uncertain outcomes, probabilities and payoffs. Expected value is the probability-weighted average outcome.

ILLUSTRATIVE EXAMPLE

A project's expected future net operating cash flows are compared with its initial cost to obtain an expected net gain.



BENEFITS / USES

1. Makes assumptions and alternatives explicit and supports consistent calculations.

2. Helps identify which probability or payoff matters most to the ranking.

LIMITATIONS / RISKS

1. Probabilities and outcomes may be subjective, incomplete or interdependent.

2. An average across hypothetical repeats does not remove the downside of one irreversible decision.

DEVELOP THIS CHAIN — explain why each arrow follows

Map choices and outcomes → **Weight outcomes by probability** → **Subtract cost on a consistent basis** → **Compare expected net gains**

JUDGEMENT / WHEN DOES IT WORK?
Check worst-case loss and funding. The greatest expected value may be unsuitable for a firm unable to survive its downside.

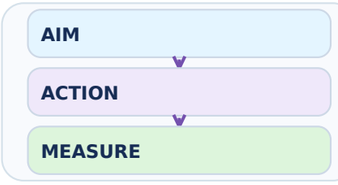
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

043 Critical path analysis: CPA

DEFINITION
CPA maps dependent activities to identify the minimum project duration and activities whose delay would delay completion, without corrective action.

ILLUSTRATIVE EXAMPLE

A launch network identifies A–B–D–F as a 13-day critical path in the worked example.



BENEFITS / USES

1. Shows dependencies and where management attention or monitoring is most time-sensitive.

2. Supports coordination and scheduling of staff, equipment and purchases.

LIMITATIONS / RISKS

1. Durations, dependencies and resource availability can change.

2. A network does not guarantee execution quality, resolve every resource conflict or prove market demand.

DEVELOP THIS CHAIN — explain why each arrow follows

Map activities and dependencies → **Identify the longest time path** → **Prioritise critical activities** → **Protect the planned completion date**

JUDGEMENT / WHEN DOES IT WORK?
The critical path is the longest-duration route, not the route with the most activities; more than one critical path is possible.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.3 | Decision-making techniques

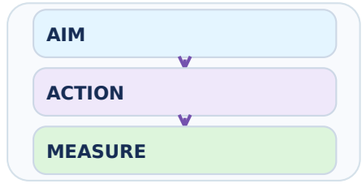
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

044 CPA: EST, LFT and total float

DEFINITION
EST is the earliest feasible start. LFT is the latest finish consistent with planned project completion. Total float is LFT − EST − duration for an activity.

ILLUSTRATIVE EXAMPLE

A four-day activity with EST 2 and LFT 8 has total float 2 days.



BENEFITS / USES

1. Float indicates scheduling flexibility and may support temporary resource reallocation.

2. A backward pass reveals which delays cannot be absorbed within the completion target.

LIMITATIONS / RISKS

1. Float on connected activities can be shared; it cannot always be used independently.

2. Reducing a non-critical duration does not necessarily shorten the whole project.

DEVELOP THIS CHAIN — explain why each arrow follows

Calculate the forward pass → **Calculate the backward pass** → **Find zero-float activities** → **Manage real scheduling flexibility**

JUDGEMENT / WHEN DOES IT WORK?
At a forward merge take the maximum incoming completion; working backward take the minimum permitted time. Recalculate after material changes.

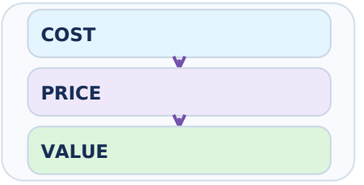
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

045 Contribution and short-run decisions

DEFINITION
Contribution is sales revenue minus variable costs. It helps cover fixed costs; contribution per unit is selling price minus variable cost per unit.

ILLUSTRATIVE EXAMPLE

An £18 special-order price with £12 variable cost creates £6 contribution per unit before any extra fixed costs.



BENEFITS / USES

1. Supports pricing, product-mix and spare-capacity decisions using incremental receipts and costs.

2. Reveals how additional sales can help cover existing fixed costs.

LIMITATIONS / RISKS

1. Positive contribution does not prove full profitability, especially if extra fixed costs arise.

2. Capacity displacement, customer reactions and long-run pricing consequences may change the result.

DEVELOP THIS CHAIN — explain why each arrow follows

Calculate incremental contribution → **Subtract extra avoidable fixed costs** → **Check displaced sales or scarce capacity** → **Assess the true incremental benefit**

JUDGEMENT / WHEN DOES IT WORK?
Use relevant costs and opportunity cost. A low-price order can be attractive with spare capacity but harmful if it displaces better business.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Three-period moving average

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Three-period MA = (observation before + current + observation after) ÷ 3; place it at the middle period.

Month	Actual sales	Three-month window	Working	Centred MA
Jan	120	—	—	—
Feb	150	Jan–Mar	(120 + 150 + 180) ÷ 3	150.00
Mar	180	Feb–Apr	(150 + 180 + 160) ÷ 3	163.33
Apr	160	Mar–May	(180 + 160 + 200) ÷ 3	180.00
May	200	Apr–Jun	(160 + 200 + 220) ÷ 3	193.33
Jun	220	May–Jul	(200 + 220 + 210) ÷ 3	210.00
Jul	210	—	—	—

INTERPRET: The smoothed series rises. There is no centred result for Jan or Jul because one neighbouring observation is unavailable.

USES / BENEFITS

Reduces short-period noise.

Supports discussion of the underlying direction before setting stock or staff commitments.

RISKS / LIMITATIONS

Lags a sudden turning point.

Neither the calculation nor a rising trend proves future growth will continue.

A* DECISION CHECK

Ask what caused the growth, whether capacity can support it and what a lower-demand case would do to stock and cash.

Four-quarter moving averages: first pass

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

For an even number of periods, the rolling average lies between two quarters. A further centring step is required.

Window	Quarterly sales (000 units)	Total	Four-quarter MA	Time position
Q1–Q4	80, 100, 140, 120	440	110.0	Between Q2 and Q3
Q2–Q5	100, 140, 120, 100	460	115.0	Between Q3 and Q4
Q3–Q6	140, 120, 100, 120	480	120.0	Between Q4 and Q5
Q4–Q7	120, 100, 120, 160	500	125.0	Between Q5 and Q6
Q5–Q8	100, 120, 160, 140	520	130.0	Between Q6 and Q7

INTERPRET: Underlying data are Q1–Q8: 80, 100, 140, 120, 100, 120, 160, 140. The four-quarter average rises by 5,000 between windows.

USES / BENEFITS

Includes a full seasonal cycle.

Reduces regular quarterly variation when looking for the trend.

RISKS / LIMITATIONS

Does not belong directly to one quarter yet.

Extreme events can distort more than one successive window.

A* DECISION CHECK

Complete the centring before comparing actual quarterly sales with the trend. Do not place the first 110 at Q4.

Centring the four-quarter average

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Centred MA for a quarter = average of the two neighbouring four-quarter averages.

Quarter	Actual (000)	Adjacent MAs	Working	Centred trend
Q3	140	110 and 115	(110 + 115) ÷ 2	112.5
Q4	120	115 and 120	(115 + 120) ÷ 2	117.5
Q5	100	120 and 125	(120 + 125) ÷ 2	122.5
Q6	120	125 and 130	(125 + 130) ÷ 2	127.5

INTERPRET: The actual Q3 value 140 is above its trend of 112.5, whereas Q5 is below its trend. Both can coexist with an increasing underlying trend.

USES / BENEFITS

Aligns the smoothed trend with real quarters.

Supports a more meaningful comparison of actual sales and underlying direction.

RISKS / LIMITATIONS

Several observations are needed and edge periods lack centred values.

A short series cannot establish a reliable long-term pattern.

A* DECISION CHECK

Explain the numerical result in units and business terms; avoid treating a seasonal peak as permanent extra demand.

Extension: seasonal adjustment and scenarios

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Illustrative additive approach: seasonal deviation = actual − centred trend. This extends the core moving-average work.

Season	Actual minus trend (000)	Illustrative seasonal effect	If future trend = 150
Q1 (Q5)	100 − 122.5	−22.5	127.5
Q2 (Q6)	120 − 127.5	−7.5	142.5
Q3	140 − 112.5	+27.5	177.5
Q4	120 − 117.5	+2.5	152.5

INTERPRET: The four illustrative effects sum to zero. A trend value of 150 plus a Q3 effect of 27.5 gives a forecast of 177.5 thousand units.

USES / BENEFITS

Separates a recurring seasonal pattern from trend.

Helps time staffing, orders and inventories rather than buying for average demand only.

RISKS / LIMITATIONS

One observation per season is very weak evidence.

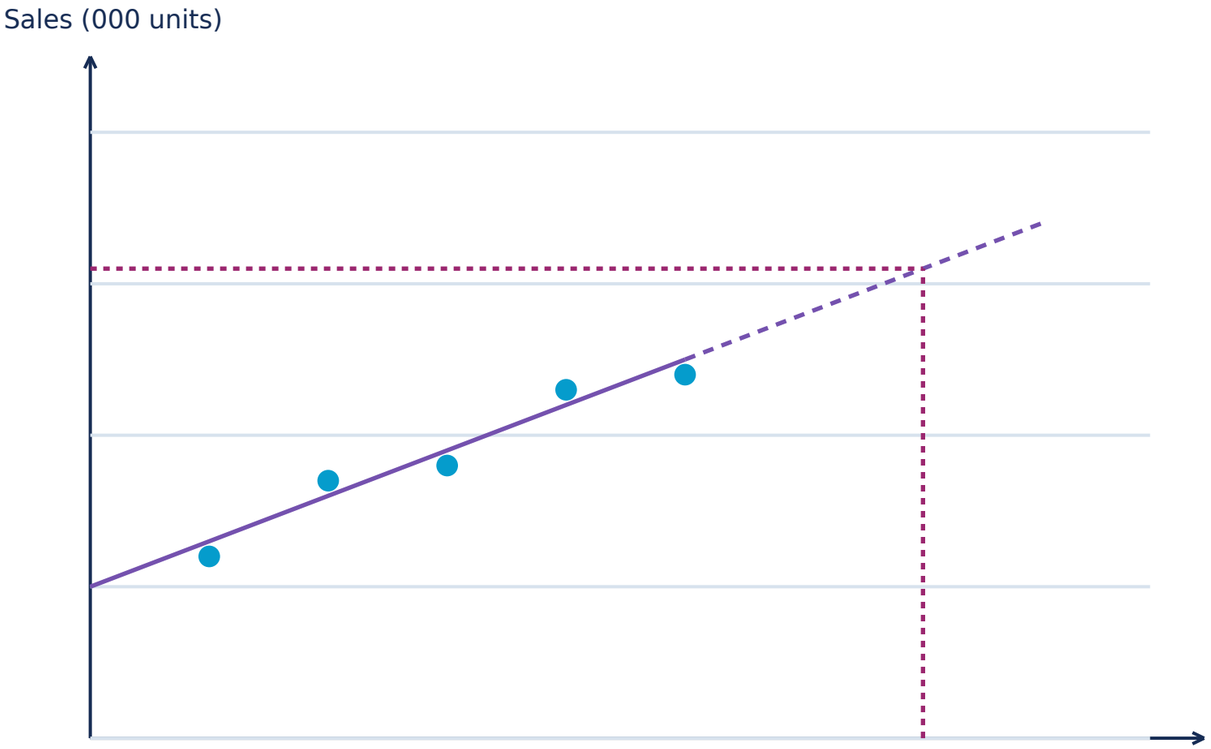
An additive effect may not fit a market where seasonal variation grows with overall sales.

A* DECISION CHECK

Use multiple cycles in a real forecast and test an adverse-demand case. This is a supporting extension, not an extra named Unit 3 topic.

Scatter graphs | relationship, not proof

WORKED INTERPRETATION • The line is an illustrative fitted estimate, not a guarantee or a causal claim.



Solid line: observed range. Dashes: extrapolation beyond observed spend.

A* link: overforecasting can create inventory and working-capital pressure; underforecasting may lose service quality, sales and reputation.

Read and calculate

Illustrative line: sales = 10 + 3 × spend.

At spend £7,000, forecast = 10 + 3(7) = 31,000 units.

The observed spend only ranges from £1,000 to £5,000. The forecast extends beyond the evidence.

Challenge the inference

Sales and advertising may both rise in a busy season. Correlation alone cannot prove advertising caused the sales.

Check sample size, outliers, market changes, capacity, price and competitor action.

Use the line as a scenario input rather than certainty.

Investment appraisal | simple payback

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Initial outlay = £120,000. Net cash inflows: £35,000, £45,000, £50,000, £40,000 in years 1–4. No residual value.

Year	Net cash inflow	Cumulative inflow	Amount still unrecovered
0	−£120,000	£0	£120,000
1	£35,000	£35,000	£85,000
2	£45,000	£80,000	£40,000
3	£50,000	£130,000	Recovered during year 3
4	£40,000	£170,000	Already recovered

INTERPRET: Payback = 2 + £40,000 ÷ £50,000 = 2.8 years = 2 years 9.6 months, assuming year-three inflows arrive evenly.

USES / BENEFITS

Shows how long the original funds remain unrecovered.

Relevant to exposure, liquidity constraints and rapid obsolescence.

RISKS / LIMITATIONS

Ignores year-four cash in the ranking once recovery is reached.

Does not discount timing or measure total profit.

A* DECISION CHECK

Check whether the firm can fund the years before recovery; a 2.8-year payback does not describe the weakest cash point.

Investment appraisal | ARR

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

ARR = average annual accounting profit ÷ initial investment × 100, on the initial-investment basis used here.

Step	Working	Result
Total net inflows	£35,000 + £45,000 + £50,000 + £40,000	£170,000
Total profit over the project	£170,000 − £120,000 (no residual value)	£50,000
Average annual profit	£50,000 ÷ 4 years	£12,500
ARR	£12,500 ÷ £120,000 × 100	10.42%

INTERPRET: Average annual profit is forecast at about 10.42% of the initial investment. A target of 12% would not be met on this basis.

USES / BENEFITS

Compares a percentage return with a target.

Reflects expected profit across the four-year life rather than only speed of recovery.

RISKS / LIMITATIONS

An average hides the distribution of returns over time.

Ignores discounting and depends on accounting/project-life assumptions.

A* DECISION CHECK

Do not divide average annual cash inflow (£42,500) by cost: cash includes recovery of the original investment. Follow any basis stated in the question.

Investment appraisal | discounted cash flow

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Discount factor = 1 ÷ (1 + r)^t. Present value = net cash flow × discount factor. NPV = total PV − initial outlay.

Year	Net cash inflow	Discount factor at 10%	Present value
1	£35,000	0.90909	£31,818.18
2	£45,000	0.82645	£37,190.08
3	£50,000	0.75131	£37,565.74
4	£40,000	0.68301	£27,320.54
Total PV			£133,894.54
Less initial outlay			£120,000.00
NPV at 10%			£13,894.54

INTERPRET: NPV is approximately +£13,895. This is forecast value above the return represented by the 10% rate. Calculations use unrounded factors; displayed factors are rounded.

USES / BENEFITS

Recognises the timing of each cash flow.

Uses all forecast years and expresses incremental present value in pounds.

RISKS / LIMITATIONS

The discount rate and forecasts may not reflect actual risk or timing.

A positive value does not prove affordability or strategic suitability.

A* DECISION CHECK

Test lower inflows, delays and a higher discount rate. A £20,000 fall in year-one inflow reduces NPV by about £18,182 and would make this NPV negative.

Appraisal | interpret conflicting evidence

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

A decision must distinguish value, accounting return, recovery timing, funding, risk and implementation.

Criterion	Project X (worked case)	What it tells the decision maker
Payback	2.8 years	Recovery time; not total profitability
ARR	10.42%	Average profit vs initial cost; not timing
NPV at 10%	+£13,895	Forecast discounted additional value
Downside: £20,000 less in year 1	NPV becomes about −£4,287	The positive base case has limited headroom

INTERPRET: The same project can have a positive NPV but fall below an ARR target. Different criteria and assumptions are being used; this is not necessarily a calculation error.

USES / BENEFITS

Comparison reveals which objective or constraint drives the recommendation.

Sensitivity directs attention to the assumptions with decision-changing effects.

RISKS / LIMITATIONS

Multiple methods may repeat the same flawed demand forecast.

A single downside test is not a complete risk assessment.

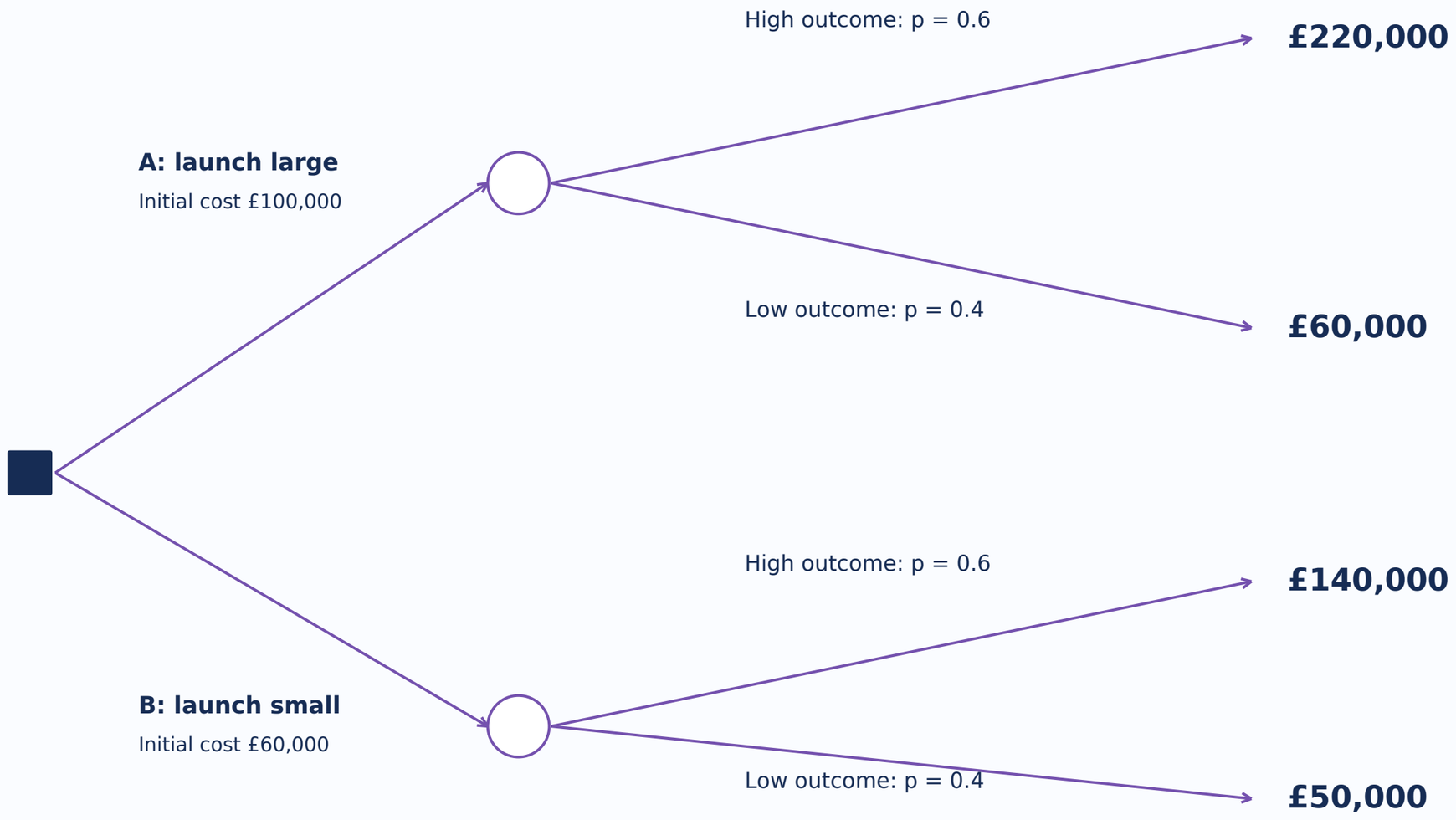
A* DECISION CHECK

Prioritise cash survival, credible demand, capacity, staff capability, strategic fit, reversibility and the best alternative use of funds.

Decision tree | construct, label and roll back

Payoffs are total future net operating cash flows BEFORE initial investment, so initial costs are deducted once.

Square = decision; circles = chance. Branch probabilities from each chance node sum to 1. Compare alternatives on the same payoff basis.



A: expected net gain

(0.6 × £220,000) + (0.4 × £60,000) − £100,000 = £56,000

B: expected net gain

(0.6 × £140,000) + (0.4 × £50,000) − £60,000 = £44,000

Decision trees | EV, downside and sensitivity

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Expected net gain = sum(probability × payoff) − initial cost, when payoffs exclude that initial cost.

Measure	Large A	Small B	Decision meaning
Expected future operating cash	£156,000	£104,000	Probability-weighted averages
Initial outlay	£100,000	£60,000	Required up-front commitment
Expected net gain	£56,000	£44,000	A exceeds B by £12,000
Low-outcome net result	−£40,000	−£10,000	A has a larger downside
A high-outcome probability threshold	52.5%	Hold B expected gain at £44,000	160,000p − 40,000 = 44,000

INTERPRET: If ONLY A’s high-outcome probability is revised, its threshold against unchanged B is p = 84,000 ÷ 160,000 = 0.525. Updating both projects’ probabilities would require a different comparison.

USES / BENEFITS

Makes assumptions and trade-offs visible.

Sensitivity shows how small a belief change could alter the ranking.

RISKS / LIMITATIONS

An expected gain is not the most likely actual outcome.

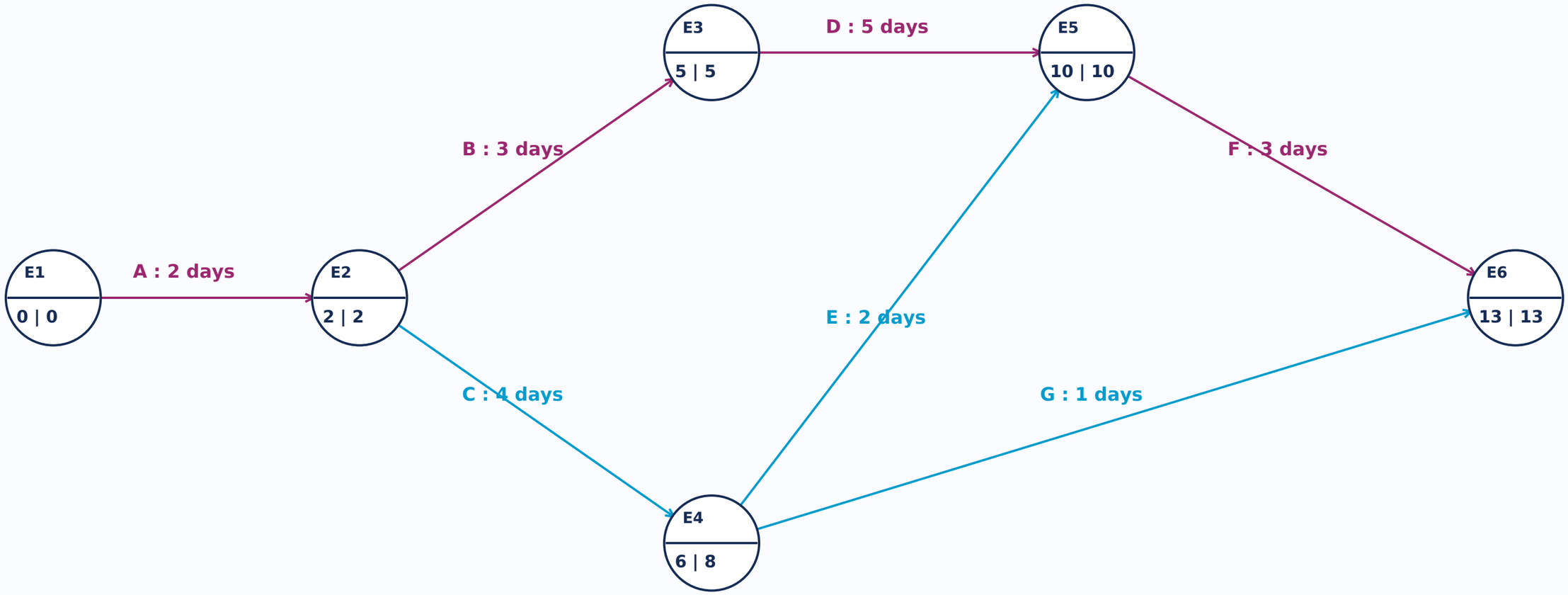
A one-off large loss can be unaffordable despite the higher EV.

A* DECISION CHECK

Weigh survival in the low case, funding capacity, confidence in probabilities, staged options, strategic fit and implementation capability.

CPA | a fully worked activity-on-arrow network

Critical route A–B–D–F = 2 + 3 + 5 + 3 = 13 days. Event times appear inside nodes; activity durations are on arrows.



Node key

Top: event number. Bottom: earliest event time | latest permitted event time.
Forward: maximum of incoming completions. Backward: minimum of outgoing requirements.

Critical is about time, not activity count

Other routes: A–C–E–F = 11 days; A–C–G = 7 days.
Reducing C alone does not shorten the 13-day completion time.

CPA | earliest starts, latest finishes and float

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Activity EST = earliest time at its start node. Activity LFT = latest permitted time at its end node. Total float = LFT − EST − duration.

Activity	Duration	EST	LFT	Total float	Critical?
A	2	0	2	0	Yes
B	3	2	5	0	Yes
C	4	2	8	2	No
D	5	5	10	0	Yes
E	2	6	10	2	No
F	3	10	13	0	Yes
G	1	6	13	6	No

INTERPRET: For C: 8 − 2 − 4 = 2 days. For G: 13 − 6 − 1 = 6 days. A, B, D and F have zero total float.

USES / BENEFITS

Highlights time-critical activities for monitoring.

Float may allow sensible scheduling or temporary resource reallocation.

RISKS / LIMITATIONS

Durations and resource availability are estimates.

Float on connected activities can be shared rather than independently available.

A* DECISION CHECK

If C uses its two days, E’s start moves from 6 to 8 and E has no further spare time before F. Do not add C and E’s floats as four separate days.

CPA | shortening the project and checking the value

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

A critical activity must be shortened, with all affected paths recalculated. Speed has a cost and may create another critical path.

Action	New main route	Other relevant route	New completion
Shorten D by 1 day	A–B–D–F = 12	A–C–E–F = 11	12 days
Shorten D by 2 days	A–B–D–F = 11	A–C–E–F = 11	11 days; two critical routes
Shorten D by 3 days	A–B–D–F = 10	A–C–E–F = 11	11 days, not 10
Shorten C alone by 1 day	A–B–D–F remains 13	Non-critical route becomes shorter	Still 13 days

INTERPRET: If speeding D by two days costs £1,000 and a two-day earlier launch creates £1,600 additional contribution, the net benefit is £600 before any other change-related costs.

USES / BENEFITS

Connects the schedule to a real commercial decision.

Identifies when attention must switch to another critical route.

RISKS / LIMITATIONS

Rushing can create defects, staff strain or unreliable work.

An earlier completion has no commercial value unless customers or operations can use it.

A* DECISION CHECK

Compare marginal speed cost with additional contribution or avoided penalties, then examine quality, staff, supplier and demand constraints.

Contribution | the special-order decision

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Unit contribution = selling price − variable cost. Total contribution = sales revenue − variable costs. Profit = total contribution − relevant fixed costs.

Item	Working	Result
Spare-capacity special order	2,000 units at £18; variable cost £12	£6 contribution per unit
Order contribution	2,000 × (£18 − £12)	£12,000
Extra avoidable setup cost	Fixed cost caused only by this order	£3,000
Incremental operating benefit	£12,000 − £3,000	£9,000
If 1,000 regular units are displaced	1,000 × (£25 − £12) contribution forgone	£13,000
Benefit after that displacement	£9,000 − £13,000	−£4,000

INTERPRET: Accepting may add £9,000 with genuinely spare capacity, but lose £4,000 if it displaces the stated regular demand. The same positive unit contribution supports different decisions.

USES / BENEFITS

Uses incremental receipts, costs and opportunity cost.

Makes capacity assumptions explicit rather than automatically rejecting a price below full average cost.

RISKS / LIMITATIONS

Buyers may expect future discounts or existing customers may react badly.

Variable-cost estimates, quality commitments and extra fixed costs may be incomplete.

A* DECISION CHECK

Check spare capacity, displacement, customer response, continuity of the order, brand positioning and long-run full-cost recovery.

Extension | contribution and a limiting resource

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

When a resource is scarce, compare contribution per unit of that resource, subject to demand and other constraints.

Measure	Product A	Product B
Selling price	£50	£70
Variable cost	£30	£40
Contribution per unit	£20	£30
Machine hours per unit	2	5
Contribution per machine hour	£20 ÷ 2 = £10	£30 ÷ 5 = £6
With 100 hours and sufficient demand	50 units → £1,000 contribution	20 units → £600 contribution

INTERPRET: B has higher contribution per product, but A uses the scarce machine more profitably. Prioritising B by unit contribution alone would be misleading.

USES / BENEFITS

Links product mix to the actual capacity bottleneck.

Can reveal the opportunity cost of a scarce resource.

RISKS / LIMITATIONS

Demand limits, customer relationships or multiple constraints can change the simple ranking.

Fixed commitments and quality still matter.

A* DECISION CHECK

This is a supporting extension to contribution decisions. Do not use a scarce-resource rule when the claimed resource is not actually scarce.

3.3.4 | Influences on business decisions

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Culture strength

Shared values versus inconsistency

Culture types

Power • role • task • person

Formation and change

Founders • systems • rewards • routines

Stakeholders

Groups • aims • power • conflict

Models of purpose

Shareholder versus stakeholder priorities

Ethics

Strategic trade-offs • pay • CSR

The A* connection: identify the decisive mechanism

Explain whose behaviour or interest changes, how this affects execution and what is sacrificed. Financial returns and stakeholder wellbeing can reinforce each other, conflict or change over time.

3.3.4 | Influences on business decisions

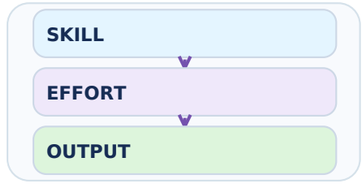
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

046 Strong and weak corporate cultures

DEFINITION
Corporate culture is the shared values, assumptions and accepted behaviour within an organisation. A strong culture is widely shared; a weak culture has less consistent agreement.

ILLUSTRATIVE EXAMPLE

A service firm’s staff consistently prioritise resolving customer problems without waiting for detailed instructions.



BENEFITS / USES

1. A strong shared purpose can coordinate behaviour and reduce the need for constant monitoring.

2. A weak or diverse culture may permit challenge, experimentation and local adaptation.

LIMITATIONS / RISKS

1. A strong unsuitable culture can reinforce poor conduct and resist necessary change.

2. A weak culture can create inconsistent decisions, uncertainty and conflicting standards.

DEVELOP THIS CHAIN — explain why each arrow follows

Reinforce a credible shared value → **Employees use it in decisions** → **More consistent behaviour** → **Support the relevant service objective**

JUDGEMENT / WHEN DOES IT WORK?
Strength is not the same as quality: assess whether the shared values fit the strategy and changing environment.

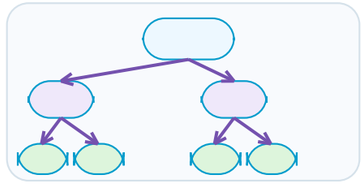
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

047 Power culture

DEFINITION
A power culture concentrates influence around a central person or small group, with decisions shaped by their authority and relationships.

ILLUSTRATIVE EXAMPLE

A founder makes rapid strategic choices and expects direct access and loyalty.



BENEFITS / USES

1. Clear authority can allow fast decisions and flexible informal coordination.

2. A coherent founder vision may support early growth in a small firm.

LIMITATIONS / RISKS

1. Decision quality and continuity become dependent on a few individuals.

2. Fear of challenging authority can suppress information and cause a bottleneck during expansion.

DEVELOP THIS CHAIN — explain why each arrow follows

Founder centralises decisions → **Responds quickly to an opportunity** → **Coordinates an immediate action** → **Potential speed advantage**

JUDGEMENT / WHEN DOES IT WORK?
Judge scale and leader competence; rapid decisions are not necessarily well-informed decisions.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

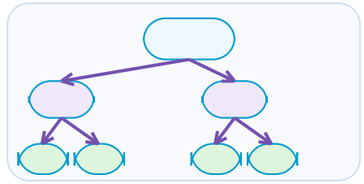
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

048 Role culture

DEFINITION
A role culture coordinates work through defined duties, rules, procedures and hierarchy.

ILLUSTRATIVE EXAMPLE

A regulated operation uses documented responsibilities and approval routines.



BENEFITS / USES

1. Clear accountability supports consistency and predictable performance.

2. Specialised roles and procedures can reduce avoidable variation in routine tasks.

LIMITATIONS / RISKS

1. Rigid boundaries can slow innovation and responses to unusual customer needs.

2. Employees may follow procedures without considering whether they still serve the objective.

DEVELOP THIS CHAIN — explain why each arrow follows

Define a reliable procedure → **Clarify responsibility** → **Reduce inconsistent execution** → **Protect required standards**

JUDGEMENT / WHEN DOES IT WORK?
Useful where consistency matters, but evaluate delay and adaptation costs rather than assuming bureaucracy is always harmful.

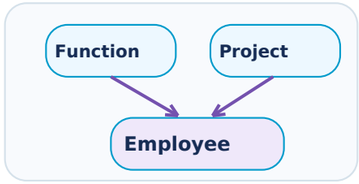
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

049 Task culture

DEFINITION
A task culture organises expertise around solving problems or completing projects.

ILLUSTRATIVE EXAMPLE

A cross-functional team combines engineering, design and marketing to develop a new offer.



BENEFITS / USES

1. Relevant specialists can collaborate and adapt methods to the problem.

2. Shared project ownership may increase engagement and speed practical problem solving.

LIMITATIONS / RISKS

1. Competing projects can create resource conflicts or ambiguous authority.

2. Repeated team formation and coordination require time and strong communication.

DEVELOP THIS CHAIN — explain why each arrow follows

Bring appropriate specialists together → **Share knowledge about the problem** → **Resolve design constraints** → **Improve project outcomes**

JUDGEMENT / WHEN DOES IT WORK?
Clear goals, resources and decision rights matter; a team label does not prove effective collaboration.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

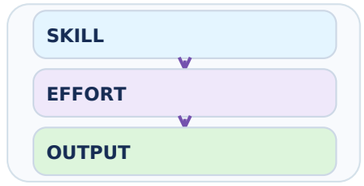
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

050 Person culture

DEFINITION
A person culture places autonomous individuals and their professional interests near the centre of organisational life.

ILLUSTRATIVE EXAMPLE

A group of specialist professionals shares support services while retaining considerable individual independence.



BENEFITS / USES

1. Autonomy can attract skilled experts and support professional motivation.

2. Individual expertise and responsibility can improve specialist service quality.

LIMITATIONS / RISKS

1. Common priorities and resource decisions can be difficult to agree.

2. Strong individual preferences may obstruct coordinated strategy or consistent client experience.

DEVELOP THIS CHAIN — explain why each arrow follows

Protect professional autonomy → **Attract valued expertise** → **Allow tailored specialist work** → **Support high-value client service**

JUDGEMENT / WHEN DOES IT WORK?
Suitable where individual expertise creates value, but explain how the organisation still coordinates shared obligations and investment.

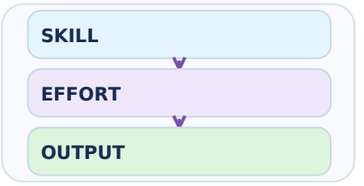
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

051 How culture forms and changes

DEFINITION
Culture develops through founders, leaders, recruitment, rewards, stories, routines, structure and the organisation’s history and environment.

ILLUSTRATIVE EXAMPLE

A firm rewarding only sales volume may develop behaviour different from a mission promising careful advice.



BENEFITS / USES

1. Consistent recruitment, incentives and leadership behaviour can reinforce useful norms.

2. Understanding formation helps target the systems that sustain an unsuitable culture.

LIMITATIONS / RISKS

1. Existing habits, status and identity can resist change even after rules are rewritten.

2. Contradictory rewards or leader behaviour undermine credibility and create cynicism.

DEVELOP THIS CHAIN — explain why each arrow follows

Align rewards with the new value → **Managers model the behaviour** → **Staff see credible expectations** → **Gradually establish new routines**

JUDGEMENT / WHEN DOES IT WORK?
Culture change requires sustained practice and reinforcement; an announcement or new slogan is unlikely to be sufficient.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

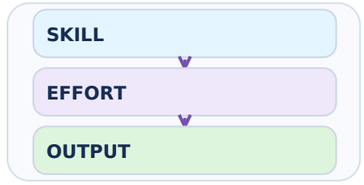
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

052 Stakeholders: groups and objectives

DEFINITION
Stakeholders affect or are affected by the business. Internal groups include owners, managers and employees; external groups include customers, suppliers, lenders, government and communities.

ILLUSTRATIVE EXAMPLE

A branch closure offers cost savings but affects jobs, local access, suppliers and investors.



BENEFITS / USES

1. Mapping objectives reveals constraints, support and conflicts before a strategy is implemented.

2. Engagement can improve information and reduce avoidable disruption or loss of trust.

LIMITATIONS / RISKS

1. Objectives differ within groups and influence depends on power, dependence and urgency.

2. Trying to satisfy every demand can delay decisions and create inconsistent priorities.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify affected groups → **Understand their material interests** → **Anticipate support and resistance** → **Design a more workable decision**

JUDGEMENT / WHEN DOES IT WORK?
Do not equate shareholders with all stakeholders. Prioritise relevant groups using evidence rather than assuming equal influence.

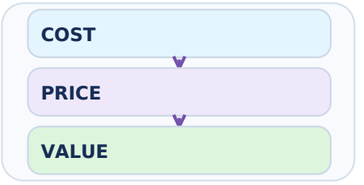
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

053 Shareholder model

DEFINITION
The shareholder model prioritises shareholder returns, including dividends and share-price growth, in corporate decisions.

ILLUSTRATIVE EXAMPLE

Management evaluates an investment partly by the expected value and distributions it creates for owners.



BENEFITS / USES

1. A clear financial priority can sharpen accountability and capital discipline.

2. Attractive returns can support access to equity and future investment.

LIMITATIONS / RISKS

1. Short-term targets may discourage training, resilience or long-term development.

2. Neglecting other stakeholders can create costs through turnover, resistance, reputation or lost customers.

DEVELOP THIS CHAIN — explain why each arrow follows

Prioritise owner returns → **Demand a return on investment** → **Reduce unproductive commitments** → **Support value for shareholders**

JUDGEMENT / WHEN DOES IT WORK?
The model need not mean ignoring others: long-term owner returns may depend on treating employees, customers and suppliers well.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

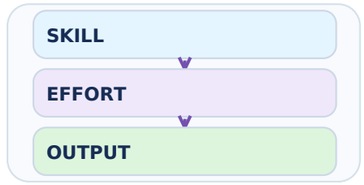
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

054 Stakeholder model

DEFINITION
The stakeholder model considers the interests of affected groups when setting objectives and making decisions.

ILLUSTRATIVE EXAMPLE

A firm weighs employee development, reliable supply and environmental effects alongside financial performance.



BENEFITS / USES

1. Broader engagement can strengthen relationships and the ability to implement change.

2. Attention to trust and resilience may protect long-term performance.

LIMITATIONS / RISKS

1. Competing objectives can be hard to measure and prioritise consistently.

2. Extra commitments may reduce immediate distributable profit or slow action.

DEVELOP THIS CHAIN — explain why each arrow follows

Consider employee concerns → **Design a credible transition** → **Increase acceptance and retention** → **Reduce implementation disruption**

JUDGEMENT / WHEN DOES IT WORK?
Specify how interests are balanced and financed; stakeholder consideration is not a promise to meet every demand.

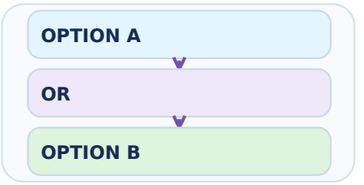
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

055 Stakeholder conflict and negotiated priorities

DEFINITION
Stakeholder conflict arises when one group’s preferred outcome reduces another group’s benefit or ability to meet its aims.

ILLUSTRATIVE EXAMPLE

A wage increase supports employees but may reduce short-term profit or increase prices for customers.



BENEFITS / USES

1. Recognising conflicts supports transparent trade-offs and targeted negotiation.

2. Some apparent conflicts can be reduced through efficiency, phased changes or shared gains.

LIMITATIONS / RISKS

1. Bargaining can be costly and agreement may be impossible.

2. Powerful groups may capture benefits while weaker groups bear the cost.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify the real conflict → **Find feasible shared interests** → **Agree a practical compromise** → **Improve the chance of implementation**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish short- from long-run effects: better retention may offset some wage spending, but the offset must be explained, not assumed.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

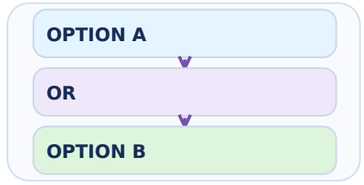
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

056 Ethics of strategic decisions

DEFINITION
Business ethics concerns judgements about appropriate conduct beyond simply asking whether an action is profitable or legal.

ILLUSTRATIVE EXAMPLE

A firm evaluates whether a cheap supplier’s working conditions are acceptable despite the potential cost saving.



BENEFITS / USES

1. Credible ethical conduct can protect trust, recruitment and customer relationships.

2. It can reduce exposure to reputational disruption and align activity with the corporate purpose.

LIMITATIONS / RISKS

1. Ethical standards may add costs and conflict with low prices or immediate returns.

2. Different stakeholders may disagree about what is acceptable or how to prioritise harms.

DEVELOP THIS CHAIN — explain why each arrow follows

Set credible sourcing standards → **Reduce unacceptable supplier behaviour** → **Strengthen stakeholder confidence** → **Support a sustainable reputation**

JUDGEMENT / WHEN DOES IT WORK?
Explain the actual trade-off and evidence; legality alone does not settle ethics, and ethics does not automatically pay for itself.

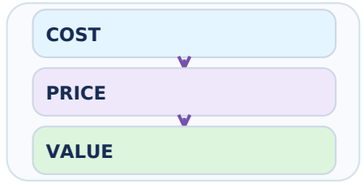
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

057 Ethics of pay and rewards

DEFINITION
Pay ethics concerns fairness, justification and consequences of reward differences and incentives.

ILLUSTRATIVE EXAMPLE

A firm reviews executive bonuses while staff face wage restraint and job insecurity.



BENEFITS / USES

1. Fair and transparent rewards can support trust, retention and commitment.

2. Appropriate incentives can align performance with long-term quality and responsible behaviour.

LIMITATIONS / RISKS

1. High rewards may be justified by scarce skills but still create resentment or reputational costs.

2. Poorly designed bonuses can encourage excessive risk or narrow short-term targets.

DEVELOP THIS CHAIN — explain why each arrow follows

Explain and align reward criteria → **Improve perceived fairness** → **Strengthen employee trust** → **Support retention and performance**

JUDGEMENT / WHEN DOES IT WORK?
Compare contribution, scarcity, responsibility, affordability and the incentive effects; a high amount alone does not establish fairness or unfairness.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.4 | Influences on business decisions

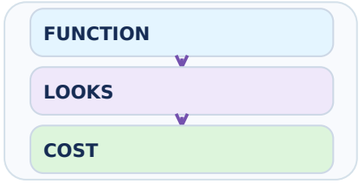
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

058 Corporate social responsibility: CSR

DEFINITION
CSR considers a business's responsibilities towards society and the environment alongside its commercial activities.

ILLUSTRATIVE EXAMPLE

A manufacturer invests in credible waste reduction and supplier standards, then reports measurable progress.



BENEFITS / USES

1. Useful initiatives can improve resource efficiency and strengthen stakeholder trust.

2. A credible purpose can aid differentiation, staff engagement and local acceptance.

LIMITATIONS / RISKS

1. Spending may reduce immediate profit and benefits can be difficult to attribute.

2. Symbolic claims without operational change create greenwashing and credibility risks.

DEVELOP THIS CHAIN — explain why each arrow follows

Reduce a harmful operating practice → **Demonstrate real improvement** → **Increase stakeholder confidence** → **Protect longer-term relationships**

JUDGEMENT / WHEN DOES IT WORK?
Assess material impact, evidence and strategic fit; a charitable donation does not excuse harmful core practices.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Connect the section

Explain whose behaviour or interest changes, how this affects execution and what is sacrificed. Financial returns and stakeholder wellbeing can reinforce each other, conflict or change over time.

Test your reasoning

What does the model or measure establish?

What does it leave unresolved?

Which business constraint matters most?

Which plausible change would reverse the decision?

Can you explain a different mechanism rather than relabel the first point?

3.3.5 | Assessing competitiveness

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Statements

Income over a period; position at a date

Profitability

Gross/final margins; operating profit for ROCE

Liquidity and gearing

Current • acid test • funding structure

Return on capital

Profit relative to the capital committed

Workforce measures

Productivity • turnover • retention • absence

Responses

Rewards • share ownership • consultation • empowerment

The A* connection: identify the decisive mechanism

Compare linked indicators, investigate causes and explain the response. Rising revenue, output or profit can coexist with weaker margins, liquidity, returns, service quality or employee wellbeing.

3.3.5 | Assessing competitiveness

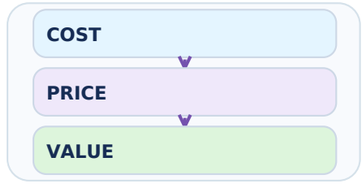
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

059 Statement of comprehensive income

DEFINITION
The statement reports revenue, costs and profit over a period; it supports analysis of how operating activity and finance affect returns.

ILLUSTRATIVE EXAMPLE

Revenue − cost of sales = gross profit; subtract operating expenses for operating profit, then relevant finance/tax items for profit for the year.



BENEFITS / USES

1. Comparing stages of profit helps locate cost, pricing or financing pressures.

2. Owners, managers, lenders and staff can assess performance relevant to their interests.

LIMITATIONS / RISKS

1. Profit is not the same as cash received or available to pay obligations.

2. One-off items, accounting estimates and reporting periods affect comparability.

DEVELOP THIS CHAIN — explain why each arrow follows

Compare revenue with cost of sales → **Identify gross margin pressure** → **Investigate operating and finance costs** → **Target the relevant performance issue**

JUDGEMENT / WHEN DOES IT WORK?
Read the definitions in the extract: distinguish operating performance from financing and any separately supplied tax effects.

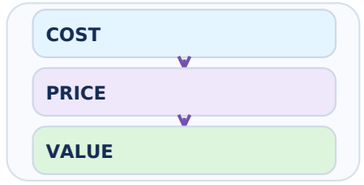
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

060 Statement of financial position

DEFINITION
The statement shows assets, liabilities and equity at a date, indicating resources controlled and how they are financed.

ILLUSTRATIVE EXAMPLE

Current assets include inventory, receivables and cash; liabilities distinguish short-term and longer-term obligations.



BENEFITS / USES

1. Reveals working-capital structure, borrowing and capital employed.

2. Different users can assess security, payment exposure and resources for future activity.

LIMITATIONS / RISKS

1. A snapshot can be unrepresentative of seasonal peaks and payment pressures.

2. Book values may not reflect realisable value, asset condition or the whole competitive capability.

DEVELOP THIS CHAIN — explain why each arrow follows

Examine asset and liability structure → **Identify funding and payment exposure** → **Compare with future commitments** → **Assess the feasibility of expansion**

JUDGEMENT / WHEN DOES IT WORK?
Use it with cash timing and performance data; a valuable asset does not automatically provide cash for next week’s wages.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

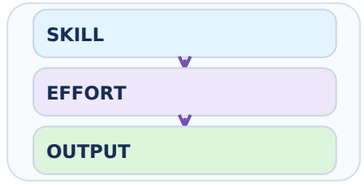
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

061 Financial statements and stakeholder interests

DEFINITION
Different stakeholders use the same statements to assess different objectives and risks.

ILLUSTRATIVE EXAMPLE

Investors consider returns; lenders consider repayment; suppliers consider payment reliability; employees consider security and reward prospects.



BENEFITS / USES

1. Multiple perspectives reveal consequences an owner-only assessment may overlook.

2. Managers can communicate evidence relevant to investment, credit and employment decisions.

LIMITATIONS / RISKS

1. Published accounts may be historic or too aggregated for a particular group’s question.

2. Interested parties may interpret selective measures in their own favour.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify the stakeholder’s decision → **Select relevant financial evidence** → **Assess risk or likely benefit** → **Reach a contextual conclusion**

JUDGEMENT / WHEN DOES IT WORK?
Match information to the specific user; “accounts show performance” is too vague to explain stakeholder interest.

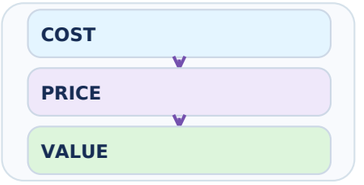
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

062 Gross profit margin

DEFINITION
Gross profit margin = gross profit ÷ revenue × 100. It measures the proportion of sales remaining after cost of sales.

ILLUSTRATIVE EXAMPLE

£400,000 gross profit on £1,000,000 revenue gives 40%.



BENEFITS / USES

1. Helps assess direct-cost control and the pricing/production mix.

2. Comparison over time or with a relevant rival can reveal pressure on core trading performance.

LIMITATIONS / RISKS

1. Changes may reflect product mix, discounts or input inflation rather than efficiency alone.

2. A high gross margin says nothing by itself about operating expenses, finance or cash.

DEVELOP THIS CHAIN — explain why each arrow follows

Cost of sales rises faster than revenue → **Gross margin falls** → **Less revenue covers other expenses** → **Investigate sourcing, pricing and mix**

JUDGEMENT / WHEN DOES IT WORK?
Explain a plausible cause from the case and compare scale: gross profit may rise in money terms even when the margin falls.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

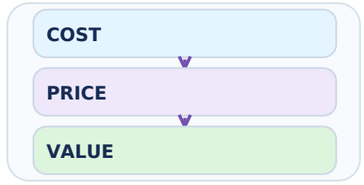
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

063 Profit-for-the-year margin

DEFINITION
Profit-for-the-year margin = profit for the year ÷ revenue × 100. It measures the final profit proportion after the costs included in that figure.

ILLUSTRATIVE EXAMPLE

£120,000 profit on £1,000,000 revenue gives a 12% margin.



BENEFITS / USES

1. Shows the overall profit outcome relative to sales rather than sales growth alone.

2. Comparing gross, operating and final margins helps distinguish trading, overhead and finance effects.

LIMITATIONS / RISKS

1. Interest, tax where supplied and one-off items can move the ratio without a change in product competitiveness.

2. The ratio does not show investment size, cash timing or the sustainability of the result.

DEVELOP THIS CHAIN — explain why each arrow follows

Revenue grows but profit is unchanged → **Final profit margin falls** → **Growth is not adding proportional profit** → **Investigate the reason before expanding**

JUDGEMENT / WHEN DOES IT WORK?
For supplied operating profit, operating margin = operating profit ÷ revenue × 100; keep profit definitions consistent.

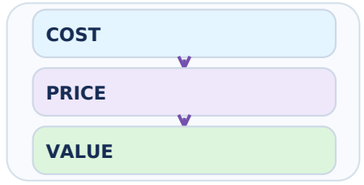
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

064 Current ratio

DEFINITION
Current ratio = current assets ÷ current liabilities. It compares short-term assets with obligations due within the relevant short-term period.

ILLUSTRATIVE EXAMPLE

Current assets £400,000; current liabilities £200,000: 2:1.



BENEFITS / USES

1. Provides an initial indicator of short-term cover and working-capital structure.

2. A decline can prompt investigation of inventory, receivables and payment commitments.

LIMITATIONS / RISKS

1. Inventory or receivables may not convert into cash in time or at book value.

2. Industry models differ and a high ratio can indicate idle cash or inefficient stock.

DEVELOP THIS CHAIN — explain why each arrow follows

Current obligations rise → **Current ratio falls** → **Payment cover may weaken** → **Check cash timing and asset quality**

JUDGEMENT / WHEN DOES IT WORK?
There is no universal safe threshold; use sector, trend, credit terms, cash forecasts and the composition of current assets.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

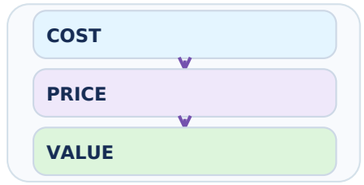
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

065 Acid test ratio

DEFINITION
Acid test ratio = (current assets − inventory) ÷ current liabilities. It removes inventory from the short-term cover calculation.

ILLUSTRATIVE EXAMPLE

(£400,000 − £120,000) ÷ £200,000 = 1.4:1.



BENEFITS / USES

1. Reduces reliance on selling stock when assessing payment cover.

2. A gap between current and acid test ratios reveals how much the position depends on inventory.

LIMITATIONS / RISKS

1. Receivables can still be late or irrecoverable, so the remaining assets are not all immediate cash.

2. An unusually low ratio may be normal for some fast-cash businesses and needs context.

DEVELOP THIS CHAIN — explain why each arrow follows

Inventory builds during expansion → **Current ratio looks acceptable** → **Acid test reveals weaker liquid cover** → **Review working-capital funding**

JUDGEMENT / WHEN DOES IT WORK?
Assess the timing of receipts and payments, not only whether the figure is above or below one.

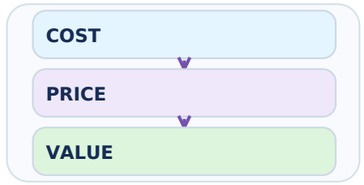
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

066 Gearing ratio

DEFINITION
Using Pearson’s basis, gearing = non-current liabilities ÷ capital employed × 100; capital employed = non-current liabilities + total equity.

ILLUSTRATIVE EXAMPLE

£300,000 non-current liabilities ÷ £900,000 capital employed × 100 = 33.3%.



BENEFITS / USES

1. Indicates the share of long-term capital associated with non-current liabilities.

2. Helps assess funding exposure and the consequences of further borrowing.

LIMITATIONS / RISKS

1. It does not reveal actual interest terms, repayment dates or the stability of operating cash.

2. High gearing is not automatically unviable; asset quality and returns on investment matter.

DEVELOP THIS CHAIN — explain why each arrow follows

Borrow to finance expansion → **Raise the debt share of capital** → **Increase fixed finance commitments** → **Make downside cash resilience more important**

JUDGEMENT / WHEN DOES IT WORK?
Use the stated numerator and denominator; do not substitute debt/equity for Pearson’s gearing formula.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

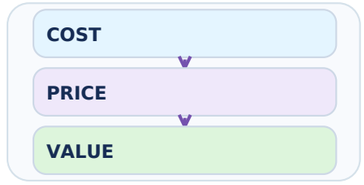
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

067 Return on capital employed: ROCE

DEFINITION
ROCE = operating profit ÷ capital employed × 100. It measures operating return relative to the long-term capital committed.

ILLUSTRATIVE EXAMPLE

£150,000 operating profit ÷ £900,000 capital employed × 100 = 16.7%.



BENEFITS / USES

1. Relates profit to investment scale, helping distinguish growth from productive use of capital.

2. Supports comparison with suitable alternatives and financing/return requirements.

LIMITATIONS / RISKS

1. New investments may depress current returns before benefits mature.

2. Asset valuation, depreciation and different business models weaken simple comparisons.

DEVELOP THIS CHAIN — explain why each arrow follows

Invest more capital → **Operating profit rises less quickly** → **ROCE declines** → **Question utilisation or investment timing**

JUDGEMENT / WHEN DOES IT WORK?
Use operating profit, not profit for the year. A higher ratio may reflect an old depreciated asset base rather than superior future prospects.

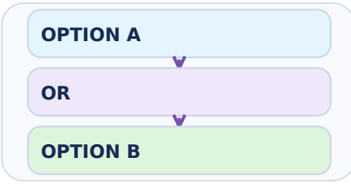
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

068 Ratio analysis: from measure to decision

DEFINITION
Ratio analysis evaluates relationships in accounts rather than relying only on absolute totals.

ILLUSTRATIVE EXAMPLE

Rising revenue is assessed alongside margins, liquidity, gearing, ROCE and the investment's stage of development.



BENEFITS / USES

1. Several ratios can reveal connected strengths and vulnerabilities.

2. Trend and appropriate competitor comparisons support more focused investigation and decisions.

LIMITATIONS / RISKS

1. Historic data, window dressing, estimates and accounting differences can distort conclusions.

2. Ratios omit much about quality, innovation, culture, future demand and implementation capability.

DEVELOP THIS CHAIN — explain why each arrow follows

Calculate accurately → **Interpret the specific movement** → **Investigate cause and context** → **Combine measures before judging**

JUDGEMENT / WHEN DOES IT WORK?
Avoid universal targets and causal certainty. Ask what action produced the ratio, whether it is sustainable and what important evidence is missing.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

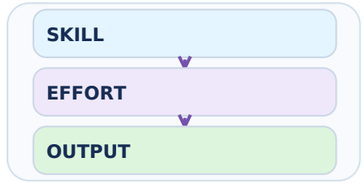
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

069 Labour productivity

DEFINITION
Labour productivity is output per employee over a specified period: total output ÷ employees, using the stated workforce measure.

ILLUSTRATIVE EXAMPLE

50,000 acceptable units ÷ 100 average employees = 500 units per employee per year.



BENEFITS / USES

1. Helps compare productive use of labour and investigate unit-cost changes.

2. Can inform training, process, equipment and staffing decisions.

LIMITATIONS / RISKS

1. More output can conceal defects, rushed service or harmful workloads.

2. Hours, capital, outsourcing and product mix can change the ratio without a change in employee effort.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve process and skill → **More acceptable output from staff** → **Lower labour resource per unit** → **Potential cost and competitiveness gain**

JUDGEMENT / WHEN DOES IT WORK?
Specify output quality and the denominator; labour productivity is not a direct measurement of motivation.

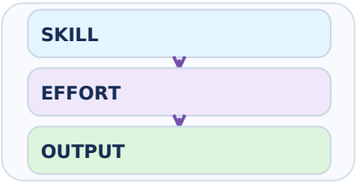
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

070 Labour turnover

DEFINITION
Labour turnover = employees leaving during the period ÷ average workforce × 100. It measures the rate of departures.

ILLUSTRATIVE EXAMPLE

15 leavers ÷ 100 average employees × 100 = 15%.



BENEFITS / USES

1. Reveals replacement pressure and can help investigate lost skills or management problems.

2. Comparisons by role, site and time support targeted retention action.

LIMITATIONS / RISKS

1. A headline rate does not distinguish useful renewal, retirement or regretted loss of key staff.

2. Sector and contract patterns differ; the rate alone does not explain the cause.

DEVELOP THIS CHAIN — explain why each arrow follows

Experienced staff leave → **Recruitment and induction increase** → **Skills and continuity are disrupted** → **Service or productivity may weaken**

JUDGEMENT / WHEN DOES IT WORK?
Investigate who leaves and why; zero turnover is not necessarily desirable if renewal and weak performance also matter.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

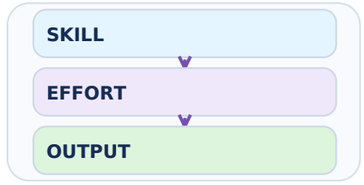
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

071 Labour retention

DEFINITION
Labour retention = starting-cohort employees still employed at period end ÷ employees at the start × 100.

ILLUSTRATIVE EXAMPLE

81 of 90 starting employees remain: retention = 90%.



BENEFITS / USES

1. Shows how successfully the business keeps an existing cohort and its experience.

2. Can support evaluation of rewards, development and management changes.

LIMITATIONS / RISKS

1. A high rate can coexist with weak performance or limited new skills.

2. Retention and turnover need not sum to 100 because their populations and denominators differ.

DEVELOP THIS CHAIN — explain why each arrow follows

Improve credible career support → **More valued staff remain** → **Preserve experience and relationships** → **Reduce repeated replacement costs**

JUDGEMENT / WHEN DOES IT WORK?
State the cohort and dates; use 100 − turnover only if the question’s definitions make it valid.

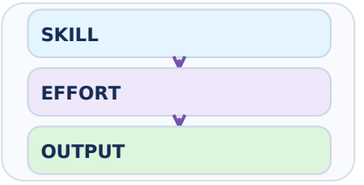
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

072 Absenteeism

DEFINITION
An absenteeism rate compares work time lost through absence with the total possible scheduled work time, multiplied by 100.

ILLUSTRATIVE EXAMPLE

600 days lost ÷ 20,000 possible working days × 100 = 3%.



BENEFITS / USES

1. Identifies cover, continuity and wellbeing pressures.

2. Tracking patterns helps target support, scheduling or workplace improvements.

LIMITATIONS / RISKS

1. Different recording practices and health conditions limit comparisons.

2. Lower recorded absence may conceal presenteeism, pressure or unsafe behaviour.

DEVELOP THIS CHAIN — explain why each arrow follows

Absence reduces available staff time → **Cover or overtime is needed** → **Costs or service disruption rise** → **Investigate causes and support**

JUDGEMENT / WHEN DOES IT WORK?
Use consistent units in numerator and denominator and do not assume every absence reflects poor motivation.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

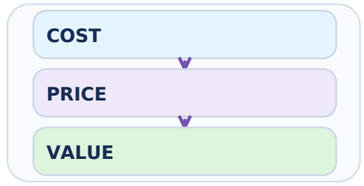
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

073 Financial rewards and HR performance

DEFINITION
Financial rewards include pay, bonuses, commission, profit sharing and appropriate performance-related arrangements.

ILLUSTRATIVE EXAMPLE

A team bonus combines service quality and output targets rather than rewarding speed alone.



BENEFITS / USES

1. Fair competitive rewards can help attract and retain skills and focus suitable effort.

2. A relevant incentive can align employee actions with business priorities.

LIMITATIONS / RISKS

1. Rewards cost money and may create gaming, stress or conflict if targets are narrow or unfair.

2. Staff need the ability and resources to influence results; external conditions can overwhelm effort.

DEVELOP THIS CHAIN — explain why each arrow follows

Set fair relevant rewards → **Improve perceived recognition** → **Support retention and effort** → **Protect service capability**

JUDGEMENT / WHEN DOES IT WORK?
Match the problem: a pay rise may help uncompetitive pay, but cannot alone fix poor supervision, equipment or career prospects.

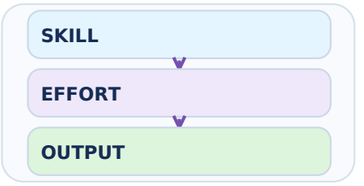
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

074 Employee share ownership

DEFINITION
Employee share ownership gives employees an equity interest in the business, sometimes through a scheme or award.

ILLUSTRATIVE EXAMPLE

Eligible staff receive shares that connect part of their reward to long-term company value.



BENEFITS / USES

1. Ownership may align staff interests with durable business success and encourage commitment.

2. Vesting or long-term participation can strengthen retention of valued employees.

LIMITATIONS / RISKS

1. Individual effort may have little visible effect on share price and external markets affect value.

2. The arrangement can dilute existing ownership and expose employees to company-specific risk.

DEVELOP THIS CHAIN — explain why each arrow follows

Give a meaningful ownership interest → **Strengthen long-term identification** → **Encourage retention and shared effort** → **Support sustained capability**

JUDGEMENT / WHEN DOES IT WORK?
Assess scale, understanding and fairness of the scheme; nominal ownership does not automatically create real employee influence.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.5 | Assessing competitiveness

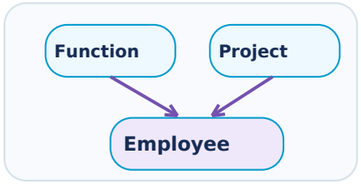
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

075 Consultation strategies

DEFINITION
Consultation seeks employees' views before decisions and uses appropriate feedback to improve the choice or implementation.

ILLUSTRATIVE EXAMPLE

Staff identify practical workload problems before a new production system is introduced.



BENEFITS / USES

1. Frontline knowledge can reveal implementation risks and improve design.

2. Genuine involvement can strengthen trust and reduce avoidable resistance or departures.

LIMITATIONS / RISKS

1. Discussion takes time and may raise expectations that cannot all be met.

2. Consultation without meaningful response can create cynicism and weaken future cooperation.

DEVELOP THIS CHAIN — explain why each arrow follows

Seek staff insight early → **Resolve practical concerns** → **Increase confidence in the plan** → **Support implementation and retention**

JUDGEMENT / WHEN DOES IT WORK?
Distinguish consultation from giving a veto or announcing a finished decision; explain what employee input can actually change.

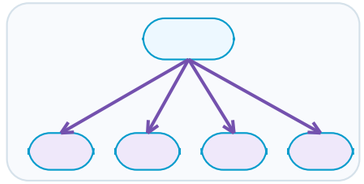
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

076 Empowerment strategies

DEFINITION
Empowerment gives employees meaningful discretion and resources to make decisions about their work within agreed boundaries.

ILLUSTRATIVE EXAMPLE

A trained service team can resolve defined customer issues without waiting for senior approval.



BENEFITS / USES

1. Faster local decisions can improve responsiveness and use staff knowledge.

2. Responsibility can develop skill, ownership and job satisfaction.

LIMITATIONS / RISKS

1. Unclear limits or insufficient training can create inconsistent or costly decisions.

2. Accountability without authority or support can increase workload and stress.

DEVELOP THIS CHAIN — explain why each arrow follows

Train and give real authority → **Resolve issues promptly** → **Improve customer experience** → **Support staff commitment and retention**

JUDGEMENT / WHEN DOES IT WORK?
Assess competence, information, systems and boundaries; removing supervision without support is not effective empowerment.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Financial lab | read the income statement

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Illustrative Year 1, all figures £000. Tax is omitted for this teaching example; use any separate tax information supplied in an exam.

Stage	Working	£000	Interpretation
Revenue	Sales income	1,000	Not the same as cash collected
Cost of sales	Direct trading/production cost	600	60% of revenue
Gross profit	1,000 − 600	400	Before other operating costs
Operating expenses	Other operating costs	250	Assess their purpose and efficiency
Operating profit	400 − 250	150	Return before financing costs
Interest	Finance cost	30	Influenced by funding/terms
Profit for the year	150 − 30	120	Final profit in this simplified case

INTERPRET: A stronger gross result can be offset by operating or financing costs. Read the full sequence rather than selecting the most favourable number.

USES / BENEFITS

Locates where margins are generated or lost.

Different stages answer different stakeholder questions.

RISKS / LIMITATIONS

Accounting profit is not operating cash.

Aggregates and one-off items can conceal different product or site performance.

A* DECISION CHECK

Explain whose decision is being made: an investor, lender, supplier and employee need different supporting evidence.

Financial lab | statement of financial position

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Year 1, £000. Net assets = total assets − total liabilities. Capital employed = non-current liabilities + equity = total assets − current liabilities.

Item	£000	Working or composition
Non-current assets	700	Longer-term operating resources
Current assets	400	Inventory 120 + receivables 180 + cash 100
Total assets	1,100	700 + 400
Current liabilities	200	Short-term obligations
Non-current liabilities	300	Longer-term obligations
Net assets / total equity	600	1,100 − 200 − 300
Capital employed	900	300 + 600, or 1,100 − 200

INTERPRET: Working capital = £400k − £200k = £200k. That is not £200k cash: it includes inventory and receivables. Cash itself is £100k.

USES / BENEFITS

Reveals the mix of resources and funding.

Supports liquidity, gearing and return calculations on a consistent basis.

RISKS / LIMITATIONS

A reporting-date snapshot can miss seasonal cash pressure.

Asset book value does not guarantee sale proceeds or useful capacity.

A* DECISION CHECK

Ask when receivables arrive and liabilities fall due; a positive net-assets figure does not settle short-term payment risk.

Financial lab | formula, substitution and result

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Use consistent figures and profit definitions. Ratio numbers are indicators, not self-explanatory judgements.

Measure	Substitution using £000	Result	Meaning
Gross profit margin	400 ÷ 1,000 × 100	40%	£0.40 gross profit per £1 sales
Operating margin (supporting)	150 ÷ 1,000 × 100	15%	Operating profit proportion
Profit-for-year margin	120 ÷ 1,000 × 100	12%	£0.12 final profit per £1 sales
Current ratio	400 ÷ 200	2:1	£2 current assets per £1 current liabilities
Acid test	(400 − 120) ÷ 200	1.4:1	Excludes inventory from cover
Gearing	300 ÷ (300 + 600) × 100	33.33%	Share of capital employed in non-current liabilities
ROCE	150 ÷ (300 + 600) × 100	16.67%	Operating profit per £100 capital employed

INTERPRET: ROCE uses operating profit; gearing uses non-current liabilities on Pearson’s basis. These are different questions, not alternative descriptions of the same performance.

USES / BENEFITS

Connects outcomes to revenue, obligations or investment scale.

Several measures expose tensions hidden by revenue growth alone.

RISKS / LIMITATIONS

Definitions, valuations and business models affect comparison.

No ratio establishes the cause of its movement without evidence.

A* DECISION CHECK

Use relevant trend/competitor benchmarks, identify a plausible cause, then weigh liquidity, returns, future demand and implementation.

Financial lab | growth can hide weaker competitiveness

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Year 2: revenue 1,200; cost of sales 780; operating costs 240; interest 60; final profit 120 (£000). Capital employed 1,200.

Measure	Year 1	Year 2	Movement / issue
Revenue / final profit	1,000 / 120	1,200 / 120	Revenue +20%, profit unchanged
Gross margin	40%	420 ÷ 1,200 = 35%	Down 5 percentage points
Final margin	12%	120 ÷ 1,200 = 10%	Down 2 percentage points
Current ratio	2:1	480 ÷ 300 = 1.6:1	Less cover
Acid test	1.4:1	(480 − 240) ÷ 300 = 0.8:1	More dependence on inventory/receipts
Gearing	33.33%	600 ÷ 1,200 = 50%	Higher debt share
ROCE	16.67%	180 ÷ 1,200 = 15%	Return falls despite higher operating profit

INTERPRET: Year 2 balance-sheet consistency: non-current assets 1,020; current assets 480; current liabilities 300; non-current liabilities 600; equity 600 (£000). Current assets comprise inventory 240, receivables 200 and cash 40.

USES / BENEFITS

Combines margins, cash exposure and capital returns.

Shows why a growth strategy needs more than a revenue headline.

RISKS / LIMITATIONS

Investment may still be ramping up and accounting data may include temporary effects.

The ratios do not prove a specific management failure.

A* DECISION CHECK

The strongest concern may be the combination of lower cash, higher interest and inventory buildup. Check cash forecasts and the expected timing of new-asset benefits.

HR lab | calculate and interpret

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Annual case: opening headcount 90, closing 110, average 100; 35 join and 15 leave. 81 starting-cohort employees remain.

Measure	Numerator	Denominator	Working	Result
Productivity	50,000 acceptable units	100 average employees	50,000 ÷ 100	500 units per employee
Turnover	15 leavers	100 average employees	15 ÷ 100 × 100	15%
Retention	81 original staff remain	90 starting employees	81 ÷ 90 × 100	90%
Absenteeism	600 working days lost	20,000 possible days	600 ÷ 20,000 × 100	3%

INTERPRET: Turnover and retention do not sum to 100 here. Nine original staff leave and six newer joiners leave; 81 original + 29 surviving joiners = 110 closing employees. Different cohorts and denominators matter.

USES / BENEFITS

Targets investigation of continuity, capacity and employee experience.

Supports evaluation of a specific HR intervention over time.

RISKS / LIMITATIONS

Higher output can hide defects or overwork; low absence can hide presenteeism.

A headline turnover rate does not reveal the loss of scarce skills.

A* DECISION CHECK

Pair rates with role-level evidence, quality, hours, reasons for leaving and sector context. Match reward, consultation, ownership or empowerment to the actual cause.

HR lab | connect the measure to a decision

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

A numerical improvement should create a credible operational or strategic benefit, not merely make a dashboard look better.

Problem evidence	Possible response	Mechanism	Important check
Scarce specialists leaving	Relevant development and fair reward	Retain knowledge and reduce replacement disruption	Why are they leaving?
Errors during a system rollout	Training plus consultation	Improve skill and identify practical flaws	Staff need time to practise
Slow routine customer decisions	Supported empowerment	Resolve issues closer to the customer	Authority and limits must be clear
Weak long-term commitment	Appropriate employee share scheme	Strengthen identification with durable success	External share-price risks remain
600 lost days needing £120/day cover	Investigate and support the causes	Direct cover cost = £72,000	Not every absence is avoidable

INTERPRET: Reducing absence by one percentage point of 20,000 days would mean 200 fewer lost days. At £120 cover per day, the illustrative saving is £24,000 before intervention costs and other effects.

USES / BENEFITS

Links the data to a targeted mechanism.

Allows comparison of intervention cost with plausible benefits.

RISKS / LIMITATIONS

The observed relationship may not prove the intervention caused the improvement.

Pressure to improve a rate can distort reporting and harm wellbeing.

A* DECISION CHECK

Weigh quality, workload, fairness, retention of key skills, customer outcomes, intervention cost and the sustainability of changed behaviour.

3.3.6 | Managing change

SECTION MAP • Concepts, decisions, implementation and the conditions behind a judgement

EVIDENCE → OPTIONS → CONSEQUENCES

Context

Culture • size and complexity

Pace

Urgency versus capability and learning

Resistance

Causes • participation • support • negotiation

Leadership

Credible vision with practical execution

Risks

Disasters • IT failure • key-staff loss

Mitigation

Continuity • testing • succession

The A* connection: identify the decisive mechanism

The chosen strategy only creates value if change can be implemented. Match leadership and support to urgency, resources and resistance; test continuity and key-person cover rather than relying on a plan’s existence.

3.3.6 | Managing change

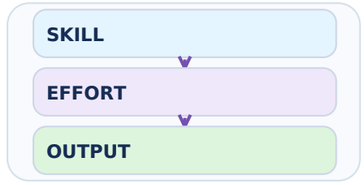
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

077 Culture and the ability to change

DEFINITION
Culture affects whether new behaviour feels credible, acceptable and compatible with how the organisation normally operates.

ILLUSTRATIVE EXAMPLE

A firm accustomed to strict role boundaries struggles to introduce autonomous project teams.



BENEFITS / USES

1. Shared learning and trust can support experimentation and coordinated adaptation.

2. Aligning incentives and leadership behaviour with the change improves credibility.

LIMITATIONS / RISKS

1. Strong unsuitable norms can protect existing status and discourage new behaviour.

2. A superficial cultural message may conflict with established rewards and routines.

DEVELOP THIS CHAIN — explain why each arrow follows

Explain the required new behaviour → **Change the systems that reward it** → **Demonstrate consistent leadership** → **Increase sustained adoption**

JUDGEMENT / WHEN DOES IT WORK?
Diagnose the cultural mechanism rather than calling all strong cultures resistant; a strong adaptive culture can enable change.

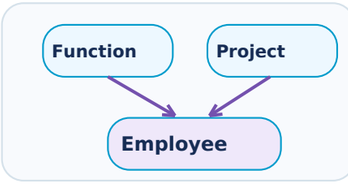
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

078 Size and complexity of change

DEFINITION
Organisation size affects the number of people, sites, interfaces and routines involved in implementation.

ILLUSTRATIVE EXAMPLE

A small business may communicate directly; a large group may need phased coordination across multiple systems.



BENEFITS / USES

1. Large organisations may have finance, expertise and training capacity to support change.

2. Small firms may communicate quickly and adapt without many approval levels.

LIMITATIONS / RISKS

1. Large scale creates coordination costs, subcultures and more points of resistance.

2. Small firms may lack spare staff, specialist knowledge or financial resilience during disruption.

DEVELOP THIS CHAIN — explain why each arrow follows

Assess implementation complexity → **Provide appropriate coordination** → **Sequence the transition** → **Reduce avoidable service failure**

JUDGEMENT / WHEN DOES IT WORK?
Size is not a verdict: compare complexity and resources as well as headcount.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.6 | Managing change

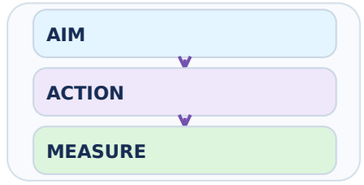
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

079 Time and speed of change

DEFINITION
Speed concerns how rapidly a change is introduced relative to the need to respond and the organisation’s ability to adapt.

ILLUSTRATIVE EXAMPLE

A firm compares a rapid system cutover with staged adoption and pilot testing.



BENEFITS / USES

1. Rapid action may meet an urgent threat and limit uncertainty or prolonged duplicate systems.

2. Phasing permits learning, training and correction before a wider commitment.

LIMITATIONS / RISKS

1. A rushed transition can create errors, overload and customer disruption.

2. Slow change may lose competitive opportunity and prolong the cost of operating two methods.

DEVELOP THIS CHAIN — explain why each arrow follows

Pilot an uncertain process → **Identify and correct failures** → **Train before wider adoption** → **Reduce rollout disruption**

JUDGEMENT / WHEN DOES IT WORK?
Compare urgency with reversibility, competence and the cost of failure; the fastest timetable is not automatically the best.

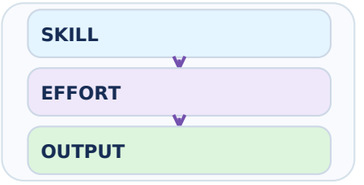
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

080 Resistance: causes and responses

DEFINITION
Resistance is opposition or reluctance to accept a change; causes include fear, loss of status, insecurity, habit, poor information and distrust.

ILLUSTRATIVE EXAMPLE

Employees fear that automation will remove roles or make their skills obsolete.



BENEFITS / USES

1. Understanding the cause allows targeted communication, support or redesign.

2. Staff concerns can reveal genuine flaws rather than merely obstruct a good plan.

LIMITATIONS / RISKS

1. Ignoring concerns can create departures, conflict or deliberate non-cooperation.

2. Treating all objections as valid can delay necessary decisions and leave an unworkable compromise.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify the specific concern → **Explain and address its cause** → **Provide credible support** → **Increase the chance of adoption**

JUDGEMENT / WHEN DOES IT WORK?
Separate a useful challenge to the plan from unwillingness to adapt; tailor the response rather than assuming resistance is irrational.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.6 | Managing change

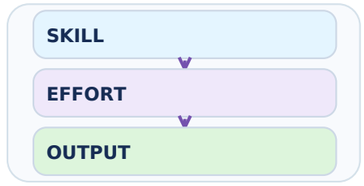
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

081 Managing resistance and implementation

DEFINITION
Resistance can be managed through communication, participation, training/support, negotiation and, in some circumstances, clear managerial direction.

ILLUSTRATIVE EXAMPLE

A new system is piloted with staff input, practical training and a credible transition timetable.



BENEFITS / USES

1. Participation and training can improve capability and commitment at the same time.

2. Negotiation may resolve a material conflict and protect key skills or relationships.

LIMITATIONS / RISKS

1. Support and consultation require time and resources; concessions may increase cost.

2. Pressure can achieve compliance quickly but damage trust, wellbeing and retention.

DEVELOP THIS CHAIN — explain why each arrow follows

Engage the affected team → **Build skill and credible understanding** → **Reduce avoidable opposition** → **Improve implementation quality**

JUDGEMENT / WHEN DOES IT WORK?
Select by urgency, trust, stakeholder power and the source of resistance; no method is universally best.

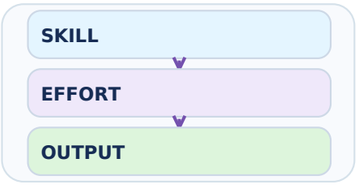
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

082 Transformative leadership

DEFINITION
Transformative leadership builds commitment to a changed direction through a credible vision, role modelling, development and support.

ILLUSTRATIVE EXAMPLE

A leader explains why the strategy must change and reinforces new behaviours through decisions and rewards.



BENEFITS / USES

1. A clear purpose can coordinate action across functions and sustain effort through uncertainty.

2. Empowerment and development can build the capability needed to make the vision practical.

LIMITATIONS / RISKS

1. Charisma can encourage uncritical agreement or dependence on one person.

2. Vision without resources, planning and credible behaviour becomes an empty promise.

DEVELOP THIS CHAIN — explain why each arrow follows

Communicate a credible direction → **Model and support new behaviour** → **Build shared commitment** → **Sustain adoption of the change**

JUDGEMENT / WHEN DOES IT WORK?
Evaluate execution and staff experience alongside the message; inspiration does not replace workable systems or ethical leadership.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.6 | Managing change

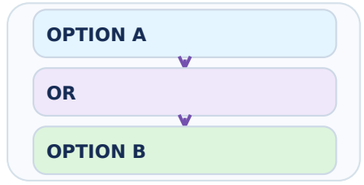
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

083 Risk assessment and contingency priorities

DEFINITION
Risk assessment identifies threats and evaluates likelihood and impact to prioritise preparation and mitigation.

ILLUSTRATIVE EXAMPLE

A firm considers natural disasters, IT failure and loss of key staff, including linked consequences.



BENEFITS / USES

1. Makes critical dependencies and exposure visible before disruption.

2. Helps direct limited preparation resources towards material risks and essential activities.

LIMITATIONS / RISKS

1. Probabilities can be uncertain and past events may understate novel threats.

2. A risk register can become a paper exercise and miss interdependent or changing exposures.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify a critical threat → **Assess impact and vulnerability** → **Prioritise an actionable response** → **Reduce avoidable disruption**

JUDGEMENT / WHEN DOES IT WORK?
Consider low-probability/high-impact events and update the assessment; multiplying rough scores does not create certainty.

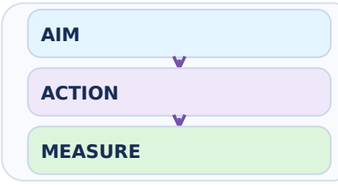
RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

084 Business continuity planning

DEFINITION
Business continuity plans how essential activity will be maintained or restored during disruption.

ILLUSTRATIVE EXAMPLE

A firm prepares alternative premises/suppliers, tested IT backups, contact arrangements and recovery responsibilities.



BENEFITS / USES

1. Preparation can reduce downtime, lost sales and the damage to customer trust.

2. Testing clarifies roles and exposes gaps before an actual crisis.

LIMITATIONS / RISKS

1. Standby capacity, training and testing cost resources with uncertain immediate return.

2. Plans can become outdated or fail under a different event from the one anticipated.

DEVELOP THIS CHAIN — explain why each arrow follows

Test the recovery arrangements → **Detect gaps and clarify roles** → **Restore essential service sooner** → **Limit disruption to customers and cash**

JUDGEMENT / WHEN DOES IT WORK?
Prioritise critical activities, recovery time and actual ability to operate; a stored document is not proven continuity.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

3.3.6 | Managing change

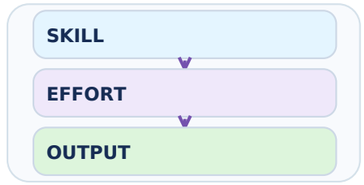
DETAILED STUDY CARDS • Definition, application, benefits, limitations, reasoning and judgement.

085 Succession planning and key-person risk

DEFINITION
Succession planning prepares people and processes to fill critical roles when key staff leave or become unavailable.

ILLUSTRATIVE EXAMPLE

A founder documents essential relationships and develops a capable deputy before expansion.



BENEFITS / USES

1. Preserves important knowledge and reduces dependence on one individual.

2. Development pathways can improve retention and continuity of leadership or technical capability.

LIMITATIONS / RISKS

1. Preparation takes time and a nominated successor may leave or prove unsuitable.

2. Poorly communicated appointments can create rivalry or limit access to external talent.

DEVELOP THIS CHAIN — explain why each arrow follows

Identify a critical role → **Develop and document the capability** → **Provide credible cover or succession** → **Reduce disruption after a departure**

JUDGEMENT / WHEN DOES IT WORK?
Use a broader talent and knowledge plan rather than assuming one named replacement eliminates the risk.

RETRIEVE: define it → explain one benefit → challenge it with a relevant condition.

Connect the section

The chosen strategy only creates value if change can be implemented. Match leadership and support to urgency, resources and resistance; test continuity and key-person cover rather than relying on a plan’s existence.

Test your reasoning

What does the model or measure establish?

What does it leave unresolved?

Which business constraint matters most?

Which plausible change would reverse the decision?

Can you explain a different mechanism rather than relabel the first point?

Moving averages and sales forecasts | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Stock planning

A credible estimate reduces excess purchases or missed sales rather than relying on an unusual peak.

2. Staffing

Expected demand helps schedule labour and training before bottlenecks damage service.

3. Capacity timing

A sustained trend can indicate when existing productive capacity may become inadequate.

4. Working capital

Stock and customer-credit needs can be linked to expected activity before expansion absorbs cash.

5. Consistent comparison

A transparent method allows assumptions and changed forecasts to be reviewed across periods.

6. Spotting deviations

Comparing actual results with a trend directs investigation towards unusual changes.

LIMITATIONS / COMPETING EFFECTS

1. Structural change

New rivals, products or channels can break a relationship embedded in past observations.

2. Lag

Smoothing can delay recognition of a turning point and lead to the wrong commitment.

3. Outliers

A shock can affect several rolling windows and be mistaken for a durable pattern.

4. Seasonal instability

Seasonal timing or size can change; one historical cycle is weak evidence.

5. Data quality

Inconsistent definitions, missing periods or biased observations create precise but misleading output.

6. No causal proof

The model cannot establish why sales changed or whether a proposed action will reproduce it.

Prioritise and judge

Prioritise forecast relevance and the cost of being wrong: flexible stock decisions differ from an irreversible new factory.

Simple payback | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Recovery exposure

Shows how long the original outlay remains unrecovered on the forecast cash schedule.

2. Cash priorities

Useful as an initial screen when funds are scarce and early recovery matters.

3. Obsolescence

A long recovery is a warning when technology or demand may change quickly.

4. Comparability

A stated maximum recovery period allows consistent screening of suitable projects.

5. Communication

The time measure can be understood by managers coordinating funding and implementation.

6. Phasing choices

Can help compare a staged commitment with one large up-front investment.

LIMITATIONS / COMPETING EFFECTS

1. Later value ignored

A project may generate substantial benefits after the payback point that the rule does not reward.

2. No discounting

Simple payback treats later pounds as equivalent to earlier pounds until recovery.

3. Not a profit measure

Fast recovery says little about total lifetime profitability or value creation.

4. Arbitrary cutoff

A management target may reject worthwhile projects without a defensible economic reason.

5. Forecast reliance

Inflows may be delayed or overestimated, lengthening actual recovery.

6. Within-year assumption

A fractional year calculation often assumes cash arrives evenly when it may be seasonal.

Prioritise and judge

Use payback to discuss recovery and exposure, then test cash survival, NPV, long-run capability and forgone alternatives.

Average accounting rate of return | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Profit focus

Examines expected accounting profit rather than confusing cash recovery with earnings.

2. Percentage comparison

A common basis supports comparison against a required accounting return.

3. Whole project

Uses the modelled project life rather than stopping analysis at the recovery point.

4. Scale relationship

Relates average profit to the initial investment rather than absolute profit alone.

5. Accountability

Can align a project appraisal with internally monitored accounting return objectives.

6. Communication

A percentage is easy to explain provided the profit and investment basis are clear.

LIMITATIONS / COMPETING EFFECTS

1. Timing hidden

The same average can come from very different early and late return patterns.

2. Not liquidity

Accounting profit does not show whether payment commitments can be met when due.

3. No discounting

Future returns are not discounted for timing or the opportunity cost of capital.

4. Accounting estimates

Depreciation, residual value and project-life assumptions change profit and the ratio.

5. Basis inconsistency

Initial-cost and average-investment variants are not comparable without clarification.

6. Risk omitted

An attractive average can coexist with a large downside or implausible demand forecast.

Prioritise and judge

Apply the question’s formula and then explain timing, affordability and strategic value rather than accepting a target percentage mechanically.

Net present value | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Time value

Earlier cash has a higher present value at a positive discount rate.

2. Opportunity cost

The discount rate represents a required return against which added value is assessed.

3. Whole stream

All included cash flows contribute rather than only those before recovery.

4. Absolute added value

Pounds of forecast present value make the scale of a project’s benefit visible.

5. Alternative comparison

Consistent rates, dates and cash definitions support meaningful comparison of alternatives.

6. Sensitivity focus

Recalculation shows whether a delay, smaller inflow or higher rate changes the recommendation.

LIMITATIONS / COMPETING EFFECTS

1. Forecast uncertainty

Demand, costs and terminal cash flows may differ sharply from the base case.

2. Discount-rate judgement

An unsuitable or oversimplified rate can misstate timing and risk trade-offs.

3. Cash constraints

Positive NPV does not finance the weakest point before inflows arrive.

4. Capital limits

The highest absolute NPV can require more funds than the firm can commit.

5. Uneven risk

One rate and expected cash stream may hide very different downside paths.

6. Implementation and fit

Capabilities, culture, ethics and reversibility are not settled by the value calculation.

Prioritise and judge

Prefer credible value that the firm can fund and deliver; show which assumption would overturn the ranking.

Decision trees | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Explicit alternatives

The diagram prevents a preferred choice being assessed without a credible alternative.

2. Transparent beliefs

Probabilities and payoffs can be challenged rather than hidden in a conclusion.

3. Comparable outcomes

Consistent net-payoff calculations support disciplined financial comparison.

4. Conditional sequence

A suitable tree can show how later decisions depend on earlier information.

5. Sensitivity

A threshold identifies how robust a choice is to revised beliefs or outcomes.

6. Communication

Managers can discuss the location and size of uncertainty using a common structure.

LIMITATIONS / COMPETING EFFECTS

1. Subjective probability

Reliable estimates may not exist for a new market or unusual event.

2. Incomplete branches

A few simplified outcomes can omit important opportunities, losses or dependencies.

3. Dependence

Probabilities or payoffs can interact with rival responses and prior choices.

4. One-off survival

An attractive average cannot protect a firm unable to absorb a particular loss.

5. EV misinterpretation

The average may never occur; it is not necessarily the most likely result.

6. Adaptive response

A static tree can understate learning, staging and the option to change course.

Prioritise and judge

Compare net gain, worst-case survival, evidence quality and flexibility; do not announce that the biggest EV must win.

Critical path analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Dependencies

Shows which activities must finish before others can start.

2. Priority

Zero-float work identifies where delay threatens the current completion target.

3. Coordination

A shared sequence supports supplier, staff and equipment scheduling.

4. Float use

Slack may permit temporary resource transfers without delaying the overall project.

5. Deadline assessment

A network helps judge whether a promised launch date is plausible.

6. Speed-cost choice

Recalculation supports comparison of acceleration cost with an earlier finish’s value.

LIMITATIONS / COMPETING EFFECTS

1. Duration estimates

Uncertain task times may make the calculated date unrealistic.

2. Resource conflicts

Two parallel tasks may require the same scarce staff or machine.

3. Quality risk

Rushing activities can create defects, rework and employee strain.

4. Moving critical path

A change can create another critical route and remove an expected speed gain.

5. Shared float

Connected activities cannot always each use their listed float independently.

6. External constraints

A finished project may still face supplier, regulatory or customer-demand delays.

Prioritise and judge

Use CPA to manage the schedule, not to prove profitability or demand. Recalculate after changes and protect quality and resources.

Contribution analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Incremental decisions

Focuses attention on receipts and costs that actually change with the option.

2. Spare capacity

Shows how an additional order may cover fixed costs when resources would otherwise be idle.

3. Pricing judgement

Distinguishes a short-run minimum from long-run full-cost recovery.

4. Product mix

Reveals the contribution generated by suitable sales rather than revenue alone.

5. Opportunity cost

Including displaced contribution makes capacity assumptions explicit.

6. Limiting resource

Contribution per scarce resource can improve a constrained mix when assumptions hold.

LIMITATIONS / COMPETING EFFECTS

1. Extra fixed costs

Setup, supervision or equipment costs can remove the apparent positive gain.

2. Displacement

Low-price sales may replace more profitable existing business.

3. Brand and fairness

Discounts can weaken positioning or provoke existing customers.

4. Long-run coverage

Repeated contribution-only pricing may not fund all fixed and renewal costs.

5. Demand uncertainty

Forecast volume and willingness to pay may not materialise.

6. Cost behaviour

Variable rates, step costs and quality costs may not remain constant.

Prioritise and judge

Judge the real incremental result, including capacity, additional commitments and relationship effects, rather than the positive unit figure alone.

Financial ratio analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Profit stages

Gross and final margins help locate different sources of performance pressure.

2. Capital efficiency

ROCE relates operating profit to the resources committed.

3. Payment exposure

Current and acid test ratios direct attention to working-capital composition.

4. Funding risk

Gearing highlights the long-term funding mix and possible finance obligations.

5. Comparison

Consistent trend and relevant sector comparisons put absolute totals into context.

6. Stakeholder relevance

Different measures support specific investor, lender, supplier or employment questions.

LIMITATIONS / COMPETING EFFECTS

1. Historical snapshot

Results can lag current demand, funding or seasonal cash pressure.

2. Accounting differences

Valuations, estimates and policies weaken cross-firm comparison.

3. Window dressing

Reporting-date choices can temporarily flatter a measure.

4. One-off effects

A disposal, unusual cost or finance change can distort a period’s performance.

5. Cash versus profit

Earnings and asset cover do not establish the timing of actual receipts and payments.

6. Missing capabilities

Culture, innovation, service quality and future investment value are incompletely recorded.

Prioritise and judge

Calculate, interpret, investigate cause and compare measures. A textbook threshold does not settle the decision.

Human-resource measures | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Productive use

Output per worker helps investigate skill, process and equipment performance.

2. Continuity

Turnover and cohort retention reveal replacement and lost-experience exposure.

3. Staffing availability

Absence identifies lost time and potential cover requirements.

4. Targeted intervention

Role/site data can direct reward, consultation, ownership or empowerment.

5. Review

Consistent before/after evidence helps assess whether a response improved outcomes.

6. Business connection

Rates can be linked to quality, service capacity, recruitment cost and customer retention.

LIMITATIONS / COMPETING EFFECTS

1. Quality omitted

More output can conceal defects, overwork or poor service.

2. Denominators differ

Cohort retention and average-workforce turnover need not be complements.

3. Cause unproven

An improved rate does not prove a reward scheme caused it.

4. Contract and sector mix

Temporary work, hours and job type can make comparisons misleading.

5. Reporting behaviour

Pressure can hide absence, incidents or legitimate health needs.

6. Skill significance

The loss of one scarce specialist can matter more than several routine departures.

Prioritise and judge

Ask what the rate hides, whose experience changed and which intervention addresses the actual cause.

Ansoff’s Matrix | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Clear directions

Distinguishes growth through products, markets or both rather than treating all expansion as the same choice.

2. Familiarity gaps

Highlights where customer or product knowledge may be missing.

3. Research priorities

A new market and a new product require different evidence before committing resources.

4. Resource planning

The direction prompts investigation of skills, channels, development and production needs.

5. Alternative options

Encourages comparison with a credible less disruptive growth route.

6. Strategic coherence

Connects the proposed direction with objectives and existing strengths.

LIMITATIONS / COMPETING EFFECTS

1. Not measured risk

The four positions do not supply numerical failure probabilities or expected returns.

2. Relatedness matters

Related diversification can use transferable strengths; penetration can still be highly risky.

3. Growth method separate

The matrix does not distinguish organic development from acquisition within a direction.

4. Capability unproven

Classification does not establish finance, skills, capacity or delivery quality.

5. Rival response

Competitor retaliation, entry barriers and buyer power are not explicitly calculated.

6. Mixed reality

A real strategy can contain several products, segments and stages rather than one clean quadrant.

Prioritise and judge

Use the label to identify what must be learned or built, then test relatedness, demand, resources and a credible alternative.

Porter’s Strategic Matrix | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Position clarity

Separates market scope from the source of advantage.

2. Activity alignment

Encourages operations, rewards, pricing and promotion to support the same value proposition.

3. Cost mechanism

Directs attention to the cost base needed to sustain price competition.

4. Buyer value

Differentiation requires a feature or experience buyers actually value.

5. Resource focus

A chosen scope can concentrate scarce capital and expertise rather than spreading them thinly.

6. Consistency test

Contradictory choices can be challenged before they weaken cost control or credibility.

LIMITATIONS / COMPETING EFFECTS

1. Hybrid possibilities

Some firms combine efficient cost with valued differentiation rather than fitting a strict exclusive category.

2. Changing advantage

Innovation and imitation can rapidly change the position.

3. Execution omitted

A stated strategy does not prove capability or implementation.

4. Investment burden

Cost leadership and differentiation can both require substantial finance.

5. Segment dependence

A focus strategy can be exposed to a small group’s changing needs.

6. Subjective labels

Calling an offer premium or low-cost does not demonstrate a sustainable advantage.

Prioritise and judge

Explain how the activities create value or reduce cost and why that advantage is defensible, not just where the firm sits in a matrix.

SWOT analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Capability view

Makes relevant internal strengths and weaknesses visible.

2. External connection

Adds opportunities and threats rather than analysing the firm in isolation.

3. Strategic matching

A specific strength can be linked to an achievable opportunity.

4. Gap identification

A weakness can reveal a needed hire, investment or partnership.

5. Shared discussion

Different functions can challenge assumptions in a common framework.

6. Prioritisation input

Evidence-based entries can guide which issues deserve deeper investigation.

LIMITATIONS / COMPETING EFFECTS

1. Subjectivity

Participants may select information that supports a preferred choice.

2. Unweighted lists

A minor issue can appear as important as a constraint that determines survival.

3. Snapshot

Conditions and capabilities may change after the analysis.

4. Misclassification

An external opportunity can be confused with an internal strength.

5. No automatic action

A list does not establish a feasible, funded response.

6. Interdependence

The same factor may create both an opportunity and a threat under different choices.

Prioritise and judge

Use evidence, rank significance and turn the relevant interaction into a decision with resources and conditions.

PESTLE analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Policy awareness

Political and legal scanning can reveal access, compliance or support changes.

2. Demand context

Economic and social developments help assess the credibility of sales assumptions.

3. Technology choices

Scanning can reveal new processes, substitutes or capability needs.

4. Resource exposure

Environmental change and resource pressures can affect continuity and design.

5. Long-term planning

A wider view challenges a strategy based only on current trading conditions.

6. Contingency priorities

Material external risks can inform scenarios and preparation.

LIMITATIONS / COMPETING EFFECTS

1. Too broad

A long catalogue can replace analysis of the few influences that actually matter.

2. Uncertain direction

Forecasting a macro change and its timing can be difficult.

3. Interaction

Economic, social, political and technological influences can reinforce or offset each other.

4. Context variation

The same external event can help one product and harm another.

5. Updating cost

Outdated scanning can give false reassurance in a rapidly changing environment.

6. Response not determined

Identifying a trend does not prove the firm has a profitable way to exploit it.

Prioritise and judge

Prioritise material influences and explain their route into demand, cost, finance, operations or stakeholder behaviour.

Porter’s five forces | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Industry structure

Looks beyond a single rival to pressure on industry returns.

2. Buyer bargaining

Examines how customer concentration and alternatives affect terms.

3. Supplier dependence

Identifies input scarcity, switching costs and continuity exposure.

4. Substitution

Considers different solutions to the underlying customer need.

5. Entry threat

Questions whether current advantages are protected from new suppliers.

6. Strategic response

Supports decisions on positioning, relationships, sourcing and whether to enter.

LIMITATIONS / COMPETING EFFECTS

1. Static picture

Technology and behaviour can alter the forces quickly.

2. Boundary judgement

Defining the industry can change which firms count as rivals or substitutes.

3. Firm differences

Industry pressure does not establish an individual firm’s capabilities or performance.

4. Evidence gaps

Bargaining power and rival reaction can be difficult to estimate reliably.

5. Cooperation omitted

Networks, complementary partners and collaboration may create value beyond rivalry.

6. No guaranteed return

An attractive industry can still contain a poorly funded or badly executed project.

Prioritise and judge

Identify the dominant force and the feasible response; avoid describing all five equally when only one explains the recommendation.

Portfolio analysis | evaluation bank

WIDE-RANGING EVALUATION BANK • Select relevant, distinct mechanisms; do not list every point in an answer.

USES / ARGUMENTS FOR

1. Resource allocation

Compares competing claims on scarce capital and managerial attention.

2. Current and future

Balances established earnings with credible growth opportunities.

3. Funding connections

Cash-generating operations may support selected development projects.

4. Exposure balance

A suitable mix reduces dependence on one product or demand source.

5. Review discipline

Encourages explicit maintain, improve, harvest or withdrawal choices.

6. Opportunity cost

Makes visible what is forgone by continuing to support a weak option.

LIMITATIONS / COMPETING EFFECTS

1. Weak proxies

Growth and share do not directly measure profit, cash or future value.

2. Interdependence

A weak standalone line may support a valuable range or relationship.

3. Category bias

A quadrant can become an automatic prescription without evidence.

4. Forecast uncertainty

Market growth and product prospects may be misjudged.

5. Intangible value

Skills, brands, strategic access and learning are hard to place in simple categories.

6. Execution costs

Withdrawal, transfer or investment can create cash needs and disruption.

Prioritise and judge

Use the portfolio model with cash generation, strategic links, implementation costs and the strongest alternative use of resources.

Eight lenses | build a genuinely wide-ranging answer

Choose the lenses that change the decision. Develop distinct mechanisms rather than adding generic labels.

1. Strategic fit

Does the option exploit a real capability, defend the position or advance the stated objective?

Test relatedness, differentiation and the best alternative use of resources.

2. Market and rivalry

Which buyers value the offer and how might competitors respond?

Test demand credibility, price sensitivity, substitution, brand and distribution.

3. Operations and capacity

Can the firm deliver the required volume, timing and quality?

Test bottlenecks, supplier reliability, capacity displacement and system compatibility.

4. Finance and working capital

Can it fund the full commitment and survive the weakest cash period?

Test debt terms, cash timing, investment size, liquidity and foregone alternatives.

5. People and culture

Which skills, incentives or norms enable or obstruct implementation?

Test key-staff retention, training time, communication, trust and workload.

6. Stakeholders and ethics

Who gains, who bears the cost and whose cooperation matters?

Test fairness, bargaining power, credibility, reputation and long-run relationships.

7. Time and reversibility

When do costs and benefits arise, and can the firm change course?

Test pilots, phasing, learning, sunk commitments, launch windows and obsolescence.

8. Uncertainty and resilience

Which assumption can overturn the ranking or threaten survival?

Test downside size, correlated risks, sensitivity, continuity and evidence quality.

Answer workshop | turn breadth into depth

Use PECAN flexibly: Point → Explain → Chain → Application → Now weigh significance. The command word determines the task.

Assess (12): develop and weigh

Choose relevant arguments for and against. Use the source facts to explain consequences, then assess how significant they are.

A conclusion should answer the actual question and explain the decisive condition.

A brief applied financial argument plus “there are qualitative factors” is too vague: name and explain the specific implementation or strategic issue.

Evaluate (20): compare credible alternatives

Plan distinct arguments, not repeated synonyms. For an acquisition, purchasing savings, market access, culture and funding are different mechanisms.

Develop the strongest evidence on both sides and justify the priority.

A benefit → limitation → second benefit → second limitation → judgement plan is an aid, not a prescribed mark allocation.

Make numbers earn their place

Weak: “NPV is positive, so invest.”

Developed: “The +£13,895 NPV offers limited headroom: £20,000 less year-one inflow reduces value by about £18,182, reversing the sign. The recommendation depends on demand credibility and cash resilience.”

Explain what the figure changes about the decision.

Write the conclusion as a decision

What: choose an option relative to the alternative.

Why: explain the most significant contextual reason.

When: distinguish the transition from the mature outcome.

What it depends on: identify evidence, a constraint or a threshold that would reverse the choice.

Applied A* reasoning | Business objectives and strategy

Should a premium fitness brand diversify into an unfamiliar service?

ILLUSTRATIVE CASE
The brand has loyal members and strong coaching expertise. A new service would target a different customer group and need unfamiliar technology.

Developed argument: cause and consequence

Diversification could reduce dependence on the current membership market. If the new service uses the firm’s coaching reputation in a way that the new buyers genuinely value, the existing expertise may lower some development and credibility barriers. Another revenue stream could also use resources outside current peak periods, improving their utilisation. However, these benefits depend on related capabilities rather than the Ansoff label itself: the firm must show how its people, brand or channels transfer to the proposed customers. A credible connection would make the option stronger than an unrelated venture justified only by market growth.

Competing argument: test significance

The unfamiliar technology and customer group create two capability gaps at once. Recruiting specialists, testing the system and learning a different market absorb funds and managerial attention before revenue arrives. This could weaken service for existing loyal members, damaging the very reputation the expansion hopes to exploit. Product development for the current members may be a more coherent alternative because the firm understands their needs and already reaches them. The relevant opportunity cost is therefore the value of a feasible related option, not simply the cash price of diversification.

Conditional judgement: answer the actual question

Prefer a staged, related option unless evidence shows the new market values transferable strengths and the technology can be delivered without harming the core service. The decisive test is strategic and operational fit, supported by credible demand and funding—not an automatic claim that one Ansoff quadrant is always best.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Applied A* reasoning | Business growth

Should a retailer acquire a rival rather than grow organically?

ILLUSTRATIVE CASE
An illustrative acquisition costs £5m and requires a further £1m integration commitment. Forecast recurring savings are £0.5m per year, before financing and other operating effects.

Developed argument: cause and consequence

A takeover can provide immediate stores, customers and purchasing volume that organic development would take longer to build. If overlapping support activities can be removed without harming service, recurring savings may lower unit costs and allow stronger price competition or margin. Access to established locations may also be valuable where suitable sites are scarce. The forecast £0.5m saving gives a mechanism, but it should be assessed against the whole £6m commitment and the time needed to realise it. Speed only adds value if customers and staff remain through the transition.

Competing argument: test significance

The premium, integration spending and any debt obligations arise before all savings are secured. Different systems and cultures can interrupt stock availability, increase staff departures and lose customers. A larger group may also create communication delays or diseconomies that offset purchasing benefits. Organic expansion offers more control of routines and pacing, although it is slower and still needs investment. Managers should therefore compare a realistic staged organic route with the acquisition, rather than comparing a perfect takeover with no growth at all.

Conditional judgement: answer the actual question

Acquire only if scarce market access and credible synergies justify the total cost and the firm has the cash and management capacity to integrate. The simple £6m ÷ £0.5m = 12-year savings-only comparison is not a full payback calculation; it flags why the other cash flows, financing, timing and alternatives must be examined.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Applied A* reasoning | Decision-making techniques

Should management accept the project with positive NPV?

ILLUSTRATIVE CASE
The £120,000 project has payback 2.8 years, ARR 10.42% and NPV about +£13,895 at 10%. A plausible downside is £20,000 less year-one cash inflow.

Developed argument: cause and consequence

The positive NPV indicates forecast value above the return represented by the 10% discount rate, using the full modelled cash stream. It therefore gives more information about timing and lifetime value than a simple recovery measure alone. If the project also removes a genuine capacity constraint and trained staff can operate it reliably, the investment may support future service and competitiveness. The numerical and operational cases reinforce one another only when the extra capacity is needed and the sales forecast is credible; unused capacity would not generate the assumed benefit.

Competing argument: test significance

The margin of safety in the valuation is limited. Losing £20,000 in year one reduces present value by about £18,182, turning the NPV to roughly −£4,287. This shows that a plausible early-demand shortfall can overturn the base-case result. Moreover, positive NPV does not fund the initial £120,000 or ensure the firm can pay wages and suppliers during implementation. A phased option could reduce irreversible exposure and create learning before full commitment, even if its base-case return appears smaller. The relevant comparison is feasible value under risk, not the sign alone.

Conditional judgement: answer the actual question

Accept only if the cash plan, capacity need and demand evidence support delivery, and if a tested downside remains survivable. NPV should inform the decision while the most decision-sensitive assumption and funding constraint determine how confidently to proceed.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Applied A* reasoning | Influences on business decisions

Should a business replace role culture with task culture?

ILLUSTRATIVE CASE
A regulated business wants faster product innovation. Existing procedures protect consistency, but cross-functional decisions are slow and specialists feel unheard.

Developed argument: cause and consequence

A task culture may improve innovation by bringing relevant specialists together around the product problem. Design, production and customer-facing staff can identify incompatible requirements earlier rather than passing decisions through separate departmental chains. This could reduce redesign, improve product fit and increase commitment because employees see their expertise influence the outcome. Consultation also supplies practical information about implementation. The argument is not simply that teams motivate: the specific mechanism is better coordination of interdependent knowledge, which matters because the current delay arises at functional boundaries.

Competing argument: test significance

Replacing established controls indiscriminately could weaken accountability and consistent compliance. Some procedures exist because errors carry serious consequences, so removing them to achieve speed may create rework, reputational harm or stakeholder concerns. Employees may also resist losing familiar responsibilities or status, especially if management’s reward system still values rigid adherence to old roles. A task-based label will not change that incentive. The business should distinguish rules needed for safety or reliability from unnecessary approval delays and give project teams clear authority, boundaries and resources.

Conditional judgement: answer the actual question

Use targeted cross-functional autonomy while retaining controls that protect essential standards. The appropriate balance depends on the cost of error, staff competence and whether incentives and leadership behaviour support the new approach. A hybrid response can fit the problem better than treating one culture as universally superior.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Applied A* reasoning | Assessing competitiveness

Has sales growth made the business more competitive?

ILLUSTRATIVE CASE
In the financial lab, revenue rises from £1m to £1.2m. Final profit stays £120k, acid test falls from 1.4 to 0.8, gearing rises to 50% and ROCE falls to 15%.

Developed argument: cause and consequence

Sales growth suggests the business has attracted more revenue, but the linked ratios weaken a simple success claim. Gross margin falls from 40% to 35%, so cost of sales has grown faster than receipts. Higher operating profit does not translate into higher final profit because the interest charge doubles in the example. At the same time, lower liquid cover and cash raise questions about financing the activity. Together, these relationships suggest growth may have increased funding exposure without a proportional return; each measure explains a different part of the concern.

Competing argument: test significance

However, a new investment may need time to reach efficient utilisation, so current ROCE can understate its future contribution. Higher inventory could support a planned launch rather than represent unsaleable stock, and the suitability of the liquidity position depends on payment timing and the business model. The accounts also omit much about quality, innovation and customer retention. These qualifications do not cancel the numerical warning. They identify the evidence needed to decide whether the weakness is a manageable transition or a deterioration: cash forecasts, inventory quality, utilisation and realistic future demand.

Conditional judgement: answer the actual question

Treat competitiveness as unproven rather than equating revenue growth with improvement. Prioritise near-term cash resilience while testing whether new capacity can produce adequate sustainable returns. The strongest judgement combines the ratios and their causes with future capability and a relevant benchmark.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Applied A* reasoning | Managing change

Should the launch be accelerated by two days?

ILLUSTRATIVE CASE
In the CPA example, reducing D by two days shortens the project from 13 to 11 days and creates two critical routes. It costs £1,000; an earlier launch may add £1,600 contribution.

Developed argument: cause and consequence

Acceleration offers an estimated £600 incremental benefit if the £1,600 additional contribution is credible and the £1,000 is the full extra cost. CPA shows why D is relevant: it lies on the original critical route, so shortening it actually changes the completion date. Finishing earlier may also meet a useful customer window rather than merely improve an internal timetable. Management can use the network to coordinate the changed staff and supplier requirements. This links the schedule to a commercial outcome instead of assuming any faster activity automatically improves the project.

Competing argument: test significance

The gain is limited and could disappear through quality problems, overtime not included in the estimate or disruption to another essential activity. After D is shortened by two days, both A–B–D–F and A–C–E–F are critical, so further reducing D alone cannot achieve the same marginal time saving. Staff may resist a rushed schedule if expectations and support are unclear, and an IT or key-person failure could delay both routes. Continuity arrangements, realistic resource availability and capable supervision therefore matter alongside the time arithmetic.

Conditional judgement: answer the actual question

Accelerate only if the earlier demand is credible, the £600 benefit survives a realistic full-cost check and both new critical routes can be protected without harming quality or staff capability. A faster plan creates value only when the organisation can deliver the earlier usable outcome.

These demonstrate reasoning and judgement; adapt to the question, evidence and mark tariff rather than memorising a complete response.

Quantitative retrieval check | attempt before viewing answers

Use a calculator, show the formula and working, then add one decision-specific interpretation and one limitation.

1. Forecast and interpret

Sales for three successive periods are 90, 120 and 150. Calculate the three-period moving average and identify its correct time position.

2. Payback and ARR

A £80,000 project produces net inflows of £20,000, £25,000 and £45,000 over three years, with no residual value. Calculate payback and ARR.

3. Decision tree

High and low payoffs before initial cost are £180,000 and £40,000, with probabilities 0.7 and 0.3. Initial cost is £100,000. Calculate expected net gain and the low-outcome net result.

4. CPA and contribution

A task has EST 4, LFT 13 and duration 6: find float. Separately, an extra order of 500 units has price £24, variable cost £15 and extra setup cost £1,200: find incremental benefit with spare capacity.

5. Ratios

Revenue £800k, cost of sales £480k, operating profit £120k. Current assets £300k include inventory £90k; current liabilities £150k; non-current liabilities £200k; equity £400k. Calculate GPM, acid test, gearing and ROCE.

6. Workforce

Average employees 80, leavers 8, output 32,000 units. A starting cohort of 75 retains 69; 240 days are lost from 16,000 possible days. Calculate productivity, turnover, retention and absence.

Retrieval answers | check interpretation as well as arithmetic

A correct result is the start of a decision argument, not a substitute for one.

1. Moving average

(90 + 120 + 150) ÷ 3 = 120, positioned at the middle period. It smooths three observations but cannot prove that sales will keep rising.

2. Investment

After two years £45,000 is recovered; £35,000 remains. Payback = 2 + 35,000/45,000 = 2.78 years (about 2 years 9.33 months).
ARR = [(90,000 − 80,000)/3] ÷ 80,000 × 100 = 4.17%.

3. Expected value

EV before cost = 0.7(180,000) + 0.3(40,000) = £138,000.
Expected net gain = £38,000.
Low-outcome result = 40,000 − 100,000 = −£60,000. The average does not eliminate that loss.

4. Float and contribution

Float = 13 − 4 − 6 = 3 time units.
Unit contribution = 24 − 15 = £9.
Benefit = 500(9) − 1,200 = £3,300, before displacement or other consequences.

5. Financial ratios

GPM = (800 − 480)/800 × 100 = 40%.
Acid test = (300 − 90)/150 = 1.4:1.
Gearing = 200/(200 + 400) × 100 = 33.33%.
ROCE = 120/(200 + 400) × 100 = 20%.

6. HR measures

Productivity = 32,000/80 = 400 units per worker.
Turnover = 8/80 × 100 = 10%.
Retention = 69/75 × 100 = 92%.
Absence = 240/16,000 × 100 = 1.5%.
The denominators explain why turnover + retention ≠ 100%.

Visual teaching atlas | models and new measures

Read alongside the detailed cards and evaluation banks. QSF = quantitative sales forecasting.

Strategic models

Ansoff, generic strategies, SWOT, PESTLE and portfolio analysis

Industry pressure

Five forces applied to a business, with a prioritised decision

Forecasting graphs

Actual sales against moving averages, centring and interpretation

Decisions and projects

Decision-tree rollback and CPA forward/backward passes

Investment and contribution

Cash timing, discounted value and the meaning of contribution

Labour productivity

Definition, formula, quality-adjusted comparisons and interventions

Gearing

Funding mix, finance choices, rate risk and cash consequences

ROCE

Capital employed, operating return, drivers, comparison and traps

Other visual connections

Workforce cohorts, culture, stakeholders and change

Validation

Coverage check, numerical checks and the standard needed in answers

Use the PDF outline for individual visual lessons. Arrows show a mechanism; explain why each connection follows in this business.

Ansoff | a full product–market map

VISUAL WALKTHROUGH • Read the axes first, classify using evidence, then evaluate the actual option.

Columns: EXISTING PRODUCTS → NEW PRODUCTS

Top row: EXISTING MARKETS | Bottom row: NEW MARKETS

Market penetration

Meaning: Existing products in existing markets.

Example: A gym improves local referrals and renewals.

Test: Saturation, retaliation, price cuts and crowding may limit the benefit.

Product development

Meaning: New products for existing markets.

Example: The gym sells a new recovery programme to its members.

Test: Technical development cost, cannibalisation and real customer value.

Market development

Meaning: Existing products for new markets.

Example: The existing gym format serves a newly targeted city.

Test: Local demand, distribution, adaptation and management capability.

Diversification

Meaning: New products for new markets.

Example: The gym enters an unfamiliar digital service for a different buyer group.

Test: Relatedness, missing skills, irreversibility and opportunity cost.

Ansoff identifies the growth direction. It does not show whether growth is organic/inorganic, calculate value or assign a fixed probability of failure.

Porter | generic strategies and defensible advantage

VISUAL WALKTHROUGH • Read the axes first, classify using evidence, then evaluate the actual option.

Columns: LOWER COST POSITION → VALUED DIFFERENTIATION

Top row: BROAD MARKET SCOPE | Bottom row: NARROW SEGMENT

Cost leadership

Meaning: Broad-market advantage based on a low cost base.

Example: Standardise and buy efficiently to deliver acceptable value at competitive prices.

Test: Low prices without low costs are not a sustainable cost advantage.

Differentiation

Meaning: Broad-market advantage based on a valued distinction.

Example: A trusted service, design or brand supports a premium.

Test: The premium must exceed the extra cost and survive imitation.

Cost focus

Meaning: A low-cost approach within a narrow segment.

Example: A specialist serves a defined group using an efficient tailored model.

Test: A niche can limit scale; the cost advantage still needs evidence.

Differentiation focus

Meaning: A distinctive offer for a narrow segment.

Example: Specialist equipment and expert support meet demanding buyers' needs.

Test: Dependence on the segment and the durability of its distinct needs.

Strategic choice → aligned activities → buyer value/cost position → returns. Test the actual mechanism before claiming "stuck in the middle".

SWOT | evidence, priorities and action

VISUAL WALKTHROUGH • Read the axes first, classify using evidence, then evaluate the actual option.

Columns: HELPFUL → HARMFUL to the chosen objective

Top row: INTERNAL TO THE FIRM | Bottom row: EXTERNAL ENVIRONMENT

Strength

Meaning: An internal capability or resource that supports the objective.

Example: Experienced technical staff and a trusted service record.

Test: Is it genuinely superior or useful in the proposed market?

Weakness

Meaning: An internal limitation that reduces the ability to succeed.

Example: An unreliable booking system or missing project expertise.

Test: Can it be fixed at a realistic cost and within the timetable?

Opportunity

Meaning: An external condition the firm may exploit.

Example: A growing underserved segment or a new access channel.

Test: Does the firm have the capability and finance to serve it?

Threat

Meaning: An external condition that may harm the objective.

Example: A substitute, new rival, input shock or adverse rule change.

Test: How likely and material is its impact; what response is feasible?

Turn the list into a choice: match a relevant strength to an opportunity, or resolve a weakness that exposes the business to a material threat.

PESTLE | six routes into business performance

An external label earns little without a business mechanism. Select the influences that matter to the source case.

Political

Policy priorities, public spending or instability

Policy change → market access or demand → strategy

Economic

Income, inflation, interest rates and trading conditions

Higher rates → finance cost/cash pressure → investment choice

Social

Demographics, preferences, lifestyles and expectations

Changing buyer needs → offer/skills adaptation → relevance

Technological

Processes, products, channels and substitutes

New process → skills/investment → productivity or disruption

Legal

Rules and obligations affecting operations

New requirement → compliance spending → cost/access effect

Environmental

Resources, disruption and environmental expectations

Resource pressure → supply/design choice → resilience or cost

Overlaps are possible. Rank likelihood, size, timing and the firm’s ability to respond; a long list is not a strategic judgement.

Portfolio analysis | the Boston Matrix made explicit

VISUAL WALKTHROUGH • Read the axes first, classify using evidence, then evaluate the actual option.

Columns: LOW RELATIVE MARKET SHARE → HIGH RELATIVE MARKET SHARE

Top row: HIGH MARKET GROWTH | Bottom row: LOW MARKET GROWTH

Question mark

Meaning: Low relative share in a high-growth market.

Example: A new brand has an opportunity but must win a viable position.

Test: Invest selectively: credible fit, funding and a defensible route to share.

Star

Meaning: High relative share in a high-growth market.

Example: A leading offer needs investment to meet growth and defend its position.

Test: Growth can consume cash; high share does not prove high free cash.

Dog

Meaning: Low relative share in a low-growth market.

Example: A weak line may be harvested, improved or withdrawn.

Test: It may still be profitable or support complementary sales.

Cash cow

Meaning: High relative share in a low-growth market.

Example: An established line may generate funds for other opportunities.

Test: Protect the position: neglect can weaken quality, relevance and future cash.

Relative share = the product’s sales ÷ its largest rival’s sales. It is different from market share (%) = firm sales ÷ total market sales × 100.

Portfolio | calculate, allocate and challenge

Illustrative products • Market growth and relative share are indicators; actual cash and strategic links still decide.

Product	Our sales	Largest rival	Relative share	Market growth	Possible position
Alpha	£4m	£2m	4 ÷ 2 = 2.0	12%	Star
Beta	£3m	£1.5m	3 ÷ 1.5 = 2.0	2%	Cash cow
Gamma	£0.8m	£2m	0.8 ÷ 2 = 0.4	15%	Question mark
Delta	£0.4m	£1m	0.4 ÷ 1 = 0.4	1%	Dog

Check actual cash generation → **Identify credible investment needs** → **Compare scarce-resource uses** → **Choose and monitor selectively**

A defensible allocation

Beta may help finance Alpha or Gamma, but only after checking Beta’s cash requirements and the growth products’ returns.

A product’s classification does not identify the amount available or how long funding is needed.

A strong counterargument

Delta may be worth keeping if it contributes profit or supports other products. Gamma may not justify investment if rivals can block share growth.

Opportunity cost, product links, margins and execution can overturn a simple quadrant rule.

Five forces | from the diagram to a decision

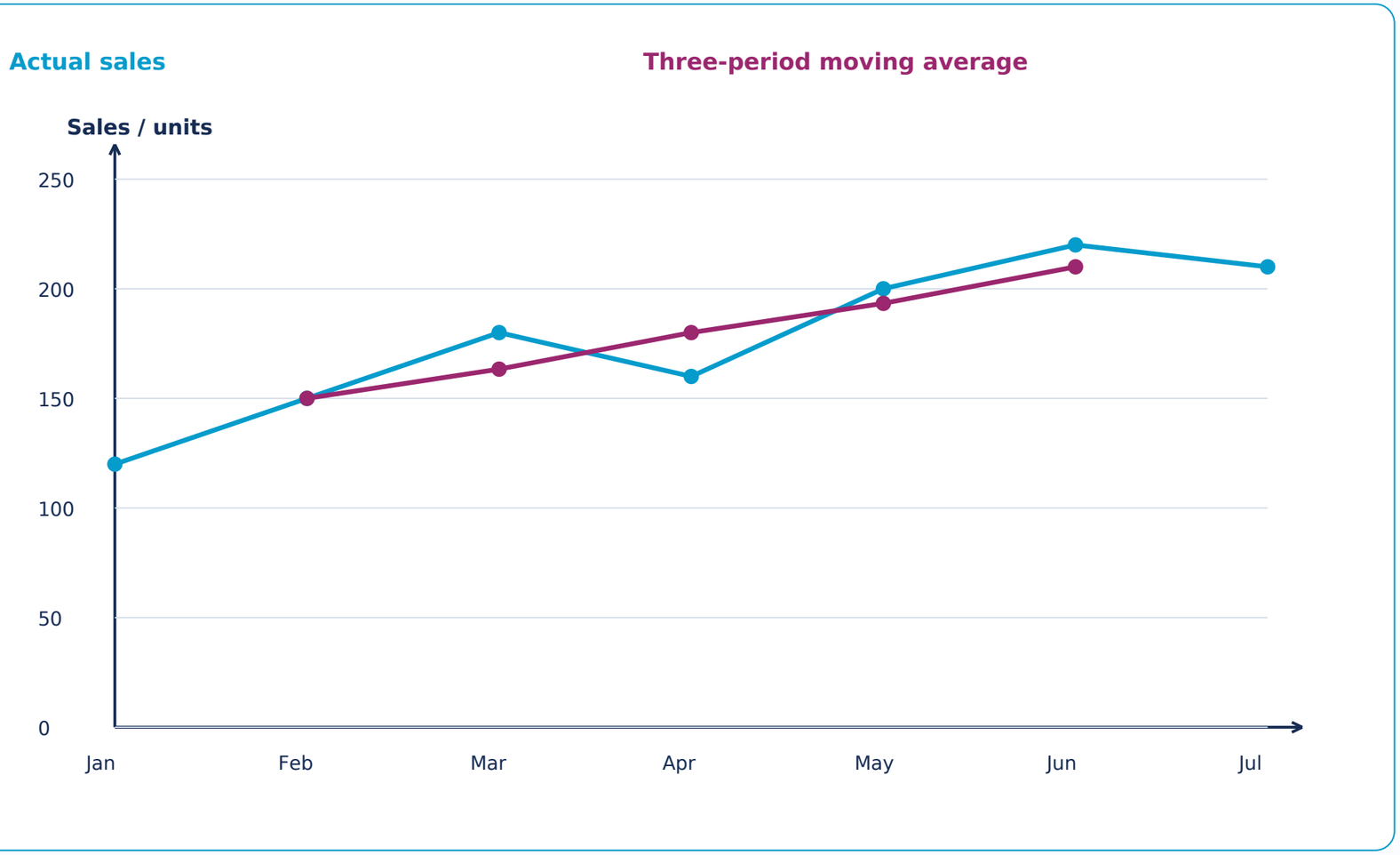
Illustrative independent café • Assess the dominant pressure and the response, rather than describing every force equally.



Priority: if close substitutes and easy switching dominate, improve a valued difference or convenience before assuming that a higher price will lift revenue.

QSF | actual sales and a three-period moving average

Quantitative sales forecasting • Match the smoothed observation to the middle period.



Read, calculate, interpret

February: (120 + 150 + 180) ÷ 3 = 150.

March: (150 + 180 + 160) ÷ 3 = 163.33.

The smoothed series rises despite fluctuations in actual sales.

There is no centred value at either end because a neighbouring observation is missing.

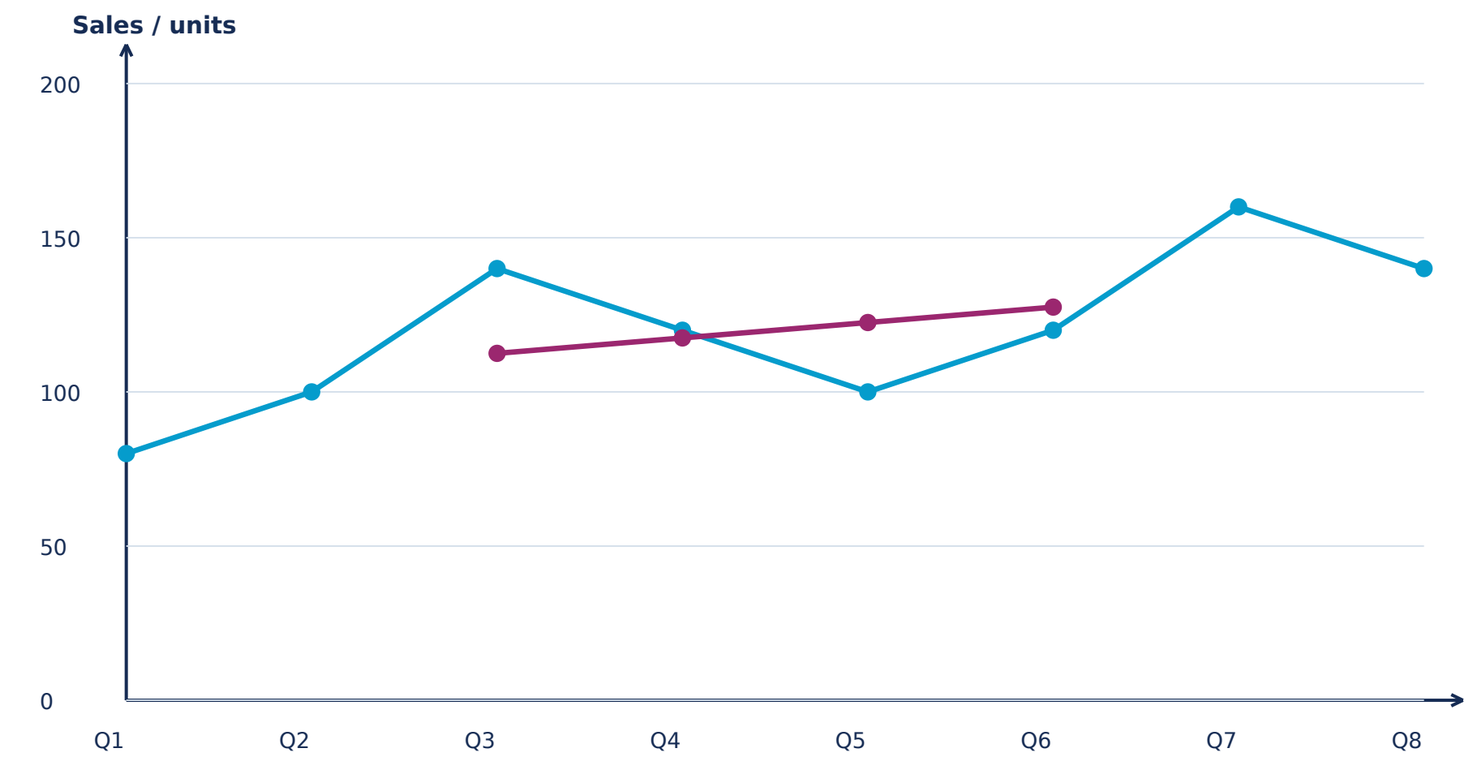
Use the direction for planning; ask whether growth is recurring, affordable to serve and likely to persist.

Identify the pattern → **Check causes and assumptions** → **Plan flexible commitments** → **Monitor actual demand**

A moving-average line describes smoothed past data. Extending it into the future adds assumptions that must be tested.

QSF | four-quarter centring shown on the graph

A four-quarter average lies between quarters; averaging adjacent moving averages places the trend on an actual quarter.



Read, calculate, interpret

Q1–Q4 average: 440 ÷ 4 = 110.

Q2–Q5 average: 460 ÷ 4 = 115.

Trend at Q3: (110 + 115) ÷ 2 = 112.5.

Actual Q3 sales of 140 exceed the trend, while Q5 sales of 100 are below it.

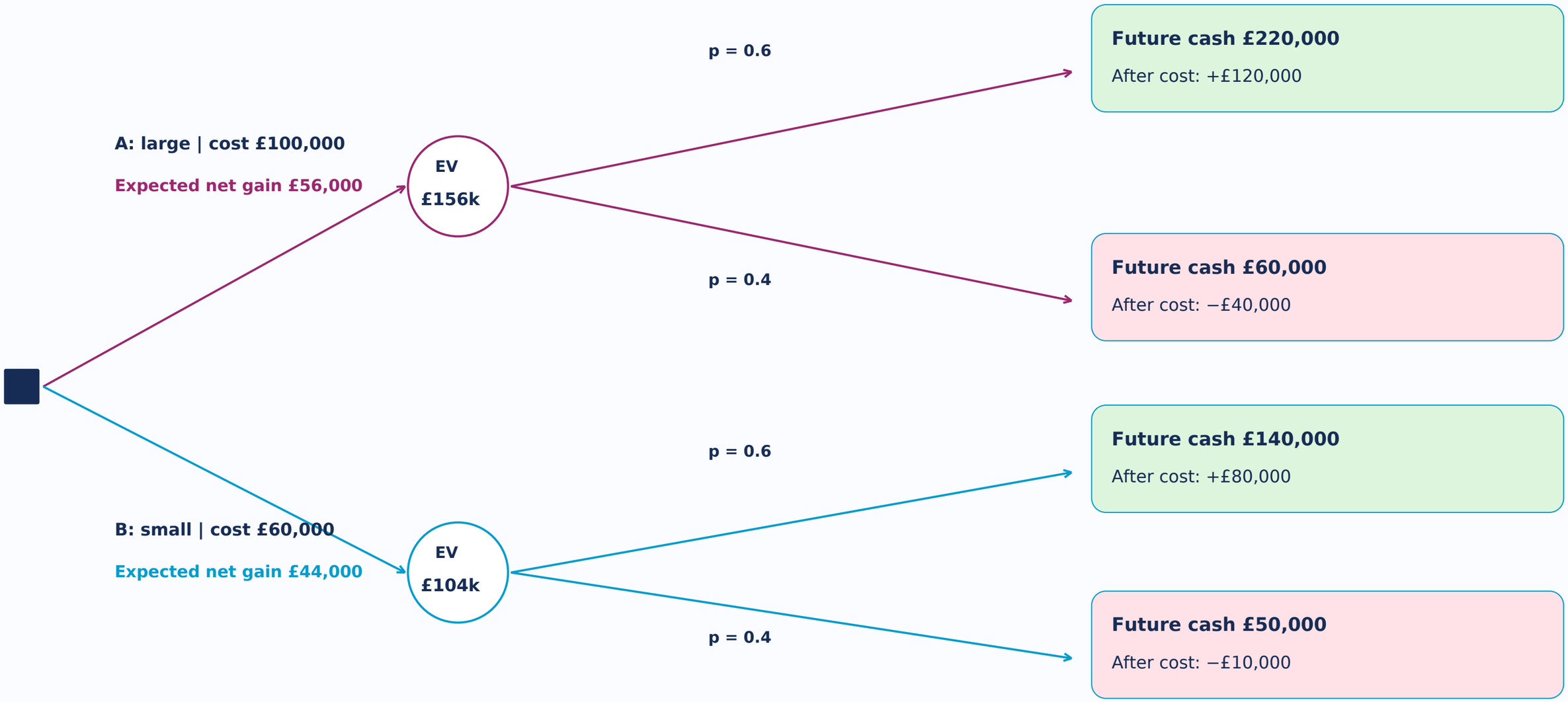
Both can occur while the underlying direction is upward. The graph separates seasonal movement from trend.

Identify the pattern → **Check causes and assumptions** → **Plan flexible commitments** → **Monitor actual demand**

A moving-average line describes smoothed past data. Extending it into the future adds assumptions that must be tested.

Decision tree | annotate expected value and actual downside

Future net operating cash payoffs exclude initial investment. Deduct initial cost once, not at every branch.



Roll back, then judge

A: £156,000 − £100,000 = £56,000 expected gain. B: £104,000 − £60,000 = £44,000.
A wins by £12,000 on expected value, but its low outcome loses £40,000 versus £10,000 for B. A firm unable to absorb that loss may prefer B.

CPA | every forward and backward calculation

Use the earlier activity-on-arrow network. An event’s earliest/latest times become the relevant activity EST/LFT at its endpoints.

Event	Forward calculation	Earliest event	Backward calculation	Latest event
1	Start at 0	0	2 − 2	0
2	0 + 2	2	min(5 − 3, 8 − 4)	2
3	2 + 3	5	10 − 5	5
4	2 + 4	6	min(10 − 2, 13 − 1)	8
5	max(5 + 5, 6 + 2)	10	13 − 3	10
6	max(10 + 3, 6 + 1)	13	Set to project completion	13

Forward: use MAX at a merge → **Finish: 13 days** → **Backward: use MIN at a split** → **Critical route: A–B–D–F**

Worked activity float

For C (2→4): EST = 2, LFT = 8, duration = 4.

Total float = 8 − 2 − 4 = 2 days.

The critical path is the longest route in duration, not the one with the most activities.

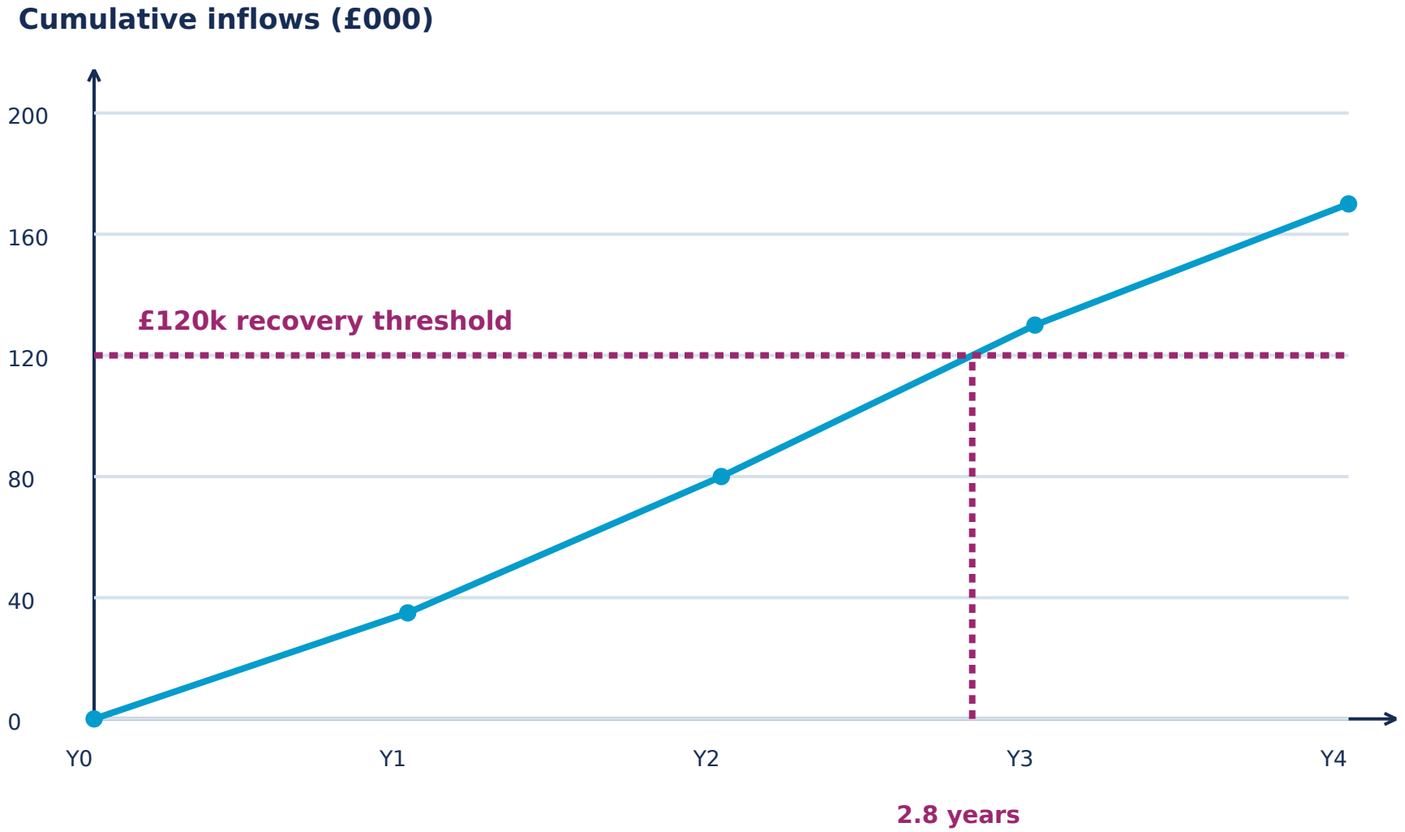
Shared float and moving critical paths

C and E lie on the same 11-day route. If C uses the two spare days, E has no further spare time before F.

Shortening D by two days makes two routes critical at 11 days. Further shortening D alone will not reduce completion.

Investment | cash timing and the payback crossing

Initial outlay £120,000 • Forecast annual net inflows £35,000, £45,000, £50,000, £40,000.



What the graph means

At the end of year 2, £80,000 has been recovered.

Unrecovered = £40,000.

Fraction of year 3 = £40,000 ÷ £50,000 = 0.8.

Payback = 2.8 years.

This assumes the year-three inflow arrives evenly.

The curve continues after payback: those later receipts matter for value but do not shorten recovery.

Recover initial cash → **Assess funding before recovery** → **Value later cash separately** → **Compare with realistic alternatives**

ARR and NPV | see the distinction, not just two formulas

Same four-year project, different questions: average accounting profit versus discounted present value.

TOTAL NET INFLOWS £170,000

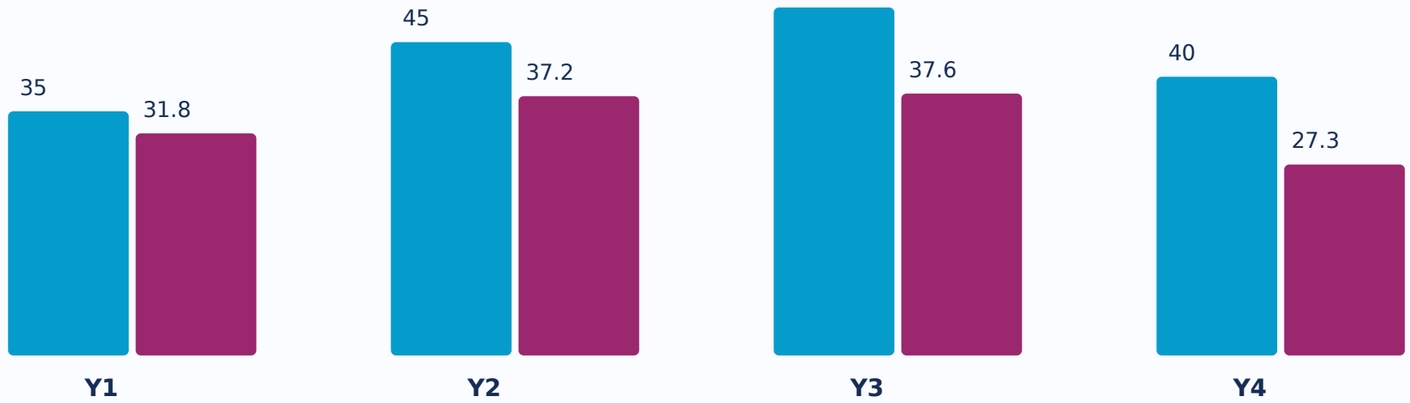
Recovery of initial £120,000

Total profit £50,000

Profit £50,000 ÷ 4 years → **Average annual profit £12,500** → **£12,500 ÷ £120,000 × 100** → **ARR = 10.42%**

Blue: future cash £000

Pink: present value at 10% £000



NPV

PV of future cash = £133,894.54.

Less £120,000 outlay.

NPV = +£13,894.54.

Later cash has lower present value at a positive rate.

ARR averages accounting profit without discounting. NPV values the timing of cash. Neither establishes cash affordability or implementation capability.

Contribution | where each pound goes

A spare-capacity order: price £18, variable cost £12, 2,000 units and £3,000 extra fixed setup cost.

ONE UNIT: £18 SELLING PRICE

£12 variable cost

£6 contribution

2,000 × £6 → **£12,000 total contribution** → **Pay £3,000 extra setup** → **£9,000 incremental benefit**

With genuinely spare capacity

Existing fixed costs do not increase simply because the order is accepted. The order can add £9,000 after the extra setup cost.

Positive contribution helps cover fixed costs, but is not itself the final profit. Check any extra costs caused by the order.

When regular sales are displaced

If the order displaces 1,000 regular units contributing £13 each, the opportunity cost is £13,000.

£9,000 − £13,000 = −£4,000.

The same positive £6 unit figure can support rejection under a different capacity condition.

Also test brand expectations, customer fairness, repeat-order terms, quality and long-run full-cost recovery.

Labour productivity | build the measure from first principles

Definition: the quantity of output produced per employee over a specified period. Use the workforce measure given in the question.

LABOUR PRODUCTIVITY = TOTAL OUTPUT ÷ NUMBER OF EMPLOYEES

50,000 acceptable units

Output over ONE YEAR

÷

100 average employees

Use a consistent workforce/time basis

↓

500 units per employee per year

Meaning

On average, each employee is associated with 500 acceptable units of annual output. This is not pay, revenue or profit per worker.

A possible benefit

Better skill or process flow → more acceptable output from the same labour input → lower labour resource per unit → scope for improved competitiveness.

A necessary challenge

Hours, machinery, outsourcing, product complexity, quality and workload can change the measure. Do not infer that employees are more motivated just from a higher number.

Labour productivity | compare quantity, quality and cost

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

All scenarios use one year. Wage/outsourcing cost per acceptable unit is a supporting cost measure, not the definition of productivity.

Measure	Baseline A	B: more output, 8% rejected	C: outsource some production
Gross output	50,000	60,000	50,000
Acceptable output	50,000	60,000 × 92% = 55,200	50,000
Average employees	100	100	80
Gross output per employee	500	600 (+20%)	625 (+25%)
Acceptable output per employee	500	552 (+10.4%)	625
Relevant annual wage / outsourced cost	£2.4m	£2.7m	£1.92m wages + £0.6m outsource
Cost per acceptable unit	£48.00	£2.7m ÷ 55,200 = £48.91	£2.52m ÷ 50,000 = £50.40

INTERPRET: B’s headline output measure improves, but the specified cost per good unit rises. In C, the denominator shrinks and some production is external; the increase does not prove better in-house skill or lower total production cost.

USES / BENEFITS

Comparisons reveal hidden quality and make-or-buy effects.

Use accepted output and consistent hours/product definitions when judging productive performance.

RISKS / LIMITATIONS

The cost measure omits other production costs, such as capital and materials.

Outsourced output must not be treated as proof of an employee-effort improvement.

A* DECISION CHECK

Investigate defects, customer satisfaction, hours, automation, outsourcing, wage changes and total costs before recommending a reward or staffing cut.

Labour productivity | causes, interventions and consequences

Improve the cause of weak performance. A target alone does not supply skill, equipment, information or sustainable effort.

Training and induction

Mechanism: Better task skill can reduce mistakes and rework.

However: Costs practice time; benefits depend on transfer and retention.

Equipment and process

Mechanism: A reliable bottleneck solution can lift useful output.

However: Capital, maintenance and ramp-up costs may outweigh savings.

Work design and coordination

Mechanism: Clear roles, smoother handovers and job enrichment can reduce delays.

However: Poor redesign may add workload, confusion or unsafe speed.

Fair rewards and ownership

Mechanism: Relevant incentives can support effort and long-term commitment.

However: Narrow targets encourage gaming, defects or unfair comparisons.

Consultation and empowerment

Mechanism: Frontline insight and authority can solve local problems sooner.

However: Needs competence, boundaries and genuine management support.

Wellbeing and retention

Mechanism: Safe workloads and valued staff preserve availability and experience.

However: Support costs money and causes differ between people and roles.

Grade A/A* practice: choose two distinct causes supported by the case. Trace each into accepted output, cost or service and evaluate quality, staff impact and implementation time.

Gearing | see the funding mix and use Pearson’s basis

Definition: the proportion of capital employed represented by non-current liabilities, expressed as a percentage.

GEARING = NON-CURRENT LIABILITIES ÷ CAPITAL EMPLOYED × 100

Capital employed = non-current liabilities + total equity

CAPITAL EMPLOYED = £900,000

Equity £600,000

66.67% of long-term capital

NCL £300,000

33.33% of capital employed

Identify NCL: £300,000 → **Find CE: £300k + £600k** → **£300k ÷ £900k × 100** → **Gearing = 33.33%**

Interpret the number

About £33.33 of every £100 of capital employed is represented by non-current liabilities.

Gearing describes a funding structure. It is not the interest rate, profit margin or proportion of revenue paid as interest.

Avoid the common traps

Do not divide NCL by equity alone: £300k ÷ £600k = 50% is a different ratio.

A 50% gearing figure is not an automatic safety boundary. Evaluate cash stability, terms, asset risk, repayment timing and investment returns.

Gearing | how financing choices change the ratio

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Independent alternatives from a starting position of NCL £300k and equity £600k. Amounts are £000; assume other stated balances change consistently.

Choice	NCL	Equity	Capital employed	Gearing
Starting position	300	600	900	33.33%
Borrow 300 more	600	600	1,200	50%
Issue 300 new equity	300	900	1,200	25%
Retain 100 additional profit	300	700	1,000	30%
Repay 100 NCL from spare cash	200	600	800	25%

INTERPRET: Borrowing adds both to the numerator and to capital employed. New equity increases the denominator without adding NCL. These options have different ownership, cash and commitment consequences.

USES / BENEFITS

Debt can avoid immediate ownership dilution.

Equity or retained profit may reduce reliance on fixed debt servicing.

RISKS / LIMITATIONS

Debt adds obligations; equity may dilute control and returns per share.

Retained profit is not automatically available cash, and repayment uses cash.

A* DECISION CHECK

Choose funding by affordability, control, speed, investor expectations, cash resilience and the investment’s needs—not simply the lowest gearing result.

Gearing | a risk stress test, not a verdict

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Baseline: OP £150k, interest £30k. Borrow £300k at 6% for a project forecast to add OP £45k. Post-investment NCL £600k, equity £600k.

Scenario	Operating profit £000	Interest £000	Profit before tax £000	Gearing
Before new borrowing	150	30	120	33.33%
Project performs as forecast	195	30 + 18 = 48	147	50%
Project adds no OP	150	48	102	50%
Severe company-wide fall in OP	40	48	−8	50%
Rates +3 percentage points on all £600k variable-rate debt	195	48 + 18 = 66	129	50%

INTERPRET: Post-investment gearing stays at 50% across the last four scenarios, but interest affordability and profit differ greatly. The rate-rise row assumes all £600k debt is variable-rate and balances are unchanged.

USES / BENEFITS

Funding structure highlights exposure that should be investigated.

A successful debt-funded project can increase operating and after-interest profit.

RISKS / LIMITATIONS

Gearing does not reveal rates, repayment dates, covenants or cash volatility.

Profit before tax is not the same as cash available for repayments.

A* DECISION CHECK

Weigh funding need, downside survival, refinancing, supplier/customer reliability, forecast returns and scope to stage the commitment.

ROCE | connect operating profit to capital employed

Definition: operating profit earned relative to the capital committed to the business, expressed as a percentage.

ROCE = OPERATING PROFIT ÷ CAPITAL EMPLOYED × 100

Use OPERATING profit, not profit for the year or sales revenue.

Capital route 1

£300k NCL + £600k equity = £900k

Capital route 2

£1,100k total assets − £200k CL = £900k

Operating profit: £150k → **Capital employed: £900k** → **£150k ÷ £900k × 100** → **ROCE = 16.67%**

Interpretation

For each £100 of capital employed, the business generates about £16.67 operating profit over the stated period.

This is not a cash distribution, shareholder dividend yield or guarantee of future return.

The numerator matters

Using £120k final profit would give 13.33%, but that is not Pearson’s ROCE calculation here.

Operating profit allows analysis before the interest charge. Gearing and ROCE therefore answer different questions.

ROCE | distinguish numerator, denominator and timing

WORKED EXAMPLE • Formula → substitution → result → interpretation → decision conditions

Each option is an independent illustration from OP £150k and capital employed £900k. Hold other specified effects constant.

Change	Operating profit £000	Capital employed £000	ROCE	Interpretation
Baseline	150	900	16.67%	Reference point
Add 300 capital before benefits arrive	150	1,200	12.5%	Timing can temporarily depress return
New project later adds 45 OP	195	1,200	16.25%	Profit rises but the ratio remains lower
Improve operations: OP becomes 180	180	900	20%	Better profit from the same capital
Sell a 100 book-value asset; keep all cash	150	900	16.67%	Only asset composition changes here
Release 100 and use it to repay NCL	150	800	18.75%	Capital employed is reduced

INTERPRET: An asset sale does not automatically reduce capital employed if the proceeds remain as cash. The final two rows assume no gain/loss on disposal and unchanged operating profit; real capacity and future returns may change.

USES / BENEFITS

Identifies operating-return improvement separately from investment scale.

Reveals why “profit rose” is incomplete evidence of improved capital efficiency.

RISKS / LIMITATIONS

Asset valuation and the age of investment affect comparability.

A higher ratio may be achieved by underinvestment or a smaller denominator.

A* DECISION CHECK

Check lifecycle, capacity utilisation, future demand, reinvestment needs, accounting policy and a relevant benchmark before judging the strategy.

ROCE | evaluate the investment, not only the direction of a ratio

The debt-funded project example increases absolute profit while slightly reducing overall ROCE.

Before: OP £150k / CE £900k → **ROCE = 16.67%** → **After: OP £195k / CE £1,200k** → **ROCE = 16.25%**

Project adds OP £45k → **Extra annual interest £18k** → **Added profit before tax £27k** → **Still test cash and risk**

Developed argument

The additional project earns £45k OP on £300k capital, a 15% operating return on that incremental amount. It lowers the combined ratio because the existing return was higher.

It can nevertheless add £27k after the stated extra interest. A falling combined ratio alone does not prove the project should be rejected.

Developed counterargument

The comparison does not value the timing of cash, show the full cost of risk or establish a sustainable return. Demand may miss forecast, assets may need replacement and debt creates fixed obligations.

Use investment appraisal, cash forecasts, capability and credible alternative projects before accepting.

Supporting driver decomposition: ROCE = operating margin × (revenue ÷ capital employed). At baseline: 15% × 1.111… = 16.67%. This is an explanatory extension, not an additional named Unit 3 requirement.

Workforce measures | the cohort picture explains the denominator

Annual example: 90 starting employees, 35 joiners and 15 leavers; 110 employees at the end.

Starting cohort: 90 people

81 original staff stay

Original cohort retained

9 original staff leave

Part of total leavers

New joiners: 35 people

29 new staff stay

Add to closing headcount

6 new staff leave

Also count as leavers

Closing staff: 81 + 29 = 110 →

Average staff: (90 + 110) ÷ 2 = 100 →

Turnover: 15 ÷ 100 = 15% →

Retention: 81 ÷ 90 = 90%

Different populations

Retention follows the original cohort; turnover counts all leavers relative to the average workforce. They need not sum to 100%.

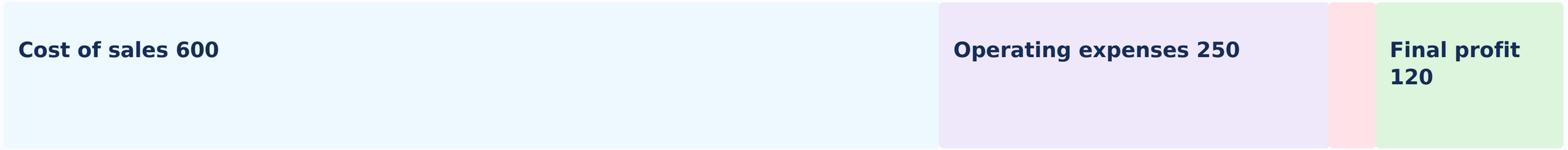
Absence uses time, not headcount

600 days lost ÷ 20,000 possible days × 100 = 3%. Keep days/hours consistent and consider health, recording and workload.

Financial performance | follow each layer of the statement

All figures are £000 in the existing Year 1 example. The diagram separates cost categories, final profit and liquidity.

Revenue = 1,000



Interest is the narrow pink segment: 30.

Gross profit: 1,000 − 600 = 400 → **Operating profit: 400 − 250 = 150** → **Final profit: 150 − 30 = 120**

Different profit measures

Gross margin = 400/1,000 × 100 = 40%.

Operating margin = 15%.
Profit-for-the-year margin = 12%.

ROCE uses the operating profit of 150, before interest. Cash collected can differ from recorded revenue.

Connect to liquidity

Current assets 400 include inventory 120, receivables 180 and cash 100.

Current ratio = 400/200 = 2:1.
Acid test = (400 − 120)/200 = 1.4:1.

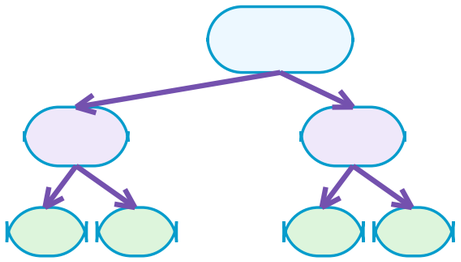
Neither guarantees that invoices will be collected before liabilities fall due.

Read the whole statement: a sound gross result can coexist with high overheads, finance costs or weak cash timing.

Culture and stakeholder influence | visual connections

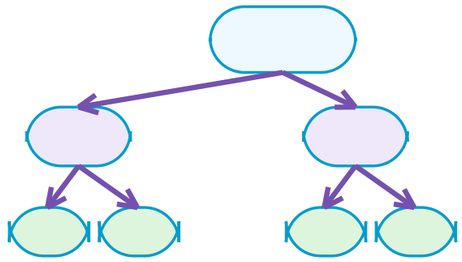
The sketches show patterns of authority or collaboration, not a claim that one culture is always best.

Power culture



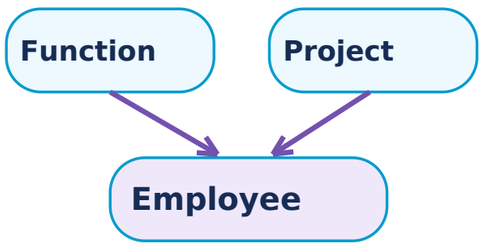
Influence concentrates around a leader. Speed may come with dependence, filtering of bad news and a growth bottleneck.

Role culture



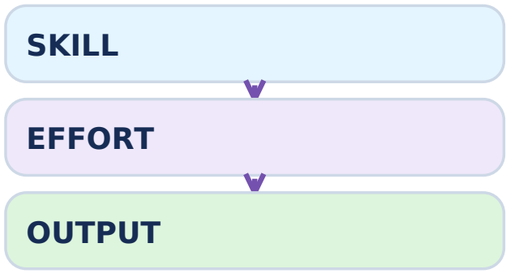
Rules and responsibilities coordinate work. Consistency may come with slow adaptation and rigid boundaries.

Task culture



Expertise is brought together for a project. Collaboration may come with resource conflicts or unclear priorities.

Person culture

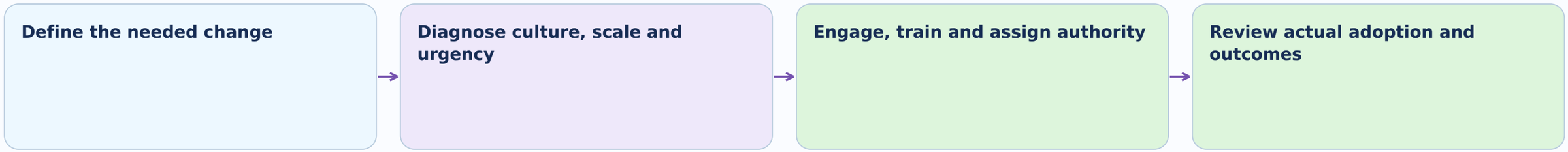


Autonomous professionals dominate. Expertise and motivation may come with difficult collective choices.

Stakeholder route: affected group → objective/power → likely response → implementation effect. Culture can amplify or reduce that response.

Change and contingency | the implementation map

A numerical or strategic recommendation creates value only if it can be delivered and sustained.



Resistance

Identify the real concern: job security, status, skill, workload, trust or a genuine flaw in the proposal. Match communication, participation, support or negotiation to it.

Transformative leadership

A credible direction needs consistent behaviour, resources and practical planning. Inspiration alone cannot deliver the change.

Contingency planning

Assess disaster, IT and key-person risks. Test recovery and continuity arrangements, and develop documented cover/succession rather than relying on a stored plan.

Feedback: monitor quality, staff retention, cash, customer outcomes and emerging risks. Adjust the plan when evidence changes rather than defending the original forecast.

Validation review | coverage, accuracy and exam depth

Checked against Pearson Edexcel IAL Business Unit 3, sections 3.3.1–3.3.6 and Appendix 9 ratio definitions.

Section	Lettered subparts	Coverage evidence
3.3.1 Objectives/strategy	9 / 9	Mission; Ansoff; Porter; portfolio; resources; SWOT; PESTLE; five forces
3.3.2 Growth	9 / 9	Scale; organic/inorganic; integration; finance; diseconomies; communication; overtrading
3.3.3 Decision techniques	18 / 18	Forecasts; appraisal; trees; CPA; contribution: calculations and limitations
3.3.4 Influences	11 / 11	Cultures; stakeholders/shareholders; conflict; ethics; pay; CSR
3.3.5 Competitiveness	8 / 8	Statements; all specified ratios; HR measures and strategies
3.3.6 Change	7 / 7	Culture; size; speed; resistance; leadership; risk and mitigation

Accuracy and depth checks

Worked calculations are checked separately, including CPA passes/float, decision-tree probabilities, appraisal and financial/HR measures.

Definitions are linked to examples, benefits, limitations, application and judgement. New visuals develop the mechanism behind the number.

What supports grade A and beyond

The resource covers the named subject content. Students must still demonstrate accurate independent calculation, relevant extract use, developed reasoning and justified evaluation under timed conditions.

The model’s presence or a memorised chain does not establish a student’s grade. Use marked practice to test readiness.

The following audit gives card/page references for every subpart. The visual atlas adds explanation and worked comparisons; labelled extensions are not presented as extra named requirements.

Coverage audit | subparts 1–17

Lettered subject-content requirements checked against Pearson IAL Unit 3 • Cards are supplemented by worked labs and evaluation banks.

Spec reference	Required content (paraphrased)	Detailed card number(s)	Page(s)
3.3.1 / 1a	Objectives developed from mission and aims	1	4
3.3.1 / 1b	Critical appraisal of mission statements	2	4
3.3.1 / 2a	Ansoff and Porter’s Strategic Matrix	8, 12	7, 9
3.3.1 / 2b	Purpose of portfolio analysis	13	10
3.3.1 / 2c	Strategic/tactical decisions: human, physical, financial resources	3	5
3.3.1 / 3a	SWOT: internal strengths/weaknesses; external opportunities/threats	14	10
3.3.1 / 4a	All six PESTLE influences	15, 16	11
3.3.1 / 4b	Changing competitive environment	17	12
3.3.1 / 4c	All five competitive forces	22, 17, 18, 19, 20, 21	12, 13, 14
3.3.2 / 1a	Internal/external scale economies; market power/share/brand/profit	23, 24, 25	18, 19
3.3.2 / 1b	Organic versus inorganic growth	26, 27	19, 20
3.3.2 / 2a	Methods of organic growth	26	19
3.3.2 / 2b	Advantages/disadvantages of organic growth	26	19
3.3.2 / 3a	Merger/takeover reasons and distinction; integration types; finance risks/rewards	27, 28, 29, 30, 31, 32	20, 21, 22
3.3.2 / 3b	Advantages/disadvantages of inorganic growth	27, 32	20, 22
3.3.2 / 4a	Diseconomies of scale	33	23
3.3.2 / 4b	Internal communication	34	23

Coverage includes every named subject-content requirement. Seasonal adjustment, limiting-resource contribution and selected synoptic measures are labelled as supporting extensions rather than additional Unit 3 headings.

Coverage audit | subparts 18–34

Lettered subject-content requirements checked against Pearson IAL Unit 3 • Cards are supplemented by worked labs and evaluation banks.

Spec reference	Required content (paraphrased)	Detailed card number(s)	Page(s)
3.3.2 / 4c	Overtrading	35	24
3.3.3 / 1a	Three-period and four-quarter moving averages	36	27
3.3.3 / 1b	Scatter/best-fit interpretation and extrapolation	37	27
3.3.3 / 1c	Limitations of forecasting methods	36, 37	27
3.3.3 / 2a	Simple payback	38	28
3.3.3 / 2b	Average accounting rate of return	39	28
3.3.3 / 2c	Discounted cash flow: NPV	40	29
3.3.3 / 2d	Calculate and interpret all investment techniques	41, 38, 39, 40	28, 29
3.3.3 / 2e	Limitations of investment appraisal	41	29
3.3.3 / 3a	Construct and interpret simple decision trees	42	30
3.3.3 / 3b	Calculate and interpret tree results	42	30
3.3.3 / 3c	Decision-tree limitations	42	30
3.3.3 / 4a	CPA nature and purpose	43	30
3.3.3 / 4b	Complete/interpret networks and critical paths	43, 44	30, 31
3.3.3 / 4c	Calculate EST, LFT and total float	44	31
3.3.3 / 4d	CPA limitations	43, 44	30, 31
3.3.3 / 5a	Nature and purpose of contribution	45	31

Coverage includes every named subject-content requirement. Seasonal adjustment, limiting-resource contribution and selected synoptic measures are labelled as supporting extensions rather than additional Unit 3 headings.

Coverage audit | subparts 35–51

Lettered subject-content requirements checked against Pearson IAL Unit 3 • Cards are supplemented by worked labs and evaluation banks.

Spec reference	Required content (paraphrased)	Detailed card number(s)	Page(s)
3.3.3 / 5b	Calculate and interpret contribution	45	31
3.3.3 / 5c	Contribution as a decision tool	45	31
3.3.4 / 1a	Strong and weak cultures	46	49
3.3.4 / 1b	Power, role, task and person culture	47, 48, 49, 50	49, 50, 51
3.3.4 / 1c	Culture formation	51	51
3.3.4 / 1d	Changing established culture: difficulties	51	51
3.3.4 / 2a	Internal/external stakeholders	52	52
3.3.4 / 2b	Stakeholder objectives	52, 55	52, 53
3.3.4 / 2c	Stakeholder and shareholder models/influence	53, 54	52, 53
3.3.4 / 2d	Profit versus wider objectives: conflicts	55	53
3.3.4 / 3a	Ethics of strategic choices: profit/ethics trade-offs	56	54
3.3.4 / 3b	Pay and rewards	57	54
3.3.4 / 3c	CSR	58	55
3.3.5 / 1a	Income statement key information and stakeholder interests	59, 61	57, 58
3.3.5 / 1b	Financial-position statement key information/stakeholder interests	60, 61	57, 58
3.3.5 / 2a	Calculate gross/final margins, current/acid, gearing, ROCE	62, 63, 64, 65, 66, 67	58, 59, 60, 61
3.3.5 / 2b	Interpret ratios for business decisions	68	61

Coverage includes every named subject-content requirement. Seasonal adjustment, limiting-resource contribution and selected synoptic measures are labelled as supporting extensions rather than additional Unit 3 headings.

Coverage audit | subparts 52–62

Lettered subject-content requirements checked against Pearson IAL Unit 3 • Cards are supplemented by worked labs and evaluation banks.

Spec reference	Required content (paraphrased)	Detailed card number(s)	Page(s)
3.3.5 / 2c	Ratio-analysis limitations	68	61
3.3.5 / 3a	Calculate/read productivity, turnover/retention and absence	69, 70, 71, 72	62, 63
3.3.5 / 3b	Limitations of HR calculations	69, 70, 71, 72	62, 63
3.3.5 / 3c	Financial rewards; employee ownership; consultation; empowerment	73, 74, 75, 76	64, 65
3.3.6 / 1a	Organisational culture as a change factor	77	73
3.3.6 / 1b	Organisation size	78	73
3.3.6 / 1c	Time and speed	79	74
3.3.6 / 1d	Managing resistance	80, 81	74, 75
3.3.6 / 1e	Transformative leadership	82	75
3.3.6 / 2a	Risk assessment: disasters, IT failure, key-staff loss	83	76
3.3.6 / 2b	Risk mitigation: business continuity and succession	84, 85	76, 77

Coverage includes every named subject-content requirement. Seasonal adjustment, limiting-resource contribution and selected synoptic measures are labelled as supporting extensions rather than additional Unit 3 headings.

Navigation and sources | find the evidence

Use the PDF outline for individual cards. The tables below link to section maps; worked examples follow the relevant chapters.

3.3.1 Business objectives and strategy Page 3

3.3.2 Business growth Page 17

3.3.3 Decision-making techniques Page 26

3.3.4 Influences on business decisions Page 48

3.3.5 Assessing competitiveness Page 56

3.3.6 Managing change Page 72

NEW: visual teaching atlas + gearing, ROCE and productivity deep dives — page 103

Subject scope and ratios: Pearson Edexcel IAL Business (2018), Unit 3, printed pp. 27–32; Appendix 9, printed p. 60. Original illustrative cases and calculations are used. Remember the correct gearing and ROCE bases.

Assessment: Pearson IAL Business assessment support guidance. Apply case evidence, develop causal reasoning and weigh significant competing arguments. The unit can draw on Units 1 and 2. No fixed number of points or fixed raw-mark target guarantees A* performance.

Rounding: keep unrounded intermediate values where possible; state money, time, units, proportions and percentage points accurately. Model diagrams are schematic except where calculated event times and data are explicitly shown.